



FINANCIALS

Directors' report

for the year ended 31 March 2025

Introduction

The directors are pleased to present to stakeholders this report on the activities and financial results of the SARB, including its subsidiaries (Group), for the current financial year.

The annual report, issued in terms of the SARB Act and its regulations, addresses the performance of the Group and its compliance with the relevant statutory information requirements.

It is the responsibility of the directors to prepare the Group annual financial statements (financial statements) and related financial information that present the Group's state of affairs.

The financial statements have been prepared in accordance with the reporting framework set out in note 1. The financial statements include appropriate disclosures and are based on accounting policies that have been consistently applied and which are supported by reasonable judgements and estimates.

These financial statements were prepared on a going concern basis, taking cognisance of certain unique aspects relating to the SARB's ability to create, distribute and destroy domestic currency; its role as lender of last resort and Resolution Authority; its responsibilities in the areas of price and financial stability; and its relationship with the SA government concerning foreign exchange and gold transactions.

The directors have considered the impact of the volatility in financial markets due to the implementation of changes in interest rates by central banks globally to curb the rise of inflation, among other factors. The directors have also considered the impact of ongoing geo-political tensions, which continue to negatively impact financial markets in general. The directors have concluded that the impact of the volatility in financial markets has had no effect on the going concern of the SARB and its subsidiaries. However, these matters will be monitored and included in considerations for forward-looking information.

The financial statements were audited by the independent external auditors who were given unrestricted access to all financial records and related data, including the minutes of all the meetings of the Board and its committees as well as the minutes of executive management meetings.

The directors are responsible for governance, which is monitored on an ongoing basis. The SARB applies the principles and guidelines of *King IV™* where appropriate and where they do not contravene the SARB Act.

Nature of business

The SARB is the central bank of South Africa and is regulated in terms of the SARB Act. Its primary objective is to protect the value of the currency in the interest of

balanced and sustainable economic growth. In pursuit of price and financial stability, the SARB performs the key activities set out in the annual report.

In exceptional circumstances, as part of its central banking functions, the SARB may act as a lender of last resort or provide assistance of a similar nature to financial institutions in difficulty to prevent a loss of confidence spreading through the financial system as a whole.

In some cases, confidence can best be sustained if the SARB's support is disclosed only when the conditions giving rise to a potentially systemic disturbance have improved. Accordingly, although the financial effects of such operations will be included in the financial statements in the year in which they occur, these financial statements may not explicitly identify the existence of such support. However, such support will be reported when the need for secrecy or confidentiality has ceased.

Subsidiaries

The subsidiaries of the SARB are:

- The South African Mint Company (RF) Proprietary Limited (SA Mint) which produces circulation and collectable coins, and its subsidiary Prestige Bullion which produces bullion coins.
- The South African Bank Note Company (RF) Proprietary Limited (SABN) which produces banknotes.
- The Corporation for Public Deposits (CPD) which receives and invests deposits from the SA government and public entities.
- The Corporation for Deposit Insurance (CODI) which provides deposit insurance and carries out its functions to support the SARB in fulfilling its objective of, and responsibility for, protecting and maintaining financial stability.

Information on the SARB's financial interest in its subsidiaries is provided in note 34.

The subsidiaries did not pass any special resolutions that are material to the SARB's affairs in the reporting year.

Associate

African Bank Holdings Limited (ABHL), an associate of the SARB, is the holding company of African Bank Limited (ABL) and African Insurance Group Limited.

Information on the SARB's financial interest in its associate is provided in note 34.

Achievement of objectives

The annual report covers the SARB's achievements against its strategic objectives.

Directors' report continued

for the year ended 31 March 2025

Financial results

The SARB's profit after taxation amounted to R118 billion (2023/24: R13 billion). Net investment income increased by R6 billion to R33 billion (2023/24: R19 billion increase to R27 billion), while operating costs increased by R2 billion to R10 billion (2023/24: R1 billion increase to R8 billion).

The SARB received a transfer of R100 billion (2023/24: Rnil) from National Treasury, to promote the policy solvency of the SARB.

In March 2025, ABHL implemented an employee share scheme which resulted in the SARB's equity shareholding in ABHL being diluted from 50% to 45%. The SARB recognised a dilution loss of R311 million in this regard.

The SA Mint (including Prestige Bullion) made a profit after taxation of R152 million (2023/24: R271 million).

SABN made a profit after taxation of R40 million (2023/24: R87 million loss).

CODI commenced operations in the current financial year and made a profit of R1 billion (2023/24: R1 million loss).

ABHL made a profit after taxation of R71 million (2023/24: R154 million), attributable to the Group.

Financial position

The SARB's total assets increased by R58 billion to R1 296 billion (2023/24: R1 238 billion). The total liabilities of the SARB decreased by R61 billion to R1 139 billion (2023/24: R1 200 billion). The SARB paid R200 billion to National Treasury in partial settlement of the GFECRA liability. Refer to note 21 for details.

The SARB's contingency reserve increased by R118 billion to R151 billion (2023/24: R33 billion) due to the transfer of the current year profit after taxation to the contingency reserve.

The SA Mint's total assets (including Prestige Bullion) decreased by R253 million to R2 853 million (2023/24: R3 106 million), mainly due to lower inventory. The total liabilities of the SA Mint (including Prestige Bullion) decreased by R314 million to R1 062 million (2023/24: R1 376 million) mainly due to lower trade payables.

The SABN's total assets increased by R288 million to R2 865 million (2023/24: R2 577 million) mainly due to higher cash and cash equivalents and inventories. SABN's total liabilities increased by R251 million to R714 million (2023/24: R463 million), mainly due to an increase in accounts payable.

The CPD's total assets increased by R7 billion to R120 billion (2023/24: R113 billion), largely due to a net increase in short-term fixed deposits, offset by lower money market investments. The CPD's total liabilities increased by

R6 billion to R118 billion (2023/24: R112 billion), largely due to an increase in deposits.

CODI's total assets increased to R20 billion (2023/24: Rnil), due to the Deposit Insurance Fund investments. CODI's total liabilities increased to R19 billion, due to liquidity tier loans provided by member banks.

Further details on the Group's financial information for the year can be found on page 102.

Dividends

The SARB Act permits the SARB to declare dividends from its accumulated profits (reserves). As per the SARB Act, a total dividend at the rate of 10% per annum on the paid-up share capital of the SARB. The total dividend paid for the financial year was R200 000 (2023/24: R200 000).

Directors

The composition of the Board at 31 March 2025 is reported in the annual report. At the AGM held on 30 July 2024, the terms of office of S (Shamima) Gaibie as a non-executive director with knowledge and skills in labour, N B (Norman) Mbazima as a non-executive director with knowledge and skills in mining, and Y (Yvonne) Muthien as a non-executive director with knowledge and skills in commerce and finance, expired. The incumbents, being eligible for nomination and re-election, were re-elected as the non-executive directors for a term extending from 31 July 2024 until the day after the AGM in 2027.

The terms of office of L H (Lerato) Molebatsi and K H (Kgabo) Badimo as government-appointed non-executive directors expired on 31 May 2025.

The terms of office of C B (Charlotte) Buitendag and Z (Zoab) Hoosen, as non-executive directors with knowledge and skills in industry; and N (Nicholas) Vink as a non-executive director with knowledge and skills in agriculture, will expire at the date of the 2025 AGM. By that time, both Profs. Buitendag and Vink will have each completed three terms of office and will therefore not be eligible for re-election. On the other hand, Mr Hoosen would have completed his second term of office and is eligible for re-election by shareholders for another three-year term. As at 31 March 2025 and to date, none of the directors in office held any direct or indirect shareholding in the SARB. Directors' fees for services rendered during the reporting year are disclosed in note 34.6.

Directors' report continued

for the year ended 31 March 2025

Events after reporting date

On 9 May 2025, the SARB signed a subscription agreement and a shareholders' agreement to subscribe for 50% of the shares in BankservAfrica. The transaction is still subject to conditions precedent, including Competition Commission approval.

Secretary of the SARB

Z (Zoliswa) Copiso

Registered office

Business address:

370 Helen Joseph Street
Pretoria 0002

Postal address:

P O Box 427
Pretoria 0001

The Board approved the financial statements on 13 June 2025 signed on its behalf by:



E L (Lesetja) Kganyago

Governor of the SARB



N (Norman) Mbazima

Non-executive director
and Chairperson of the Audit Committee



R (Reshoketswe) Ralebepa

Group Chief Financial Officer



Z (Zoliswa) Copiso

Secretary of the SARB

Statement by the Secretary of the SARB

In my capacity as the Secretary of the SARB, I certify that all the returns required to be submitted in terms of the SARB Act for the year ended 31 March 2025 have been completed and are up to date.

The executive directors and management of the SARB are responsible for the controls over and the security of the website and specifically for establishing and controlling the process for electronically distributing annual reports and other financial information to shareholders.



Z (Zoliswa) Copiso

Secretary of the SARB

13 June 2025

Report of the Audit Committee

for the year ended 31 March 2025

Introduction

The Audit Committee, a subcommittee of the SARB Board, consists entirely of independent non-executive directors, including the Chairperson. Its duties are outlined in its terms of reference, which are approved by the Board and reviewed every three years, or more frequently as required.

Throughout the reporting year, the Audit Committee performed its oversight functions independently and in full compliance with its terms of reference.

The SARB's executive management, internal auditors, external auditors and other assurance providers attended all the Audit Committee meetings in an ex officio capacity. Additionally, management and the internal and external auditors had independent meetings with the Audit Committee as appropriate.

Roles and responsibilities

The Audit Committee supports the Board in its oversight of the SARB's financial reporting processes, risk management and internal financial controls. It also monitors the SARB's compliance with laws and regulations. The Audit Committee confirms that its members were independent from the SARB during the review period and had no other relationships that might compromise their duties.

Internal control (including internal financial controls)

The SARB's system of internal financial controls is designed to ensure:

- the integrity and reliability of financial information;
- compliance with all applicable laws and regulations;
- the achievement of objectives;
- economy and efficiency of operations; and
- the safeguarding of assets.

The Audit Committee is confident that the internal financial controls are well-designed and function effectively, providing a solid foundation for creating reliable financial reports. This assessment is based on reports provided by management, risk management teams, internal auditors and external auditors.

The Audit Committee also reviewed and is satisfied with the expertise and experience of the Group CFO in preparing the annual financial statements. The finance function in the SARB has the necessary expertise and adequate resources to support the Group CFO.

Combined assurance

The Group has adopted a combined assurance approach in line with *King IV™*, aimed at increasing the effectiveness of assurance activities across the three lines of assurance. The model has been continuously improved and has now

reached a high level of maturity, facilitating regular interaction, alignment of assessment methodologies and effective, integrated dashboard reporting across the three lines of assurance. The Combined Assurance Forum (CAF) ensures the ongoing review of the approach, model and processes as well as regular discussions, information-sharing and coordination among the different assurance providers. This approach contributes significantly towards an effective control environment and supports the integrity of information used for internal decision-making by management, the Board and its committees. Based on reports from the three lines of assurance and the CAF, the committee finds the combined assurance approach to be adequate, effective and aligned to good practices, ensuring the achievement of the objective of effective assurance activities across the Group.

Financial statements

After reviewing the SARB Group annual financial statements and the associated report from the external auditors, the Audit Committee recommended its approval to the Board. The Audit Committee is confident in the SARB's status as a going concern.

Internal audit

The Audit Committee reviewed and approved the Internal Audit Charter, which outlines the purpose, authority and responsibility of the Internal Audit function. The charter was updated to reflect the new Global Internal Audit Standards. The Audit Committee also approved the internal audit strategy, the annual internal audit plan, including changes to the plan, and the resources required to deliver on the plan. Additionally, the committee reviewed the IAD's quarterly reports, including its assessment of the internal control environment.

The Audit Committee reviewed the feedback on the internal quality assurance and improvement process, which resulted in an overall assessment of 'generally conforms' with the standards of the Institute of Internal Auditors. An independent external quality assurance review was conducted in May 2022 and the next review is scheduled for 2026.

The Audit Committee is confident that the IAD is independent and adequately resourced to provide assurance on the adequacy and effectiveness of the SARB's internal control environment. The Chief Internal Auditor (CIA) reports functionally to the Audit Committee and administratively to the Governor.

Report of the Audit Committee continued

for the year ended 31 March 2025

External audit

The Audit Committee is confident in the independence of the SARB's external auditors. This conclusion was reached after considering the independence letters from the external auditors, continuously monitoring and approving of non-audit services as well as a formal process for partner rotation and audit firm rotation.

The Audit Committee also reviewed the external auditors' proposed audit scope, approach and fees for the year under review.

Non-audit services

The Audit Committee is responsible for approving the SARB policy regarding the provision of non-audit services by the external auditors. The policy serves as the primary reference for the Audit Committee when setting and approving the limits for such awards. These limits are set to safeguard the external auditors' independence and ensure there is no public perception of a conflict of interest.

The SARB's FSD is authorised to approve the awarding of non-audit services to external auditors and their networks, provided they fall within the limits set by the GEC and the Audit Committee. Any non-audit services that exceed these limits require prior approval by the Audit Committee.

The non-audit fees for the financial year ended 31 March 2025, as well as those from the previous year, remain well within the predetermined limits set by the SARB policy on non-audit services provided by the SARB's external auditors.

Compliance

The Audit Committee is confident that, for the current year, the SARB has implemented appropriate processes and controls to ensure compliance with all the applicable laws and regulations related to financial reporting. This conclusion is based on the Audit Committee's review of reports from both internal and external auditors as well as from executive management and relevant departments.

Information and technology

The Audit Committee is confident in the SARB's I&T capabilities, affirming that its controls are appropriate to support the integrity of financial reporting.

This confidence stems from the Audit Committee's continuous review of assurance reports from the GEC and both the internal and external auditors.

The Audit Committee also acknowledges the SARB's rapidly growing technology footprint, facilitated by the ongoing large-scale transformation projects and the replacement of legacy systems in line with the SARB's strategic objectives.

Whistle-blowing

Based on the combined submissions from the RMCD and IAD to the BREC, the Audit Committee is confident in the procedures for handling confidential and anonymous complaints related to the integrity and ethics at the SARB. These procedures include receiving, evaluating, investigating and reporting on such complaints.



N (Norman) Mbazima

Chairperson of the Audit Committee

Financial reporting framework

Reporting framework

The financial statements have been prepared in accordance with the SARB Act and the accounting policies set out in note 1.

The SARB Act is not prescriptive regarding the accounting framework that the SARB should adopt except for sections 25 to 28 which deal with the accounting treatment of gold, foreign exchange transactions and forward exchange contracts.

These sections are in conflict with the IFRS® Accounting Standards as issued by the International Accounting Standards Board. The SARB has chosen to use IFRS Accounting Standards, including IFRIC® Interpretations as a guide in deciding on the most appropriate accounting policies to adopt and as a model for the presentation and disclosure framework followed in its financial statements.

However, the SARB Act takes precedence over IFRS Accounting Standards in the areas noted above and as a result the recognition, measurement and disclosure criteria as set out in IFRS Accounting Standards have not been followed in these circumstances. In addition the SARB considers certain recognition and measurement principles as well as disclosures inappropriate to its functions. The SARB's financial statements therefore disclose less detail than would be required under IFRS Accounting Standards. The departures from IFRS Accounting Standards as a consequence of the above are summarised as follows:

Recognition and measurement

1. According to the SARB Act:
 - a. foreign exchange gains and losses on foreign-denominated assets and liabilities, including special drawing rights (SDRs), are for the account of the SA government and have therefore not been accounted for in profit or loss as required by IAS 21: The Effects of Changes in Foreign Exchange Rates (IAS 21). These valuation gains and losses are accumulated in GFECRA for the account of the SA government;
 - b. gold is valued at the statutory gold price and is traded for the account of the SA Government. All gains and losses relating to gold transactions are accumulated in GFECRA for the account of the SA Government;
 - c. gains and losses on forward exchange contracts (FECs) are for the account of the SA government and have therefore not been accounted for in profit or loss as required by IFRS 9: Financial Instruments (IFRS 9). These valuation gains and losses are accumulated in GFECRA for the account of the SA Government; and

- d. as a result of transactions a. to c. being accumulated in GFECRA for the account of the SA Government, the GFECRA account is also not accounted for in accordance with the requirements of IFRS Accounting Standards.

Disclosure

In the financial statements not all information as required by IFRS 7 Financial Instruments Disclosures is disclosed.

This relates specifically to:

- a. market risk for all financial assets (foreign and local): The sensitivity analysis for each type of market risk to which the SARB is exposed at the reporting date showing how profit or loss and equity/other comprehensive income (OCI) would have been affected by changes in the relevant risk variables that were reasonably possible at that date;
- b. credit risk for foreign financial assets: The credit quality per counterparty (issuer) and per country, the historical information about the counterparty default rates and instruments per counterparty; and
- c. credit risk for local financial assets: The credit quality per counterparty (issuer) and instrument class, the historical information about the counterparty default rates and a breakdown of instruments per counterparty.

Central banking

The SARB, as the mandated central bank of South Africa, will exercise discretion on lender-of-last-resort activities as it relates to the management and oversight responsibilities of the domestic financial market operation.



INDEPENDENT AUDITORS' REPORT ON THE AUDIT OF THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

TO THE SHAREHOLDERS OF THE SOUTH AFRICAN RESERVE BANK

Opinion

We have audited the consolidated and separate financial statements of the South African Reserve Bank (the SARB) and its subsidiaries (the Group and the Entity) set out on pages 110 to 202, which comprise the consolidated and separate statements of financial position as at 31 March 2025, and the consolidated and separate statements of profit or loss and other comprehensive income, the consolidated and separate statements of changes in equity and consolidated and separate statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including material accounting policy information.

In our opinion, the consolidated and separate financial statements for the year ended 31 March 2025 are prepared, in all material respects, in accordance with the basis of accounting described in Note 1 to the consolidated and separate financial statements and the requirements of the South African Reserve Bank Act 90 of 1989, as amended (the SARB Act).

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements* section of our report. We are independent of the Group and the Entity in accordance with the Independent Regulatory Board for Auditors' *Code of Professional Conduct for Registered Auditors* (IRBA Code) and other independence requirements applicable to performing audits of financial statements in South Africa. We have fulfilled our other ethical responsibilities in accordance with the IRBA Code and in accordance with other ethical requirements applicable to performing audits in South Africa. The IRBA Code is consistent with the corresponding sections of the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)*. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

In terms of the IRBA Rule on Enhanced Auditor Reporting for the Audit of Financial Statements of Public Interest Entities, published in Government Gazette No. 49309 dated 15 September 2023 (EAR Rule), we report:

Final Materiality

The scope of our audit was influenced by our application of materiality. We established specific quantitative thresholds for materiality, which, together with qualitative considerations, guided the overall audit approach. These factors influenced the scope of our audit and informed the nature, timing and extent of our audit procedures on the individual financial statements line items and disclosures. They also played a key role in evaluating the impact of identified misstatements, both individually and in aggregate, on the financial statements as a whole.

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF THE SOUTH AFRICAN RESERVE BANK

continued

Based on our professional judgement, we determined materiality for the financial statements as a whole as follows:

	Financial statements - Group	Financial statements - SARB
Overall materiality	R13.89 billion (2024: R13.26 billion)	R12.96 billion (2024: R12.37 billion)
Basis for materiality	Based on 1% of total assets (same as prior year)	Based on 1% of total assets (same as prior year)
Rationale for benchmark applied	Total assets were used as the benchmark, consistent with prior years, due to the non-profit nature of all the entities within the SARB group. This approach is considered appropriate given the SARB's role as the custodian of the country's foreign exchange reserves and its position as the largest entity in the Group. All the subsidiaries of the SARB are strategic in nature and exist solely to assist the SARB in fulfilling its various mandates. The primary activities of the subsidiaries are: • SA Mint – which produces circulating and collectable coins, and its subsidiary Prestige Bullion which produces bullion coins. • SA Bank Note – which produces banknotes. • Corporation for Public Deposits – which receives and invests deposits from SA Government and public entities. • Corporation for Deposit Insurance – which provides deposit insurance and carries out its functions to support the SARB in fulfilling its objective of, and responsibility for, protecting and maintaining financial stability.	We used Total Assets as the materiality benchmark given the SARB's role as the custodian of the country's foreign exchange reserves. This approach is consistent with prior years. The SARB is a not-for-profit entity and has no listed debt, securities or shares. The primary objective of the SARB is to achieve and maintain price stability in the interest of balanced and sustainable economic growth in South Africa. In order to execute its mandate, the SARB is responsible for maintaining the country's gold and foreign exchange reserves. To achieve its mandate, the SARB's activities are largely investment driven. The performance of the gold and foreign exchange reserves has a direct impact on the SARB's financial position. Accordingly, the statement of financial position, more specifically, Total Assets, is the most appropriate indicator of the central bank's activities.

Group Audit Scope

We tailored the scope of our audit to ensure that we performed enough work to be able to express an opinion on the consolidated financial statements as a whole, taking into account the structure of the Group and the SARB, the accounting processes, controls and the industry in which they operate.

Our scoping is based on the Group's consolidation structure. We define a component as a single reporting entity which feeds into the Group consolidation. In assessing the risk of material misstatement to the consolidated financial statements, and to ensure the quantitative coverage of the significant accounts in the consolidated financial statements of the reporting entities that form part of the Group, we selected the SARB, two of its five subsidiaries (The CPD and CODI) and one division and performed a full scope audit on each. Specific audit procedures were tailored and performed on the SAM's revenue balance (one of the currency producing subsidiaries) and the investment in African Bank Holdings Limited (the only associate in the Group), to verify the cash flows and discount rate

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF THE SOUTH AFRICAN RESERVE BANK

continued

used in the valuation of that investment. These entities were selected for testing as they were assessed to be significant either due to their nature, size or risk characteristics.

In order to ensure audit coverage over the consolidated financial statements, under the joint audit firms' audit methodologies, we tested both the design and the operating effectiveness of the relevant business process controls and performed substantive testing over each financial statement line item that is in scope.

Further specific audit procedures over the related parties' transactions, the group consolidation and areas of significant judgement (including the expected credit losses and business combinations) were directly led by the group engagement team.

Where work was performed by component auditors, we determined the level of involvement we needed to have in the audit work at those reporting entities to be able to conclude whether sufficient appropriate audit evidence had been obtained as a basis for our opinion on the consolidated financial statements.

We issued formal written instructions to all component auditors setting out the audit work to be performed by each of them and maintained regular communication with component auditors throughout the audit cycle. These interactions included attending certain component clearance meetings and holding regular conference calls, as well as reviewing and assessing any matters reported. The Group engagement team also reviewed selected audit working papers from the component teams to evaluate the sufficiency of audit evidence obtained and fully understand the matters arising from the component audits.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

In terms of the EAR Rule, we are required to report key audit matters and the outcome of audit procedures or key observations with respect to the key audit matters, and these are included below.

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF THE SOUTH AFRICAN RESERVE BANK

continued

Key audit matter	How the matter was addressed
Expected Credit Losses (ECL) - Note 29.2 (consolidated financial statements) Management is required to exercise significant judgement in assessing the impairment of financial assets measured at amortised cost. No impairment was raised against the financial assets balance of R3.5 billion and financial guarantees of R1.3 billion as disclosed in note 29.2 to the annual financial statements. There is judgement involved in the definitions and methodologies applied to the modelled ECL, including the determination of what constitutes a Significant Increase in Credit Risk (SICR) and the consequent timely allocation of the loans and advances to the appropriate stage. The SARB Group is required to recognise an allowance for either 12 month or lifetime ECLs in accordance with IFRS 9 Financial Instruments (IFRS 9), depending on whether there has been a SICR since initial recognition. The ECL is calculated by multiplying the Loss Given Default (LGD), Probability of Default (PD) and applicable discount factors. The significant judgements applied in determining the impairment included: • The probability that an advance will default (PD). The PDs are derived from top three rating agencies; • Credit risk changes (SICR); • The size of credit exposures ("Exposures At Default (EAD)); and • The Loss Given Default (LGD). Due to the high degree of estimation uncertainty, management judgement, and significant auditor attention, the expected credit losses have been considered a matter of most significance in the current year audit of the consolidated financial statements.	We have: • Evaluated the SICR; • Evaluated the macro-economic inputs and forward-looking information into the SICR assessment and ECL measurement; • Tested the accuracy and the completeness of the model input data; • Evaluated the input assumptions applied to estimate the PD, EAD and LGD in the ECL measurement. We have tested the appropriateness and adequacy of the ECL including the following: • key assumptions which drive the parameters feeding into the ECL model, by performing sensitivity analyses, to obtain insight into the elements which may potentially shift the ECL estimate. We have performed relevant benchmarking considerations; • the inputs used in the macroeconomic forecasting model, and how these have been input into the ECL models. We assessed the adequacy and sufficient of disclosure in the financial statements in terms of the financial reporting framework. <i>Key observations:</i> Based on the results of our audit procedures performed, we did not note any significant matters requiring further consideration.
Amortising notes - Note 4 (consolidated financial statements) Significant judgement is applied by management in the determination of whether the new notes are purchased/originated credit impaired (POCI). IFRS 9 requires classification of the notes based on the business model and their contractual cash flow characteristics. The new notes were issued as a restructuring solution to the Promissory Notes that defaulted in 2020. Classification of the notes as POCI would result in the ECL on the notes being measured at an amount equal to the result of default events possible in their lifetime. Due to the high degree of management judgement, and significant auditor attention, the amortising notes have been considered a matter of most significance in the current year audit of the consolidated financial statements.	In evaluating whether the new notes are purchased/originated credit impaired we: • Obtained an understanding of the terms of the related agreements and assessed whether the expected cashflows from the old promissory notes differed significantly with the cashflows under the terms of the new notes; • Engaged our internal credit and accounting technical experts to assist where significant judgement has been applied. Where • management used specialists to perform the POCI assessment, we evaluated their competence, capabilities and objectivity. We assessed the adequacy and sufficient of disclosure in the financial statements in terms of the financial reporting framework. <i>Key observation:</i> Based on the results of our audit procedures performed, we did not note any significant matters requiring further consideration.

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF THE SOUTH AFRICAN RESERVE BANK

continued

Key audit matter	How the matter was addressed
Gold and Foreign Exchange Contingency Reserve Account (GFECRA) - Note 21 (consolidated and separate financial statements) In terms of sections 25 to 28 of the SARB Act, the gains or losses arising from the valuation and trading of gold, gains or losses on assets denominated in foreign currencies, which are attributable to the depreciation or appreciation of the Rand and gains or losses on Forward Exchange Contracts traded by the SARB, are for the account of the South African Government as disclosed in note 21 to the annual financial statements. Due to the significance of this balance and significant auditor attention, GFECRA has been considered a matter of most significance in the current year audit of the consolidated and separate financial statements.	We have: - Recalculated the movements in the gold price, foreign exchange and the forward exchange contracts adjustment accounts; - Tested the integration of the reporting system and the trading platform for the extraction of prices and foreign currency exchange rates; - Reperformed the reasonability test for the foreign currency exchange rates. - Tested that the daily postings into the gold price, foreign exchange and the forward exchange contracts adjustment accounts are affected and that the previous day's postings are reversed; - Engaged Accounting Technical expertise in the assessment of the GFECRA settlement framework and agreements as well as the accounting treatment of the agreed settlement.; - Obtained confirmation of the transfer of funds from the SARB to National Treasury to support the partial extinguishment of the GFECRA liability. We assessed the adequacy and sufficient of disclosure in the financial statements in terms of the financial reporting framework. <i>Key observations:</i> Based on the results of our audit procedures performed, we did not note any significant matters requiring further consideration.

Emphasis of matter - Basis of accounting

We draw attention to Note 1 to the consolidated and separate financial statements, which describes the basis of accounting. The consolidated and separate financial statements are prepared in accordance with the SARB's own accounting policies and the requirements of the SARB Act to satisfy the financial information needs of the SARB's shareholders. As a result, the consolidated and separate financial statements may not be suitable for any other purpose. Our opinion is not modified in respect of this matter.

Other Information

The directors are responsible for the other information. The other information comprises the information included in the document titled "South African Reserve Bank Annual Financial Statements 2024/25" and the document titled "South African Reserve Bank Annual Report 2024/25". The other information does not include the consolidated and separate financial statements and our auditors' report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF THE SOUTH AFRICAN RESERVE BANK continued

Responsibilities of the Directors for the Consolidated and Separate Financial Statements

The directors are responsible for the preparation of the consolidated and separate financial statements in accordance with the basis of accounting described in Note 1 to the consolidated and separate financial statements and the requirements of the SARB Act, for determining that the basis of preparation is acceptable in the circumstances and for such internal control as the directors determine is necessary to enable the preparation of the consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the SARB's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group and/or the Entity or to cease operations, or have no realistic alternative but to do so.

Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group and the Entity's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group and/or the Entity's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and/or the Entity to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the Group audit to obtain sufficient appropriate audit evidence, regarding the financial information of the entities or business units within the Group, as a basis for forming an opinion on the consolidated financial statements. We are responsible for the direction, supervision and review of the audit work performed for the purposes of the Group audit. We remain solely responsible for our audit opinion.

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF THE SOUTH AFRICAN RESERVE BANK

continued

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report, unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

BDO South Africa Inc.

BDO South Africa Inc. (Jun 19, 2025 22:51 GMT+2)

BDO South Africa Inc
Director: Alethia Chetty
Registered Auditor
Johannesburg, South Africa
Wanderers Office Park
52 Corlett Drive
Illovo
2196
19 June 2025

SizweNtsalubaGobodo Grant Thornton Inc.

SizweNtsalubaGobodo Grant Thornton Inc.
Director: Agnes Dire
Registered Auditor
Johannesburg, South Africa
152 14th Road
Noordwyk
Midrand
1687
19 June 2025

Consolidated and separate statements of financial position

as at 31 March 2025

	Note	GROUP		SARB	
		2025 R mil	2024 R mil	2025 R mil	2024 R mil
Assets					
Cash and cash equivalents	2	90 053	61 743	–	–
Amounts due by Group companies	34.4	–	–	194	777
Accommodation to banks	3	353	451	353	451
Investments	4	425	23 637	–	–
Other assets	5	2 356	2 816	1 952	2 597
Gold and foreign exchange reserves	6	1 235 701	1 179 025	1 235 701	1 179 025
Inventories	7	2 524	2 587	6	5
Forward exchange contract assets	8	78	118	78	118
Loans and advances	9	4 494	7 080	4 494	7 080
Current taxation receivable	24	5	35	–	–
South African government bonds	10	34 803	32 007	34 803	32 007
Equity investment in Bank for International Settlements	11	7 184	6 605	7 184	6 605
Investments in subsidiaries	34.1	–	–	1 012	1 012
Investment in associate	34.3	3 189	3 429	2 795	3 106
Property, plant and equipment	12	7 396	5 297	5 875	3 800
Intangible assets	13	1 322	1 397	1 292	1 367
Total Assets		1 389 883	1 326 227	1 295 739	1 237 950
Liabilities					
Notes and coin in circulation	15	167 771	169 504	167 771	169 504
Deposits	16	579 638	474 272	462 002	363 947
Amounts due to Group companies	34.4	–	–	50 328	28 303
Foreign deposits	17	88 338	101 224	88 338	101 224
Other liabilities	18	3 535	3 732	2 181	1 747
Liquidity tier liability	19	18 779	–	–	–
Forward exchange contract liabilities	8	6	24	6	24
Current taxation payable	24	1 427	58	1 432	58
Deferred taxation liabilities	14	795	753	631	598
Post-employment benefits	20	2 793	2 685	2 566	2 470
Gold and Foreign Exchange Contingency Reserve Account	21	363 901	531 989	363 901	531 989
Total Liabilities		1 226 983	1 284 241	1 139 156	1 199 864
Capital and reserves					
Share capital	22	2	2	2	2
Accumulated profit		4 561	2 935	–	–
Statutory reserve		458	458	458	458
Contingency reserve		152 856	34 258	151 238	33 415
Bank for International Settlements revaluation reserve	11	4 033	3 426	4 033	3 426
Property plant and equipment revaluation reserve	12	144	128	144	128
Post-employment benefit remeasurement reserve	20	765	713	708	657
Non-controlling interest		81	66	–	–
Total capital and reserves		162 900	41 986	156 583	38 086
Total liabilities, capital and reserves		1 389 883	1 326 227	1 295 739	1 237 950

Consolidated and separate statements of profit or loss and other comprehensive income

for the year ended 31 March 2025

	Note	GROUP		SARB	
		2025 R mil	2024 R mil	2025 R mil	2024 R mil
Interest revenue from amortised cost items	32	9 381	10 697	1 094	1 298
Interest revenue from fair value items	32	13 803	14 674	13 774	14 609
Interest expense	32	(23 253)	(18 339)	(15 454)	(9 372)
Net interest (expense) revenue		(69)	7 032	(586)	6 535
Fair value gains	32	33 669	20 164	33 559	19 941
Dividend income	32 & 34.3	145	112	145	112
Operating income	23.1	4 997	3 370	1 326	1 127
Other income	23.1	100 000	–	100 000	–
Total income		138 742	30 678	134 444	27 715
Movement in credit loss allowances	29.2	342	337	–	8
Operating costs	23.2	(11 891)	(10 561)	(9 658)	(8 448)
Share of net profit of associate	34.3	71	154	–	–
Dilution loss on investment in associate	34.3	(311)	–	(311)	–
Impairment loss on investment in associate	34.3	–	(982)	–	(982)
Profit before taxation		126 953	19 626	124 475	18 293
Taxation	24	(6 714)	(5 372)	(6 652)	(5 301)
Profit for the year		120 239	14 254	117 823	12 992
Attributable to:					
The parent		120 224	14 213	117 823	12 992
Non-controlling interest	34.1	15	41	–	–
		120 239	14 254	117 823	12 992
Other comprehensive income					
Items that will not be reclassified to profit or loss:					
Net gain on equity investments designated at fair value through other comprehensive income	11	774	417	774	417
Revaluation of property, plant and equipment	12	20	–	20	–
Remeasurement of post-employment benefits	20	69	139	70	136
Taxation	14	(190)	(128)	(190)	(127)
Other comprehensive income for the year net of taxation		673	428	674	426
Total comprehensive income for the year		120 912	14 682	118 497	13 418
Total comprehensive income attributable to:					
The parent		120 897	14 641	118 497	13 418
Non-controlling interest	34.1	15	41	–	–
		120 912	14 682	118 497	13 418

Consolidated and separate statements of cash flows

for the year ended 31 March 2025

	Note	GROUP		SARB	
		2025 R mil	2024 R mil	2025 R mil	2024 R mil
Net cash flows generated from operating activities					
Net cash flows generated from operations	26	32 665	32 835	22 432	13 648
Interest received		8 708	10 697	1 074	1 298
Interest paid		(21 982)	(18 339)	(15 216)	(9 372)
Taxation paid	24	(5 456)	(3 700)	(5 436)	(3 524)
Dividends paid ¹	25	–	–	–	–
Dividends received	32 & 34.3	145	112	145	112
Net cash flows generated from operating activities		14 080	21 605	2 999	2 162
Net cash flows utilised in investing activities					
Purchase of property, plant and equipment	12	(2 490)	(2 186)	(2 337)	(2 068)
Proceeds on disposal of property, plant and equipment and intangible assets		–	235	–	235
Purchase of intangible assets	13	(669)	(338)	(662)	(329)
Net cash flows utilised in investing activities		(3 159)	(2 288)	(2 999)	(2 162)
Net cash flows generated from financing activities					
Interest paid on liquidity tier liability		(1 271)	–	–	–
Increase in liquidity tier liability	19	18 929	–	–	–
Repayment of liquidity tier liability	19	(269)	–	–	–
Net cash flows generated from financing activities		17 389	–	–	–
Total cash and cash equivalents movement for the year		28 310	19 317	–	–
Cash and cash equivalents at the beginning of the year	2	61 743	42 426	–	–
Total cash and cash equivalents at the end of the year	2	90 053	61 743	–	–

¹ Dividends paid for the 2024/25 financial year amounted to R0.2 million (2024: R0.2 million).

Consolidated statement of changes in equity

for the year ended 31 March 2025

Group	Share capital R mil	PEB remeasurement reserve R mil	PPE revaluation reserve R mil	Contingency reserve R mil	BIS revaluation reserve R mil	Statutory reserve R mil	Accumulated profit R mil	Total R mil	Non- controlling interest R mil	Total R mil
Balance at 31 March 2023	2	613	128	20 423	3 099	458	2 557	27 280	25	27 305
Profit for the year	-	-	-	-	-	-	14 213	14 213	41	14 254
Other comprehensive income	-	100	-	-	327	-	-	427	-	427
Total comprehensive income for the year	-	100	-	-	327	-	14 213	14 640	41	14 681
Transfer to/(from) reserves	-	-	-	13 835	-	-	(13 835)	-	-	-
Balance at 31 March 2024	2	713	128	34 258	3 426	458	2 935	41 921	66	41 986
Profit for the year	-	-	-	-	-	-	120 224	120 224	15	120 239
Other comprehensive income	-	52	16	-	607	-	-	675	-	675
Total comprehensive income for the year	-	52	16	-	607	-	120 224	120 899	15	120 914
Transfer to/(from) reserves	-	-	-	118 598	-	-	(118 598)	-	-	-
Dividends paid ¹	-	-	-	-	-	-	-	-	-	-
Balance at 31 March 2025	2	765	144	152 856	4 033	458	4 561	162 819	81	162 900

Note 22

¹ Dividends paid for the 2024/25 financial year amounted to R0.2 million (2024: R0.2 million).

Consolidated statement of changes in equity

continued

for the year ended 31 March 2025

Explanatory notes

Statutory reserve

The statutory reserve is maintained in terms of section 24 of the SARB Act which stipulates that one-tenth of the surplus of the SARB after provisions normally provided for by bankers (i.e. contingency reserve) and payment of dividends has to be credited to the statutory reserve.

Contingency reserve

In terms of section 24 of the SARB Act and section 15 of the CPD Act, contingency reserves are maintained to provide against risks to which the SARB and the CPD respectively are exposed.

Bank for International Settlements revaluation reserve

The shares held in the BIS are held as part of the SARB's function as a central bank and are thus long-standing in nature. Shares are only transferable with the prior consent of the BIS. The net fair value gains/losses on the revaluation of the BIS shares are recognised in OCI. Changes in value due to foreign exchange movements are transferred to the GFECRA. Refer to note 11 for more details.

Property, plant and equipment revaluation reserve

Gains and losses arising from a change in the fair value of artwork included in property, plant and equipment (PPE) are recognised in OCI. When these assets are sold, collected or

otherwise disposed of, the cumulative gain or loss previously recognised in OCI is recognised in accumulated profit.

Post-employment benefit remeasurement reserve

Actuarial gains and losses relating to the remeasurement of the post-employment benefits (PEB) and arising from experience adjustments and changes in actuarial assumptions are charged or credited to OCI in the period in which they arise. These gains and losses are not subsequently reclassified to profit or loss.

Transfer to SA government

In terms of section 24 of the SARB Act, nine-tenths of the surplus of the SARB after provisions normally provided for by bankers (i.e. contingency reserve) and payment of dividends has to be made to the SA government. For the year ended 31 March 2025, no surplus (2024: Rnil) was due to the SA government by the SARB.

In terms of section 15 of the CPD Act, the balance of net profits after transfers to reserves and payment of dividends has to be made to the SA government. For the year ended 31 March 2025, no profits (2024: Rnil) were due to the SA government by the CPD.

Non-controlling interest

The group discloses non-controlling interest as a result of its 100% owned subsidiary (SA Mint) that owns 80% in Prestige Bullion.

Separate statement of changes in equity

for the year ended 31 March 2025

	Share capital R mil	PEB remeasurement reserve R mil	PPE revaluation reserve R mil	Contingency reserve R mil	BIS revaluation reserve R mil	Statutory reserve R mil	Accumulated profit R mil	Total R mil
SARB								
Balance at 31 March 2023	2	558	128	20 423	3 099	458	-	24 668
Profit for the year	-	-	-	-	-	-	12 992	12 992
Other comprehensive income	-	99	-	-	327	-	-	426
Total comprehensive income for the year	-	99	-	-	327	-	12 992	13 418
Transfer to/(from) reserves	-	-	-	12 992	-	-	(12 992)	-
Dividends paid ¹	-	-	-	-	-	-	-	-
Balance at 31 March 2024	2	657	128	33 415	3 426	458	-	38 086
Profit for the year	-	-	-	-	-	-	117 823	117 823
Other comprehensive income	-	51	16	-	607	-	-	674
Total comprehensive income for the year	-	51	16	-	607	-	117 823	118 497
Transfer to/(from) reserves	-	-	-	117 823	-	-	(117 823)	-
Dividends paid ¹	-	-	-	-	-	-	-	-
Balance at 31 March 2025	2	708	144	151 238	4 033	458	-	156 583

Note

22

¹ Dividends paid for the 2024/25 financial year amounted to R0.2 million (2024: R0.2 million).

Separate statement of changes in equity continued

for the year ended 31 March 2025

Explanatory notes

Statutory reserve

The statutory reserve is maintained in terms of section 24 of the SARB Act which stipulates that one-tenth of the surplus of the SARB after provisions normally provided for by bankers (i.e. contingency reserve) and payment of dividends has to be credited to the statutory reserve.

Contingency reserve

In terms of section 24 of the SARB Act, contingency reserves are maintained to provide against risks to which the SARB is exposed.

Bank for International Settlements revaluation reserve

The shares held in the BIS are held as part of the SARB's function as a central bank and are thus long-standing in nature. Shares are only transferable with the prior consent of the BIS. The net fair value gains/losses on the revaluation of the BIS shares are recognised in OCI. Changes in value due to foreign exchange movements are transferred to the GFECRA. Refer to note 11 for more details.

Property, plant and equipment revaluation reserve

Gains and losses arising from a change in fair value of artwork included in PPE are recognised in OCI. When these assets are sold, collected or otherwise disposed of, the cumulative gain or loss previously recognised in OCI is recognised in accumulated profit.

Post-employment benefit remeasurement reserve

Actuarial gains and losses relating to the remeasurement of the PEB and arising from experience adjustments and changes in actuarial assumptions are charged or credited to OCI in the period in which they arise. These gains and losses are not subsequently reclassified to profit or loss.

Transfer to SA government

In terms of section 24 of the SARB Act, nine-tenths of the surplus of the SARB after provisions normally provided for by bankers (i.e. contingency reserve) and payment of dividends has to be made to the SA government. For the year ended 31 March 2025, no profits (2024: Rnil) were due to the SA government by the SARB.

Notes to the consolidated and separate financial statements

for the year ended 31 March 2025

1. Accounting policies

1.1 Basis of preparation

The material accounting policies applied in the preparation of these financial statements are set out below. These accounting policies should be read together with the financial reporting framework on page 102.

These financial statements have been prepared on a going concern basis, in accordance with the SARB Act and the accounting policies set out in this note. The directors have considered the impact of the volatility in financial markets, mainly as a result of interest rate hikes by central banks globally in an attempt to curb the steep rise in inflation, among other factors.

The directors have also considered the impact of the ongoing geo-political tensions. Although the Group has no direct exposure to the affected countries, the conflict continues to negatively impact financial markets in general. The directors have concluded that the impact of the volatility in financial markets has no material effect on the going concern of the SARB and its subsidiaries. These matters will, however, be monitored and included in the considerations for forward-looking information. The application of the going concern assumption is therefore deemed to be appropriate.

These financial statements have been prepared on the historical cost basis, except where the fair value basis is considered more appropriate.

These financial statements comprise the consolidated and separate statements of financial position as at 31 March 2025, consolidated and separate statements of profit or loss and other comprehensive income, consolidated and separate statements of changes in equity and consolidated and separate statements of cash flows for the year ended 31 March 2025, as well as the notes, comprising a summary of material accounting policies and other explanatory notes.

In accordance with section 55 of the FSR Act, separate financial accounts in relation to the PA are required. The PA annual financial accounts are included on page 203.

The Group's functional and presentation currency is the South African rand and all amounts are rounded to the nearest million, unless otherwise stated.

The preparation of the financial statements requires the use of certain key accounting estimates. It also requires management to exercise judgement in the process of applying the accounting policies of the Group. The areas with a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements, are disclosed in note 1.22 and the relevant notes.

The accounting policies have been applied consistently to all years presented.

1.2 New accounting pronouncements

1.2.1 New accounting pronouncements effective in the current financial year

Amendments to IAS 1: Classification of liabilities as current or non-current

The amendments clarify the requirements to classify a liability as current or non-current. If an entity has the right at the end of the reporting period, to defer settlement of a liability for at least 12 months after the reporting period, then the liability is classified as non-current. If this right is subject to conditions imposed on the entity, then the right only exists if, at the end of the reporting period the entity has complied with those conditions. In addition, the classification is not affected by the likelihood that the entity will exercise its right to defer settlement. Therefore, if the right exists, the liability is classified as non-current even if management intends or expects to settle the liability within 12 months of the reporting period. Additional disclosures would be required in such circumstances. The effective date of the amendments is for financial years commencing on or after 1 January 2024. The amendments do not have a material impact on the Group's financial statements.

Amendments to IAS 1: Non-current liabilities with covenants

The amendments improve the information an entity provides when its right to defer settlement of a liability for at least 12 months is subject to compliance with covenants. The amendments also provide guidance on when to classify liabilities arising from covenants as current or non-current. Additional disclosures will be required in the notes to the annual financial statements if an entity classifies liabilities arising from covenants as non-current. The effective date of the amendments is for financial years commencing on or after 1 January 2024. The amendments do not have a material impact on the Group's financial statements.

Amendments to IFRS 16: Lease liability in a sale and leaseback

The amendments require that a seller-lessee in a sale and leaseback transaction, shall determine 'lease payments' or 'revised lease payments' in a way that the seller-lessee would not recognise any amount of the gain or loss that relates to the right of use retained by the seller-lessee. The effective date of the amendments is for financial years commencing on or after 1 January 2024. The amendments do not have a material impact on the Group's financial statements.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

1. Accounting policies continued

1.2 New accounting pronouncements continued

1.2.1 New accounting pronouncements effective in the current financial year continued

Amendments to IAS 7 and IFRS 7: Disclosures: Supplier Finance Arrangements

The amendments apply to circumstances where supplier finance arrangements exist. These are arrangements where finance providers pay the suppliers of the entity, thus providing the entity with extended payment terms or the suppliers with early payment terms. The entity then pays the finance providers based on their specific terms and conditions. The amendments require the disclosure of information about supplier finance arrangements that enable users of financial statements to assess the effects of those arrangements on the entity's liabilities and cash flows as well as on the entity's exposure to liquidity risk. The effective date of the amendments is for financial years commencing on or after 1 January 2024. The amendments do not have a material impact on the Group's financial statements.

IFRS S1: General Requirements for Disclosure of Sustainability-related Financial Information and IFRS S2: Climate-related disclosures

IFRS S1 and IFRS S2 are the inaugural standards issued by the International Sustainability Standards Board (ISSB). IFRS S1 provides a set of disclosure requirements designed to enable companies to communicate to investors about the sustainability-related risks and opportunities they face over the short, medium and long term while IFRS S2 sets out specific climate-related disclosures and is designed to be used with IFRS S1. The effective date of these Sustainability Disclosure Standards is for financial years commencing on or after 1 January 2024 with the adoption thereof currently not being mandatory in South Africa. The Group is currently developing its broader sustainability strategy and will consider adopting these voluntary standards in future financial years, when the strategy has been finalised.

1.2.2 New accounting pronouncements issued but not yet effective

Several new IFRS Accounting Standards and amendments are effective for financial years commencing on or after 1 January 2025 and have not been early adopted in preparing these financial statements. The Group will adopt these amendments, if applicable, in the relevant financial year in which they become effective.

These are as follows:

Amendments to IAS 21: Lack of exchangeability

The amendments apply to currencies that are not exchangeable. The definition of exchangeable is provided as being when an entity is able to obtain the other currency within a time frame that allows for a normal administrative delay and through a market or exchange mechanism in which an exchange transaction would create enforceable rights and obligations. The amendments require an entity to estimate the spot exchange rate at measurement date when a currency is not exchangeable into another currency. Additional disclosures are also required to enable users of financial statements to understand the impact of the non-exchangeability on financial performance, financial position and cash flow. The effective date of the amendments is for financial years commencing on or after 1 January 2025. It is unlikely that the amendments will have a material impact on the Group's financial statements.

Amendments to IFRS 9 and IFRS 7: Classification and Measurement of Financial Instruments

The amendments clarify that financial assets and financial liabilities are recognised and derecognised at settlement date except for regular way purchases or sales of financial assets and financial liabilities meeting the specified conditions. The new exception permits companies to elect to derecognise certain financial liabilities settled via electronic payments systems earlier than the settlement date. The amendments also provide guidelines to assess contractual cash flow characteristics of financial assets for the year ended 31 March 2025, which apply to all contingent cash flows including those arising from ESG-linked features. Additionally, these amendments introduce additional disclosure requirements with respect to investments in equity instruments designated at fair value through other comprehensive income and financial instruments with contingent features. The effective date of these amendments is for financial years commencing on or after 1 January 2026. It is unlikely that the amendments will have a material impact on the Group's financial statements.

Amendments to IFRS 9 and IFRS 7: Contracts

Referencing Nature-dependent Electricity

These amendments address the application of 'own use' and hedge accounting requirements for Contracts Referencing Nature-dependent Electricity, often referred to as Power Purchase Agreements (PPAs), which meet specified criteria. If a PPA qualifies for the 'own use' exemption it is accounted for as an executory contract rather than as a derivative. In contrast, if a PPA does not qualify for the 'own use' exemption it is accounted for as a derivative to which hedge accounting considerations may apply. The amendments apply to contracts that reference electricity generated from nature-dependent sources and for which cash flows vary based on the amount of electricity generated by a reference production facility.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

1. Accounting policies continued

1.2 New accounting pronouncements continued

1.2.2 New accounting pronouncements issued but not yet effective continued

New disclosures have also been introduced. The effective date of these amendments is for financial years commencing on or after 1 January 2026. It is unlikely that the amendments will have a material impact on the Group's financial statements.

Annual improvements to IFRS Accounting Standards: Volume 11

Annual improvements are limited to changes that either clarify wording in an IFRS Accounting Standard or correct relatively minor unintended consequences, oversights or conflicts between the requirements in the IFRS Accounting Standards. The effective date of these annual improvements is for financial years commencing on or after 1 January 2026 and have been made to IFRS 1, IFRS 7, IFRS 9, IFRS 10 and IAS 7. It is unlikely that the improvements will have a material impact on the Group's financial statements.

IFRS 18: Presentation and Disclosures in Financial Statements

IFRS 18 is the new IFRS Accounting Standard issued with the objective of providing investors with more transparent and comparable information about entities' financial performance. This new IFRS Accounting Standard replaces IAS 1: Presentation of Financial Statements (IAS 1) with only a few key new concepts being introduced, namely:

- requirements relating to the structure of the statement of profit or loss including the introduction of required new subtotals in the statement of profit or loss;
- required disclosures in the financial statements for certain profit or loss performance measures that are reported outside of the entity's financial statements (Management-defined Performance Measures (MPM)); and
- enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes in general.

The effective date of this IFRS Accounting Standard is for financial years commencing on or after 1 January 2027. The impact of IFRS 18 on the Group's financial statements is still being assessed.

IFRS 19: Subsidiaries without public accountability: Disclosures

IFRS 19 is a voluntary IFRS Accounting Standard that enables an eligible subsidiary to provide reduced disclosures compared to the disclosure requirements of an applicable

IFRS Accounting Standard. A subsidiary is eligible to apply IFRS 19 if it does not have public accountability and its parent company produces consolidated financial statements available for public use that comply with IFRS Accounting Standards. Entities that elect to apply IFRS 19 are, however, still required to apply the recognition measurement and presentation requirements of an applicable IFRS Accounting Standard. The effective date of this IFRS Accounting Standard is for financial years commencing on or after 1 January 2027. It is unlikely that IFRS 19 will be adopted by the subsidiaries within the Group; however, the adoption is at the discretion of the relevant subsidiary Boards. For consolidation, all subsidiaries will still be required to provide the full IFRS disclosures.

1.3 Group accounting

1.3.1 Subsidiaries

Subsidiaries are all entities over which the SARB has control. The SARB controls an entity when the SARB is exposed to or has rights to variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the relevant activities of the entity. Subsidiaries are consolidated from the date on which control is transferred to the SARB.

In the separate financial statements of the SARB, investments in subsidiaries are stated at cost less accumulated impairment losses. Where appropriate, the cost includes loans to subsidiaries with no repayment terms where these are considered part of the investment in subsidiaries.

Intercompany transactions, balances and unrealised gains on transactions between the Group companies are eliminated on consolidation.

1.3.2 Investment in associate

An associate is an entity over which the Group has significant influence without control or joint control. This is generally the case where the Group holds between 20% and 50% of the voting rights.

The Group initially recognises its investment in associate at cost and subsequently accounts for its share of the post-acquisition profits or losses of the associate in profit or loss and the Group's share of movements in OCI of the associate, in OCI.

Dividends received or receivable from an associate are recognised as a reduction in the carrying amount of the investment. In the separate financial statements of the SARB the investment in associate is accounted for at cost less accumulated impairment losses where appropriate.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

1. Accounting policies continued

1.4 Financial instruments

1.4.1 Financial assets

Classification

The Group classifies its financial assets into the following measurement categories:

- amortised cost;
- fair value through other comprehensive income (FVOCI);
- fair value through profit or loss (FVPL); and
- instruments measured in terms of the SARB Act.

The Group determines the classification of financial assets based on both the Group's business model for managing the financial assets and the contractual cash flow characteristics of the financial asset.

For debt instruments the business model test and cash flow characteristics of solely payments of principal and interest (SPPI) test are applied by the Group in determining the category which best applies to the financial instruments that it holds and/or trades. Under the business model test the Group determines the objective for which it holds the financial instrument:

- holding the financial asset to collect the contractual cash flows;
- selling the instrument prior to its contractual maturity to realise its fair value changes; or
- holding for collection of contractual cash flows and for selling the assets.

Factors considered by the Group in determining the business model of a group of assets include past experience on how the cash flows for these assets are collected, how the asset's performance is evaluated and reported to key management personnel, how risks are assessed and managed and how managers are compensated. The business model test is performed before the SPPI test.

Under the SPPI test the Group determines whether the collection of contractual cash flows represent SPPI on specified dates. In making this assessment the Group considers whether the contractual cash flows are consistent with a basic lending arrangement (i.e. interest includes only consideration for time value of money, credit risk, other basic lending risks and a profit margin that is consistent with a basic lending arrangement). Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are SPPI.

Financial assets, excluding instruments measured in terms of the SARB Act, are classified into measurement categories as follows:

- financial assets that are held for the collection of contractual cash flows where those cash flows represent SPPI are measured at amortised cost;
- financial assets that are held for trading or to realise fair value changes prior to contractual maturity are measured at FVPL; and
- financial assets that are held for both the collection of contractual cash flows and for sale are measured at FVOCI.

Amortised cost

Assets that are held for collection of contractual cash flows where those cash flows represent SPPI and that are not specifically excluded in terms of sections 25 to 28 of the SARB Act or designated at FVPL are measured at amortised cost. Financial assets held at amortised cost include:

- cash and cash equivalents;
- accommodation to banks;
- investments;
- loans and advances; and
- other financial assets.

Fair value through other comprehensive income

Financial assets that are held for collection of contractual cash flows and for selling the assets where the assets' cash flows represents SPPI and that are not specifically excluded in terms of sections 25 to 28 of the SARB Act or designated at FVPL are measured at FVOCI.

If an equity instrument is held for purposes other than to generate investment returns the Group can make an irrevocable election at initial recognition to measure it at FVOCI. The Group's policy is to designate equity instruments as FVOCI when those instruments are held for purposes other than to generate investment returns.

The BIS shares are held as part of the SARB's function as a central bank and not to generate investment returns. In accordance with the Group's policy, these shares have been designated at FVOCI. Refer to note 11 for further disclosure.

Fair value through profit or loss

Derivatives assets that do not meet the criteria for amortised cost or FVOCI and that are not specifically excluded in terms of sections 25 to 28 of the SARB Act are measured at FVPL. Assets can be designated at FVPL at initial recognition if doing so eliminates or significantly reduces a measurement or recognition inconsistency.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

1. Accounting policies continued

1.4 Financial instruments continued

1.4.1 Financial assets continued

Financial assets held at mandatory FVPL include:

- foreign exchange reserves; and
- SA government bonds.

The SARB seeks to minimise the effects of currency and interest rate risks by using such instruments to economically hedge the related risk exposures. The SARB does not enter into or trade financial instruments for proprietary trading purposes. Refer to note 6 for further disclosure.

Instruments measured in terms of the SARB Act

Sections 25 to 28 of the SARB Act prescribe the accounting treatment for specific financial assets which takes precedent over IFRS Accounting Standards. The accounting treatment prescribed by the SARB Act for these specific financial assets is not in line with the requirements of IFRS 9 therefore these instruments are not classified in accordance with IFRS 9 for reporting purposes. The financial reporting framework of the SARB specifically refers to this deviation from IFRS Accounting Standards.

The following assets are governed by sections 25 to 28 of the SARB Act and thus not classified in terms of IFRS 9:

- gold;
- special Drawing Rights (SDR) reserves; and
- FEC assets.

FECs are used for monetary policy operations of the SARB and exposures for both assets and liabilities are matched economically. The Group has elected to not apply hedge accounting per IFRS 9. Refer to note 8 for further disclosure.

Initial recognition

Financial assets are recognised when the Group becomes party to the contractual provisions of the instrument. Regular way purchases and sales of financial assets are recognised on trade-date, the date on which the Group commits to purchase or sell the asset. From this date any gains or losses arising from changes in the fair value of the assets and liabilities are recognised.

Financial assets are initially recognised at fair value plus transaction costs, except those carried at FVPL. Transaction costs of financial assets carried at FVPL are expensed in profit or loss. After initial recognition, an expected credit loss (ECL) allowance is recognised for financial assets measured at amortised cost as described in note 29.2.2.

The best evidence of fair value on initial recognition is the transaction price, unless fair value is evidenced by comparison with other observable current market transactions in the same instrument or based on discounted cash flow models and option-pricing valuation techniques

whose variables include data from observable markets.

When the fair value of financial assets differs from the transaction price on initial recognition the Group recognises the difference as follows:

- When the fair value is evidenced by a quoted price in an active market for an identical asset (i.e. a Level 1 input) or based on a valuation technique that uses only data from observable markets, the difference is recognised as a gain or loss.
- In all other cases the difference is deferred and the timing of recognition of the deferred day one profit or loss is determined individually. It is either amortised over the life of the instrument deferred until the instrument's fair value can be determined using market observable inputs, or realised through settlement.

Subsequent measurement

Equity instruments

All equity investments are valued at fair value with value changes being recognised in profit or loss except where the Group has elected to present the fair value changes in OCI.

Debt instruments

Amortised cost

The carrying amount of these assets is adjusted by an ECL allowance recognised and measured as described in note 29.2.2. Amortised cost is calculated using the effective interest method that discounts the estimated future cash payments or receipts through the expected life of the financial instrument to the net carrying amount of the financial asset. Interest income using the effective interest method from these financial assets is included in profit or loss.

Fair value through profit or loss

A fair value gain or loss on a debt instrument subsequently measured at FVPL is recognised in profit or loss. Interest income using the effective interest method from these financial assets is included in profit or loss.

Fair value through other comprehensive income

Fair value movements in the carrying amount are recognised in OCI, except for the recognition of impairment losses or reversals and interest revenue on the instrument's amortised cost which are recognised in profit or loss and changes in fair value due to foreign exchange movements as explained in note 1.6. When the financial asset is derecognised the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss.

Instruments measured in terms of the SARB Act

In terms of sections 25 to 28 of the SARB Act all gains and losses on gold held by the SARB and foreign exchange gains or losses of the SARB (as explained in note 1.6) insofar as they arise from changes in the value of the rand compared to other currencies are for the account of the SA government. Therefore all these gains or losses are transferred to the GFECRA.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

1. Accounting policies continued

1.4 Financial instruments continued

1.4.1 Financial assets continued

Subsequent measurement continued

Impairment of financial assets

The Group assesses on a forward-looking basis the ECL associated with its debt instruments carried at amortised cost, debt instruments carried at FVOCI and the exposure arising from loan commitments. The Group recognises a loss allowance for such losses at each reporting date. No loss allowance is recognised on equity instruments.

The measurement of ECL reflects:

- an unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes;
- the time value of money; and
- reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

ECL measurement

IFRS 9 outlines a 'three-stage' model for impairment based on changes in credit quality since initial recognition. The Group applies the same model for all financial assets and is summarised below:

- A financial instrument that has not experienced a significant increase in credit risk (SICR) since initial recognition and is not credit-impaired is classified in 'stage 1' and has its credit risk continuously monitored by the Group.
- If a significant increase in credit risk since initial recognition is evident, the financial instrument is moved to 'stage 2' but is not yet deemed to be credit impaired. Please refer to note 29.2.2.1 for a description of how the Group determines when an SICR has occurred.
- If the financial instrument is credit-impaired the financial instrument is then moved to 'stage 3'.
- Financial instruments in stage 1 have their ECL measured at an amount equal to the portion of lifetime ECL that result from default events possible within the next 12 months. Financial instruments in stages 2 or 3 have their ECL measured on a lifetime basis.
- Purchased or originated credit-impaired financial assets are those financial assets that are credit-impaired on initial recognition. Their ECL is always measured on a lifetime basis (stage 3).

The Group uses the following key inputs in its model for measuring ECL:

- probability of default (PD);
- loss given default (LGD); and
- exposure at default (EAD).

Please refer to note 29.2.2.3 for a description of inputs, assumptions and estimation techniques used in measuring the ECL.

- A pervasive concept in measuring ECL in accordance with IFRS 9 is that it should consider forward-looking information. Note 29.2.2.4 includes an explanation of how the Group has incorporated this in its ECL models.

The ECL assessment for the guarantee provided to the commercial banks under the loan guarantee scheme (LGS), bounce back scheme (BBS), energy bounce back scheme (EBBS) as well as the guarantee provided to member banks for liquidity tier contributions made to CODI, are summarised below:

- The ECL allowances calculated by the commercial banks for the portfolio of borrowings under the LGS and BBS are obtained and reviewed by the Group. Similar to the Group the commercial banks follow a 'three-stage' model for impairment based on changes in the credit quality since initial recognition and use the same key inputs in their models for measuring ECL.
- The LGS ECL allowance is reduced by the guarantee fee premium which serves as the first and second loss buffer under the waterfall for recovery of losses and, thereafter, by a 6% borrowers risk portion (third loss buffer) which is borne by the commercial banks. The LGS ECL allowance that remains after taking into account the first to third loss buffers will be recognised as an ECL in terms of the financial guarantee. The SARB's obligations under the LGS are covered by a full back-to-back guarantee from the SA government.
- The BBS and EBBS ECL allowances are limited to the maximum amount guaranteed by the SARB, which is 20.5% of the capital amount advanced to commercial banks. The SARB's obligations under these schemes are covered by a full back-to-back guarantee from the SA government.
- The ECL allowance for the SARB guarantee to member banks for their liquidity tier contributions to CODI is calculated with reference to CODI's PD.

Write-off policy

- The Group writes off financial assets when it has exhausted all practical recovery efforts and has concluded that there is no reasonable expectation of recovery. Indicators thereof include ceasing enforcement activities or where the collateral value indicates that there is no reasonable expectation of recovery.
- Financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedures for recovery of amounts due.
- The key judgements and assumptions adopted by the Group in addressing the requirements of the standard are discussed in note 29.2.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

1. Accounting policies continued

1.4 Financial instruments continued

1.4.1 Financial assets continued

Subsequent measurement continued

Derecognition of financial assets

Financial assets are derecognised when the rights to receive cash flows from the assets have expired or where the Group has transferred substantially all risks and rewards of ownership.

Collateral furnished by the Group under standard repurchase agreements and securities lending and borrowing transactions is not derecognised because the Group retains substantially all the risks and rewards on the basis of the predetermined repurchase price and the criteria for derecognition are therefore not met.

1.4.2 Financial liabilities

Classification

The Group classifies financial liabilities into the following measurement categories:

- amortised cost;
- FVPL; and
- instruments measured in terms of the SARB Act.

The Group classifies a financial instrument that it issues as a financial liability in accordance with the substance of the contractual agreement. Management determines the classification of financial liabilities at initial recognition. Due to the SARB's mandate as a central bank and 'lender of last resort' movements in financial liabilities are classified as operating activities in the statement of cash flows.

Financial liabilities at amortised cost

All financial liabilities are measured at amortised cost except for liabilities specifically excluded in terms of sections 25 to 28 of the SARB Act and financial liabilities measured at FVPL including derivatives.

Financial liabilities measured at amortised cost include:

- notes and coin in circulation;
- deposits;
- liquidity tier liability; and
- other financial liabilities.

Financial liabilities at fair value through profit or loss

Financial liabilities that are managed and whose performance is evaluated on a fair value basis and financial liabilities so designated are measured at FVPL.

Financial liabilities held at FVPL include:

- foreign deposits.

Instruments measured in terms of the SARB Act

Sections 25 to 28 of the SARB Act prescribe the accounting treatment for specific financial liabilities which takes precedent over IFRS. The accounting treatment prescribed by the SARB Act for these specific financial liabilities is not in line with the requirements of IFRS 9, therefore these instruments are not classified in accordance with IFRS 9 for reporting purposes. The financial reporting framework of the SARB specifically refers to this deviation from IFRS.

The following liabilities are governed in terms of sections 25 to 28 of the SARB Act and thus not classified in terms of IFRS 9:

- FEC liabilities; and
- the GFECRA.

Initial recognition

The Group recognises financial liabilities when it becomes a party to the contractual provisions of the instrument.

Financial liabilities are initially recognised at fair value, which is generally their issue proceeds net of transaction costs incurred. The best evidence of fair value on initial recognition is the transaction price, unless the fair value is evidenced by comparison with other observable current market transactions in the same instrument or based on discounted cash flow models and option-pricing valuation techniques whose variables include only data from observable markets.

Subsequent measurement

Amortised cost

Amortised cost is calculated using the effective interest method that discounts the estimated future cash payments or receipts through the expected life of the financial instrument to the net carrying amount of the financial liability.

Instruments measured in terms of the SARB Act

In terms of sections 25 to 28 of the SARB Act all gains and losses on gold held by the SARB (as explained in note 1.9) and foreign exchange profits or losses of the SARB insofar as they arise from changes in the value of the rand compared to other currencies are for the account of the SA government. Therefore, all these gains or losses are transferred to the GFECRA.

Fair value through profit or loss

Subsequent to initial recognition financial liabilities are measured at fair value. All related realised and unrealised gains or losses arising from changes in fair value, excluding changes in fair value due to foreign exchange movements as explained in note 1.6, are recognised in profit or loss.

Derecognition of financial liabilities

The Group derecognises financial liabilities when and only when the Group's obligations are discharged, cancelled, expire or are substantially modified. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in profit or loss.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

1. Accounting policies continued

1.4 Financial instruments continued

Modifications

When the contractual cash flows of a financial instrument are renegotiated or otherwise modified and the renegotiation or modification does not result in the derecognition of that financial instrument, the gross carrying amount is recalculated as the present value of the renegotiated or modified contractual cash flows that are discounted at the financial instrument's original effective interest rate (or credit-adjusted effective interest rate for purchased or originated credit-impaired financial assets). A modification gain or loss is recognised in profit or loss for the change in the gross carrying amount. Any costs or fees incurred adjust the carrying amount of the modified financial instrument and are amortised over the remaining term of the modified financial instrument.

1.4.3 Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated and separate statements of financial position where there is a current legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

1.4.4 Unrecognised financial assets and liabilities

Guarantees

Guarantees represent contracts where the Group undertakes to make or receive specified payments to or from a counterparty should a counterparty or the SARB suffer loss. This amount represents the maximum exposure not recognised in the statement of financial position.

Loan commitments

Loan commitments represent firm commitments by the Group to provide credit. This amount represents the maximum exposure not recognised in the statement of financial position. Refer to note 33.

1.5 Fair value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction in the principal (or most advantageous) market at the measurement date under current market conditions (i.e. an exit price) regardless of whether that price is directly observable or estimated using another valuation technique.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

Fair values are determined according to the fair value hierarchy based on the requirements in IFRS 13: Fair Value Measurement (IFRS 13). Refer to note 31 for further details.

1.5.1 Derivatives

A derivative is a financial instrument whose value changes in response to an underlying variable that requires little or no initial investment and is settled at a future date. Fair values are obtained from quoted market prices (excluding transaction costs), dealer price quotations, discounted cash flow models and option-pricing models which consider current market and contractual prices for the underlying instruments as well as the time value of money.

1.5.2 Foreign marketable money market investments

The fair value of foreign marketable money market investments is based on quoted bid rates excluding transaction costs.

1.5.3 Local and foreign portfolio investments including securities lending portfolio investments

The fair values of portfolio investments are valued using the quoted market values.

Where these instruments are bank deposits they are valued at nominal values plus accrued interest based on market rates. These values approximate fair values.

1.5.4 SA government bonds

Listed bonds are valued using quoted fair values at year-end as supplied by the JSE Limited.

1.5.5 BIS shares

The SARB's investment in the BIS is valued at the net asset value of the BIS with a haircut of 30% applied. The net asset value of the shares is based on XDRs. XDRs are the currency in which SDRs are valued. The value of the XDR is calculated on the basis of a currency basket comprising the US dollar, euro, Chinese yuan, Japanese yen and Pound sterling. The currency weights are adjusted each year by the IMF in accordance with changes in bilateral foreign exchange rates. This adjustment is not subject to sensitivity. Changes in value due to foreign exchange movements are transferred to the GFECRA in accordance with the SARB Act.

1.5.6 Valuable art

The fair value of valuable art is determined based on the price at which an orderly transaction to sell the assets would take place between market participants at the measurement date under current market conditions.

Revaluations of valuable art are performed every three years by an independent reliable valuator to ensure that the carrying amount does not differ materially from that which would be determined using fair value at the end of the reporting period. In the absence of an official fair value assessment by an independent valuator the insured value will be used as an indicator of fair value.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

1. Accounting policies continued

1.5 Fair value continued

If an asset's carrying amount is increased as a result of a revaluation, the increase shall be recognised in OCI and accumulated in equity under the heading of PPE revaluation reserve. However, the increase shall be recognised in profit or loss to the extent that it reverses a revaluation decrease of the same asset previously recognised in profit or loss.

If an asset's carrying amount is decreased as a result of a revaluation the decrease shall be recognised in profit or loss. However, the decrease shall be recognised in OCI to the extent of any credit balance existing in the revaluation reserve in respect of that asset. The decrease recognised in OCI reduces the amount accumulated in equity under the heading of revaluation reserve.

The PPE revaluation reserve included in equity in respect of an item of valuable art may be transferred directly to accumulated profit when the asset is derecognised.

1.6 Foreign currency – exchange gains or losses arising in entity accounts

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the date of the transactions. Foreign exchange profits or losses of the SARB insofar as they arise from changes in the value of the rand compared to other currencies are for the account of the SA government and consequently all these profits or losses are transferred to the GFECRA in terms of sections 25 to 28 of the SARB Act. Investment returns on foreign exchange reserves and interest paid on foreign loans are for the account of the SARB and are accounted for in profit or loss. Gains and losses on conversion to the functional currency are recognised in profit or loss for the subsidiaries and associate.

1.7 Property, plant and equipment

PPE are tangible items that are held by the Group for use in the production or supply of goods or services for rental to others or for administrative purposes; and are expected to be used for more than one period.

PPE are recognised as an asset when:

- it is probable that expected future economic benefits attributable to the asset will flow to the entity, and
- the cost of the asset can be measured reliably.

PPE are initially recognised at cost.

Freehold land and items under construction are subsequently carried at cost less accumulated impairment losses. Valuable art whose fair value can be measured reliably is carried at the revalued amount, which is the fair value at the date of the revaluation less any subsequent accumulated impairment losses. Other PPE items are subsequently carried at cost less accumulated depreciation and accumulated impairment losses.

Depreciation is determined separately for each significant part of an item of Property, plant and equipment and is charged so as to write off the cost of the assets (other than land, valuable art and items under construction) to their residual value over their estimated useful life using the straight-line method. Land and valuable art have indefinite useful lives and are not depreciated. Depreciation is included as part of operating costs in the statement of profit or loss and other comprehensive income.

Items under construction are not yet available for use, therefore these items are not depreciated. The residual values, useful life and the depreciation method of assets are reviewed at each reporting date and adjusted if appropriate.

The estimated average useful lives of assets are as follows:

Item	Depreciation method	Average useful life (years)
Buildings	Straight line	50
Land	Not depreciated	Indefinite
Furniture and equipment	Straight line	2 to 28
Vehicles	Straight line	5 to 7
Valuable art	Not depreciated	Indefinite
Work in progress	Not depreciated	

Work in progress consists of items under construction and is measured at cost. Work in progress is transferred to the related category of assets and depreciated accordingly when the asset is completed and available for use.

Subsequent costs are included in the carrying amount of the asset only when it is probable that future economic benefits associated with the items will flow to the Group and the cost of the item can be measured reliably. All repairs and maintenance costs are charged to profit or loss when incurred.

An item of Property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its continued use or disposal. Any gain or loss arising from the derecognition of a PPE item is included in the profit or loss.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

1. Accounting policies continued

1.8 Intangible assets

Intangible assets are identifiable non-monetary assets without physical substance which the Group holds for its own use and which are expected to be used for more than one year. This includes internally generated assets and purchased computer software. Internally generated assets are disclosed separately.

Purchased software and the direct costs associated with the customisation and installation thereof are capitalised.

Amortisation is provided to write down the intangible assets on a straight-line basis to their residual values. The residual value of an intangible asset with a finite useful life is assumed to be zero unless it is expected that the intangible asset will be disposed of before the end of its economic life. Amortisation is included as part of operating costs in the statement of profit or loss and other comprehensive income. The residual values, amortisation period and the amortisation method for intangible assets are reviewed at each reporting date and adjusted if appropriate. The estimated average useful lives of the assets are as follows:

Item	Depreciation method	Average useful life (years)
Purchased computer software	Straight line	2 to 10
Internally generated computer software	Straight line	2 to 10
Work in progress	Not amortised	

Work in progress consists of items under development and is measured at cost. Work in progress is transferred to the related category of assets and amortised accordingly when the asset is completed and available for use.

Intangible assets are subsequently carried at cost less any accumulated amortisation and any impairment losses.

An intangible asset is derecognised upon disposal or when no future economic benefits are expected from use or disposal. Any gain or loss arising from the derecognition of an intangible asset is included in profit or loss.

1.9 Gold

Gold is held by the SARB as part of its foreign reserves. In terms of the SARB Act gold is recorded at the statutory rate at initial recognition including transaction costs. Subsequent to initial measurement, it is valued at the statutory price. All gains or losses on gold, including gold deposits, are for the account of the SA government and are accumulated in the GFECRA account.

1.10 Taxation

The taxation expense for the period comprises current and deferred taxation. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred taxation is provided using the liability method based on temporary differences. However, deferred taxation liabilities are not recognised if they arise from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss. The amount of deferred taxation provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities using taxation laws enacted or substantively enacted at the reporting date.

1.11 Employee benefits

1.11.1 Pension and retirement funds

Group companies operate various pension schemes. The schemes are funded through employer and employee contributions to insurance companies or trustee-administered funds. All funds in which the Group participates are defined contribution funds; however, there is an element within the SARB Retirement Fund which is deemed to be defined benefit in nature. This element as detailed in note 20.3 is treated according to the principles of a defined benefit plan.

1.11.1.1 Defined benefit plans

A defined benefit plan is a pension plan that defines an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and compensation.

The expected costs of post-employment defined benefits are charged to profit or loss over the expected service life of the employees entitled to these benefits according to the projected unit credit method. Costs are actuarially assessed and expense adjustments and past-service costs resulting from plan amendments are amortised over the expected average remaining service life of the employees.

The liability recognised in the statement of financial position in respect of defined benefit pension plans is the present value of the defined benefit obligation at the reporting date together with adjustments for unrecognised actuarial gains or losses and past-service costs. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid and that have terms to maturity approximating the terms of the related pension liability.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

1. Accounting policies continued

1.11 Employee benefits continued

1.11.1 Pension and retirement funds continued

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited to equity in OCI in the period in which they arise. Remeasurements are not classified to profit or loss in subsequent periods. Past-service costs are recognised in profit or loss at the earlier of the following dates: (i) when the plan amendment or curtailment occurs or (ii) when the entity recognises related restructuring costs or termination benefits.

1.11.1.2 Defined contribution plans

A defined contribution plan is a pension plan under which the Group pays fixed contributions into a separate entity or fund. The Group has no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employees' benefits relating to employee service in the current and prior periods.

For defined contribution plans the Group pays contributions to publicly or privately administered pension plans on a mandatory contractual or voluntary basis. The contributions are recognised as employee benefit expenses when they are due.

1.11.2 Post-employment benefits

The SARB provides post-employment medical and group life benefits to qualifying employees and retired personnel by subsidising a portion of their medical aid and group life contributions.

Entitlement to these benefits is based on employment prior to a certain date and is conditional on employees remaining in service up to retirement age. The expected costs of post-employment defined benefits are charged to profit or loss over the expected service life of the employees entitled to these benefits according to the projected unit credit method. Costs are actuarially assessed and expense adjustments and past-service costs resulting from plan amendments are amortised over the expected average remaining service life of the employees.

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited to OCI in the period in which they arise. Past-service costs are recognised immediately in profit or loss to the extent that they relate to retired employees or past service.

1.11.3 Leave pay accrual

Employee entitlements to annual leave and long-service leave are recognised when they accrue to employees.

The leave pay accrual at the reporting date represents the present obligation to employees as a result of employees' services provided up to the reporting date. The accrual is

measured as the amount that is expected to be paid as a result of the unutilised leave entitlement that has accumulated at the reporting date.

1.12 Sale and repurchase agreements

The Group enters into sale and repurchase agreements with external counterparties as part of its monetary policy activities. Where securities are sold under agreement to repurchase at a specific future date at a specific future price in exchange for cash, the securities sold are not derecognised. A liability for the amount received is recognised in deposits and measured at amortised cost.

Where the Group purchases securities under agreement to resell at a specific future date at a specific future price in exchange for cash, the securities purchased are not recognised by the Group. These transactions are in substance collateralised advances. The advances are recognised as part of accommodation to banks and measured at amortised cost.

The differences between the purchase and sale prices are treated as interest and amortised over the expected life of the instruments using the effective interest method.

1.13 Inventories

Inventories are measured at the lower of cost and net realisable value. Net realisable value is the estimated selling price in the ordinary course of business less the cost of completion and selling expenses.

Redundant and slow-moving inventories are identified and written down to their estimated economic or realisable values. Raw materials are valued at cost according to the first-in, first-out basis by subsidiaries. Some raw materials are valued at standard cost which closely approximates actual cost on a first-in, first-out basis.

Consumable stores are valued at the weighted-average cost price. Maintenance spares are valued at average cost.

Finished goods and work in progress are valued at direct costs of conversion and production overheads on a first-in, first-out basis. Production overheads are included in the cost of manufactured goods based on normal operating capacity.

Note-printing and coin-minting expenses include ordering printing, minting, freight, insurance and handling costs. These costs are recorded as part of work in progress for the SABN and the SA Mint and are released to profit or loss when the currency is sold to the SARB.

1.14 Cost of new currency

The SARB recognises the cost of new currency in profit or loss when the banknotes and coin are delivered and the significant risks and rewards of ownership are transferred to the SARB.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

1. Accounting policies continued

1.15 Cash and cash equivalents

Cash and cash equivalents consist of deposits with banks and other short-term highly liquid money market investments with original maturities of three months or less (91 days and less). Where the maturity date falls on a weekend or a public holiday the next business day convention will apply; however, the investment will still be considered a 91-day investment. In the separate financial statements, no cash and cash equivalents are reflected due to the SARB's role as a central bank in the creation of money.

The statement of cash flows includes cash on hand, bank deposits and money market instruments. This has been presented on the indirect method of presentation.

1.16 Provisions

Provisions are liabilities of uncertain timing or amount and are recognised when the Group has a present legal or constructive obligation as a result of past events for which it is probable that an outflow of economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Provisions are measured at management's estimate of the expenditure required to settle that obligation at the end of each reporting period and are discounted (at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability) to present value where the effect is material. Provisions are not recognised for future operating losses.

1.17 CODI protection for covered deposits

In terms of legislation, CODI is required to pay qualifying depositors a limited amount of their covered deposits, in the unlikely event that a bank fails. A contingent liability is disclosed in this regard in note 33.4.

When a bank is placed in resolution, a liability will be recognised on the statement of financial position, measured at management's best estimate of the amount required to settle the liability.

1.18 Revenue recognition

1.18.1 Net interest income

Net interest income or expense is recognised using the effective interest method, taking into account the principal outstanding and the effective interest rate over the period to maturity. Net interest income is recognised in profit or loss.

Where financial assets have been impaired interest income continues to be recognised on the impaired value based on the original effective interest rate. Interest income includes the amortisation of any discount or premium or other differences between the initial carrying amount of an interest-bearing instrument and its amount at maturity calculated on an effective interest basis.

Interest income for all financial assets measured at FVPL is presented separately from interest income from financial assets measured at amortised cost.

1.18.2 Operating income

Operating income consists of revenue from contracts with customers within the scope of IFRS 15: Revenue from Contracts with Customers (IFRS 15) and operating income outside the scope of IFRS 15.

1.18.2.1 Operating income within the scope of IFRS 15

For contracts within the scope of IFRS 15, the Group recognises revenue in a manner that depicts the transfer of promised services to customers in an amount that reflects the consideration to which the Group expects to be entitled in exchange for those services.

Revenue from contracts with customers comprises the following items:

Settlement commission income

The SARB provides settlement services for both the NPS and SADC-RTGS. The performance obligation of the SARB is to receive and process settlement instructions on behalf of NPS and SADC-RTGS participants. Revenue is recognised at the point in time when the performance obligation has been satisfied (i.e. settlement instruction has been executed).

Bulk cash service fees

The SARB earns fees on banknote deposit and banknote withdrawal services provided to users of bulk cash services. The performance obligation of the SARB is the distinct service of accepting a deposit or performing a withdrawal of bulk cash. The consideration is variable depending on the number of notes being deposited or withdrawn and the penalties charged on the condition of the bank notes on deposit. The performance obligation is satisfied when the SARB has successfully processed a deposit or withdrawal. Revenue is recognised at a point in time when the deposit or withdrawal is accepted.

Bank charges

The SARB provides banking services to the SA government on a monthly basis and earns revenue in the form of bank charges. The performance obligations of the SARB is to provide banking services which include but are not limited to electronic funds transfers (EFTs), foreign and local payments, and deposits from commercial banks. The performance obligations are satisfied when the SARB executes the specific transaction. The bank charges are recognised at a point in time when the service has been rendered.

Sale of banknotes and coin

The SABN and the SA Mint produce and sell banknotes and coin to the SARB and other third parties. The timing of revenue recognition is at a point in time when (or as) the related performance obligations are satisfied by transferring the promised goods to customers.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

1. Accounting policies continued

1.18 Revenue recognition continued

Management fees

The Bank receives management fees from the CPD, SARB Retirement Fund, SABN and SA Mint.

A fee is charged to the SABN and SA Mint for the secretariat support provided by the SARB Group Secretariat, including meeting facilitation, minute-taking, circulation of resolutions and the fulfilment of certain legislative requirements in terms of the Companies Act as well as overall governance services and support.

A fee is charged to the SARB Retirement Fund for the provision of consulting support services and administrative and accounting duties.

A fee is charged to the CPD for all the functions the SARB performs for the CPD. The SARB carries out all the CPD functions as the CPD has no employees of its own.

These performance obligations are satisfied over time. The fees are payable monthly. Revenue is recognised monthly.

1.18.2.2 Operating income outside the scope of IFRS 15

The income below relates to amounts received that are outside the scope of IFRS 15.

Licence fees

Annual licence fees are fees charged by the SARB in accordance with legislation to institutions that have been granted licences to operate as a bank or as an insurance business. Fees are payable in advance on an annual basis and non-refundable. Revenue is recognised annually when the fees are due.

Levies

Annual levies are charged by CODI and the PA to financial institutions, in accordance with legislation, to cover operating costs. Levies are recognised in profit or loss per the amount invoiced, in the period in which the amount relates.

Premiums

Monthly premiums are charged by CODI to member banks, in accordance with legislation, to fund the DIF from which covered depositors are paid in the event of a bank failure. Premiums are recognised in profit or loss per the amount invoiced, in the period in which the amount relates.

Sundry income

Sundry income relates mainly to recoveries of expenses previously incurred. These amounts are recognised as income when it is probable that the amount will be received.

1.18.3 Other income

Other income relates to non-operating income that is outside the scope of IFRS 15. Currently, other income consists of amounts from the government, to promote the policy solvency of the SARB. The income is subject to parliamentary approval and is recognised in the period in which parliamentary approval is obtained.

1.19 Dividends paid

In terms of the SARB Act the SARB is permitted to declare dividends from its accumulated profits. This is capped at a total dividend rate of 10% per annum on the paid-up share capital of the SARB.

1.20 Related parties

As per IAS 24: Related Party Disclosures (IAS 24), the financial statements must contain the disclosures necessary to draw attention to the possibility that the Group's financial position and profit or loss may have been affected by the existence of related parties and by transactions and outstanding balances with such parties.

Related parties include but are not limited to subsidiaries, the associate, members of management who hold positions of responsibility within the Group, including those charged with governance in accordance with legislation, and members of management who are responsible for the strategic direction of the Group and entrusted with significant authority. Their remuneration may be established by statute or by another body independent of the Group. Their responsibilities may enable them to influence the benefits of office that flow to them, their related parties or parties that they represent on the governing body.

1.21 Share capital

Issued ordinary shares are classified as equity and measured at cost.

1.22 Key accounting estimates and judgements

In preparing the Group's financial statements management applies judgement and makes estimates. Estimates and judgements are reviewed on an ongoing basis and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

1. Accounting policies continued

1.22 Key accounting estimates and judgements continued

1.22.1 Fair value of financial instruments

Other than the items listed below, there were no significant changes to the Group's estimates and assumptions in the current or prior year. Financial instruments are priced with reference to quoted market prices in an actively traded market.

If the market for a financial asset is not active or an instrument is an unlisted instrument, the fair value is estimated using valuation techniques. These include reference to other instruments that are substantially the same discounted cash flow analysis and option-pricing models.

When a discounted cash flow analysis is used to determine the value of financial assets, estimated future cash flows are based on management's best estimates and the discount rate at the reporting date is a market-related rate for a financial asset with similar terms and conditions.

Where option-pricing models are used inputs based on observable market indicators at the reporting date are only recognised to the extent that they relate to changes in factors that market participants will consider in setting a price.

1.22.2 Measurement of expected credit loss allowance

The measurement of the ECL allowance for financial assets measured at amortised cost and FVOCI is an area that requires complex models and significant assumptions about future economic conditions and credit behaviour (e.g. the likelihood of counterparties defaulting and the resulting losses). Explanation of the inputs assumptions and estimation techniques used in measuring ECL is further detailed in note 29.2 which also sets out key sensitivities of the ECL to changes in these elements.

A number of significant judgements are also required in applying the accounting requirements for measuring ECL such as:

- determining criteria for SICR;
- choosing appropriate models and assumptions for the measurement of ECL;
- establishing the number and relative weightings of forward-looking scenarios for each type of product or market and the associated ECL; and
- establishing groups of similar financial assets for the purposes of measuring ECL.

Detailed information about the judgements and estimates made by the Group in the above areas is set out in note 28.2.2.

1.22.3 Fair value of unlisted investments

Judgement is exercised in assessing the fair value of unlisted investments held by the Group. A discounted cash flow analysis is used by the Group to determine the value of its unlisted investments by applying an appropriate discount rate to the best estimate of future cash flows of the investee. The key assumptions applied in the discounted cash flow valuation method are the equity market risk premium, SA risk free rate, and the alpha and beta to determine the overall discount rate. Free cash flows for a period of three to five years are provided by the investee and further assessed by management. Detailed information about the estimates made by the Group in the above areas is set out in note 34.

1.22.4 Post-employment benefits

The cost of the defined benefit pension plans and other benefit plans as well as the present value of the benefit obligations are determined using actuarial valuations. An actuarial valuation involves using various assumptions determined by management and reviewed annually by the actuary that may differ from future developments.

These assumptions include:

- discount rates;
- inflation rates;
- rates of compensation increases;
- rates of pension increases;
- medical cost trends; and
- mortality rates.

Actuarial valuations are performed annually in accordance with the requirements of IAS 19. Statutory actuarial valuations are performed triennially, in accordance with legislative requirements.

1.22.5 Inventory valuations

The Group's currency-producing subsidiaries measure inventory at the lower of cost and net realisable value. The determination of net realisable value is an entity-specific estimate and requires the use of judgement.

1.22.6 Property, plant and equipment

Judgement is required when determining:

- the costs that are attributable to the asset;
- for assets where valuation is applied, the fair value of the valuable art;
- the appropriate useful life over which the assets should be depreciated or amortised;
- the depreciation method; and
- whether the existing assets are subject to impairment.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

1. Accounting policies continued

1.22 Key accounting estimates and judgements continued

1.22.7 Order of liquidity

As a financial institution, the Group presents its assets and liabilities on the statement of financial position in order of liquidity. This provides information that is reliable and more relevant than a current or non-current presentation because the entity does not supply goods or services within a clearly identifiable operating cycle.

The order of liquidity requires judgement, particularly in light of the nature of the SARB's operations and mandate as the central bank of South Africa. The SARB's mandate regarding the management and oversight of the domestic financial market results in regular changes to the liquidity of the SARB's assets and liabilities in response to the liquidity requirements of the market. The SARB continuously monitors and actively manages its liquidity requirements.

1.22.8 Lease identification

In certain circumstances the determination of whether a contract is or contains a lease requires significant judgement.

The Group has assessed that the contracts with the SABN and the SA Mint for the production and supply of banknotes respectively, do not contain a lease as defined by IFRS 16 due to leased items being unidentifiable.

1.23 Leases

The Group assesses whether a contract is or contains a lease, at the inception of the contract. A contract is or contains a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

To assess whether a contract is or contains a lease, management determines whether the asset under consideration is 'identified', which means that the asset is either explicitly or implicitly specified in the contract and that the supplier does not have a substantial right of substitution throughout the period of use. Once management has

concluded that the contract deals with an identified asset, the right to control the use thereof is considered. To this end, control over the use of an identified asset only exists when the Group has the right to obtain substantially all the economic benefits from the use of the asset as well as the right to direct the use of the asset.

Group as lessee

A lease liability and corresponding right of use asset are recognised at the lease commencement date for all lease agreements for which the Group is a lessee.

The various lease and non-lease components of contracts containing leases are accounted for separately, with consideration being allocated to each lease component on the basis of the relative stand-alone prices of the lease components and the aggregate stand-alone price of the non-lease components (where non-lease components exist).

The Group does not have any lease liabilities as all lease payments were made upfront before the commencement of the lease. Details of leasing arrangements where the Group is a lessee are presented in note 12.

Right of use assets

Right of use assets are presented within PPE on the consolidated and separate statement of financial position.

Right of use assets are subsequently measured at cost less accumulated depreciation and impairment losses.

Right of use assets are depreciated over the shorter period of lease term and useful life of the underlying asset.

Depreciation starts at the commencement date of a lease.

For right of use assets which are depreciated over their useful lives, the useful lives are determined consistently with items of the same class of PPE. Refer to the accounting policy for PPE for details of useful lives.

The depreciation charge for each year is recognised in profit or loss unless it is included in the carrying amount of another asset.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

2. Cash and cash equivalents

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
Amortised cost				
Bank and cash balances	37 691	16 034	–	–
South African money market investments	39 180	31 347	–	–
Short-term South African fixed deposits	13 182	14 362	–	–
Total cash and cash equivalents	90 053	61 743	–	–

Owing to its role in the creation and withdrawal of money, the SARB has no cash and cash equivalents balances in its statement of financial position.

Cash equivalents comprise short-term, highly liquid financial instruments with an original maturity of less than three months that are readily convertible to known amounts of cash, are subject to an insignificant risk of changes in value and are held for the purpose of meeting short-term commitments as reflected above.

Annual interest rates range between 7.75–7.95% (2024: 8.50–8.63%) on short-term South African fixed deposits with financial institutions and 7.53–7.62% (2024: 7.11–8.50%) on South African money market investments.

Cash and cash equivalents exclude local and foreign short-term investments held to implement monetary policy or as part of foreign reserves. These reserves are disclosed in detail in notes 3 and 6.

Restricted cash and cash equivalents amount to R17 million (2024: Rnil) and relate to DIF investments which may only be used by CODI for payouts to depositors in the event of a bank failure, as well as payments in support of other bank resolution strategies as determined by the SARB.

The DIF investments included in the Group cash and cash equivalents relate to Shari'ah compliant investments held with other financial institutions and earn investment income linked to the repo rate. Cash investments held by CODI with the SARB are disclosed as interest-bearing deposits in amounts due to Group companies. Refer to note 34.4

Maturity structure of financial assets

Within 1 month	67 962	34 480	–	–
Between 1 and 3 months	22 091	27 263	–	–
Total financial assets	90 053	61 743	–	–

Included in South African money market investments are repo agreements, the following table presents details thereof:

Fair value of repo agreements	13 182	14 362	–	–
Fair value of collateral received	13 290	14 409	–	–
Fair value of collateral permitted to sell or repledge at the reporting date	13 290	16 480	–	–
Collateral cover	100%	100%		
Maturity date	10 April 2025	04 April 2024		

The counterparties are exposed to interest rate risk on the various securities pledged as collateral for the repo agreements. The Group has the ability to sell or repledge these securities in the event of default. When the underlying investments mature, the Group has the obligation to return the collateral.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

3. Accommodation to banks

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
Amortised cost				
Advances under repurchase agreements	250	451	250	451
Standing facility	103	–	103	–
Total accommodation to banks	353	451	353	451

Accommodation to banks represents short-term lending to commercial banks.

Repo agreements

The standard repo agreements yield interest at the repo rate (2024: repo rate) of the SARB.

Standard repo agreements	7.50%	8.25%	7.50%	8.25%
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The following table presents details of collateral received for repo agreements (including accrued interest):

Fair value of collateral received	251	450	251	450
Fair value of collateral permitted to sell or repledge at the reporting date	251	450	251	450
Collateral cover	100%	100%	100%	100%

The collateral received consists of various SA government bonds and Treasury bills with maturities ranging from 1 to 26 years (2024: 1 to 26 years).

There were no defaults in the current financial year (2024: no defaults). The ECL for repo agreements has been assessed to be immaterial (2024: immaterial).

The counterparties are exposed to interest rate and other risks on the various securities pledged as collateral for the repo agreements. Refer to note 29.1 for further disclosure on interest rate risk. The SARB has the ability to sell or repledge these securities in the event of default. When the underlying repos are settled, the SARB has the obligation to return the collateral.

Standing facility

The standing facility through which the SARB provides liquidity to commercial banks yields interest at the repo rate of the SARB plus 1% (2024: repo plus 1%).

Standing facility	8.50%	9.25%	8.50%	9.25%
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The following table presents details of collateral received for the standing facility (including accrued interest):

Fair value of collateral received	103	–	103	–
Fair value of collateral permitted to sell or repledge at the reporting date	103	–	103	–
Collateral cover	100%	–	100%	–

The collateral received consists of SA government bonds and Treasury bills with maturities ranging from 16 to 35 years (2024: 16 to 35 years).

At the reporting date, none of the collateralised advances were past due or impaired (2024: none). There were no defaults in the current financial year (2024: no defaults). The ECL for the standing facility has been assessed to be immaterial (2024: immaterial).

The counterparties are exposed to interest rate and other risks on the various securities pledged as collateral for the standing facility. Refer to note 29.1.1 for further disclosure on interest rate risk. The SARB has the ability to sell or repledge these securities in the event of default. When the underlying facility is settled, the SARB has the obligation to return the collateral.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

4. Investments

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
Amortised cost				
Short-term South African fixed deposits	–	19 153	–	–
Short-term South African money market investments	82	4 133	–	–
Long-term amortising notes	355	–	–	–
ECL allowance	(12)	–	–	–
Mandatory FVPL				
Short-term South African money market investments	–	351	–	–
Total investments	425	23 637	–	–
Maturity structure of financial assets				
Within 1 month	73	2 465	–	–
Between 1 and 3 months	–	19 148	–	–
Between 3 and 12 months	–	2 024	–	–
More than 12 months	352	–	–	–
Total financial assets	425	23 637	–	–
For investments that meet the definition of financial assets at mandatory FVPL:				
Maximum exposure to credit risk	–	351	–	–
Short-term South African money market investments consist of instruments that have an original maturity of more than 91 days or three months.				
All investments are placed in accordance with investment guidelines approved by the Boards of the respective subsidiaries.				

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

5. Other assets

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
Amortised cost				
Financial assets				
LGS margin entitlement and credit premium receivable	31	554	31	554
Loans and advances to staff	351	339	351	339
Other financial assets	1 207	793	870	686
Non-financial assets				
Treasury SDR account	–	491	–	491
Other non-financial assets	697	588	630	476
Value-added taxation	70	51	70	51
Total other assets	2 356	2 816	1 952	2 597
Maturity structure of financial assets				
Within 1 month	1 207	793	870	686
Between 1 and 12 months	2	339	2	339
More than 1 year	380	554	380	554
Total financial assets	1 589	1 686	1 252	1 579

Financial assets are neither past due nor impaired (2024: none).

Loans and advances to staff consist of vehicle finance, home loans and other advances to staff and yields interest at repo plus 1% (2024: repo plus 1%).

Other financial assets consist mainly of trade receivables and receivables related to liquidity management.

Other non-financial assets consist mainly of prepaid expenses.

Margin entitlement and credit premium receivable

In terms of the LGS agreement, participating commercial banks are required to pay certain amounts described below to the margin entitlement and credit premium receivable accounts that are in the name of the SARB for the duration of the facility.

The margin entitlement is calculated as the prime rate that the eligible client pays to the commercial bank minus the agreed rate (repo) payable by commercial banks to SARB minus the cost of capital, statutory costs and administration fees in respect of the COVID-19 loan. A 0.5% portion of this margin is the credit premium, which is then transferred to the credit premium account.

As at 31 March 2025, an amount of R31 million (2024: R554 million) has been recognised with a corresponding provision for credit loss claims in other liabilities. Refer to note 18 for more information.

Margin entitlement and credit premium accounts accrue interest at the repo rate of the SARB and will be used to settle losses incurred by the commercial banks in terms of the LGS. Thereafter, the losses are borne by the commercial banks up to the aggregate amount equal to the commercial banks' risk portion (being 6% of the aggregate amount advanced by the SARB against the facility amount). Any losses remaining which have not been settled as aforementioned shall be guaranteed and borne by the SARB on the basis that the outstanding balance shall be reduced to equal the amount of such losses.

Treasury SDR account

This account consists of all interest charged by the IMF on the liability accounts, including the IMF loan to the SA government. Refer to note 6.5 for more details.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

6. Gold and foreign exchange reserves

	Note(s)	GROUP		SARB	
		2025 R mil	2024 R mil	2025 R mil	2024 R mil
Mandatory at FVPL					
Money market instruments and fixed deposits	6.1	233 688	214 896	233 688	214 896
Securities	6.2	646 221	667 242	646 221	667 242
Derivatives	6.3	76	166	76	166
SARB Act					
Gold coin, bullion and deposits	6.4	231 195	169 535	231 195	169 535
IMF SDR assets	6.5	124 521	127 186	124 521	127 186
Total gold and foreign exchange reserves		1 235 701	1 179 025	1 235 701	1 179 025

6.1 Money market instruments and fixed deposits

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
Cash and money market accounts	10 691	9 129	10 691	9 129
Fixed deposits	222 997	205 767	222 997	205 767
Total money market instruments and fixed deposits	233 688	214 896	233 688	214 896

Maturity structure		Up to 1 month R mil	Total R mil
Group and SARB 2025			
Cash and money market accounts		10 691	10 691
Fixed deposits		222 997	222 997
Total money market instruments and fixed deposits		233 688	233 688
Group and SARB 2024			
Cash and money market accounts		9 129	9 129
Fixed deposits		205 767	205 767
Total money market instruments and fixed deposits		214 896	214 896

The foreign exchange balances yield investment returns achievable in the various currencies in which they are invested. It is not practicable to calculate effective yields on the portfolios due to the volatility caused by exchange rate fluctuations.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

6. Gold and foreign exchange reserves continued

6.2 Securities

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
Asset-backed securities	2 536	2 816	2 536	2 816
Certificate of deposits	57 173	45 973	57 173	45 973
Commercial papers	48 952	58 008	48 952	58 008
Corporate bonds	9 994	4 581	9 994	4 581
Financial bonds	98	5 328	98	5 328
Government agency, state, supranational bonds	154 195	182 042	154 195	182 042
Government bonds	239 657	260 609	239 657	260 609
Mortgage-backed securities	17 093	16 839	17 093	16 839
Other investments	3 238	166	3 238	166
Treasury bills	113 285	90 880	113 285	90 880
Total securities	646 221	667 242	646 221	667 242

Maturity structure	CURRENT				NON-CURRENT			
	Up to 1 month R mil	1–3 months R mil	4–6 months R mil	7–12 months R mil	1–3 years R mil	3–5 years R mil	More than 5 years R mil	Total R mil
Group and SARB 2025								
Financial assets at mandatory FVPL	58 407	108 183	113 480	89 849	183 176	71 023	22 103	646 221
Total securities	58 407	108 183	113 480	89 849	183 176	71 023	22 103	646 221
Group and SARB 2024								
Financial assets at mandatory FVPL	46 202	118 325	95 154	129 846	190 131	66 967	20 617	667 242
Total securities	46 202	118 325	95 154	129 846	190 131	66 967	20 617	667 242

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

6. Gold and foreign exchange reserves continued

6.3 Derivatives

The SARB utilises financial derivative products for portfolio management purposes and seeks to minimise the effects of currency and interest rate risks by using such instruments to economically hedge the related risk exposures. The use of financial derivatives is governed by the SARB's policies approved by the GEC which provides written principles on the use of derivative financial instruments. Compliance with policies and exposure limits is reviewed by management on a continuous basis. Risk management practices also include regular reporting to the RMC and BREC. The SARB does not enter into or trade financial instruments including derivative financial instruments for proprietary trading purposes.

	Net fair value R mil	Fair value of assets R mil	Fair value of liabilities R mil	Contract/notional amount ¹ R mil
Group and SARB 2025				
FECs	9	19	(10)	25 772
Futures contracts	67	103	(36)	45 415
Total derivatives	76	122	(46)	71 187
Group and SARB 2024				
FECs	170	177	(7)	26 430
Futures contracts	(4)	26	(29)	30 627
Total derivatives	166	203	(36)	57 057

¹ The notional amount of a financial instrument is the nominal or face value that is used to calculate payments made on that instrument. The amount generally does not settle between the counterparties.

6.3.1 Offsetting financial assets and financial liabilities relating to gold and foreign exchange reserves

The SARB is subject to an enforceable master netting arrangement with its derivative counterparties. Under the terms of this agreement, offsetting of derivatives is permitted only in the event of bankruptcy or default of either party to the agreement. There is no intention to settle on a net basis or realise the asset and settle the liability simultaneously. The details are presented in the table below:

	Gross amounts presented in derivatives R mil	Offset R mil	Net amounts presented in derivatives R mil	Related amounts not set off in derivatives		Net amount R mil
				Instruments which offset on default R mil	Collateral amount received R mil	
Group and SARB 2025						
FEC assets	19	–	19	(8)	–	11
FEC liabilities	(10)	–	(10)	8	–	(2)
Group and SARB 2024						
FEC assets	177	–	177	(6)	–	171
FEC liabilities	(7)	–	(7)	6	–	(1)

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

6. Gold and foreign exchange reserves continued

6.4 Gold coin, bullion and deposits

6.4.1 Gold coin and bullion

	R mil	Fine ounces
Group and SARB 2025		
As at 31 March 2024	169 535	4 032 738
Purchases during the year	14 522	287 905
Sales during the year	(20 900)	(412 015)
Change in the statutory price	60 873	–
As at 31 March 2025	224 030	3 908 628
Group and SARB 2024		
As at 31 March 2023	141 895	4 031 923
Purchases during the year	469	12 754
Sales during the year	(438)	(11 939)
Change in the statutory price	27 609	–
As at 31 March 2024	169 535	4 032 738

Gold coin and bullion consist of 3 908 628 fine ounces at the statutory price of R57 317 per ounce (2024: 4 032 738 fine ounces at R42 040 per ounce).

6.4.2 Gold deposits

	R mil	Fine ounces
Group and SARB 2025		
As at 31 March 2024	–	–
Gold deposits	6 359	125 000
Change in the statutory price	806	–
As at 31 March 2025	7 165	125 000

Gold deposits consist of 125 000 fine ounces at the statutory price of R57 317 per ounce as at 31 March 2025 (2024: Rnil), and earn a return ranging from 3–5 basis points.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

6.5 IMF SDR assets

In accordance with the SARB Act, the SARB serves as the fiscal agent for the SA government in its dealings with international financial institutions (IFIs). This includes transactions with IFIs and performing financial agency work on behalf of the government. In compliance with the SARB Act, the accounts with the IMF which records all transactions with the IMF have been included in these financial statements. Refer to note 17 for the corresponding liability and notes 5 and 18 for the related interest.

The IMF has created an international reserve asset called the SDR. All rights in, and commitments to the IMF are denominated in XDRs. The value of the XDR is calculated on the basis of a currency basket comprising the US dollar, euro, Chinese yuan, Japanese yen and pound sterling. The currency weights are adjusted each year in accordance with changes in bilateral foreign exchange rates. As at 31 March 2025, XDR1 was equal to R24.40 (2024: R25.18).

The various rights are disclosed below:

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
SDR Holdings ¹	108 600	110 760	108 600	110 760
IMF New Arrangements to Borrow financial transactions plan account	15 921	16 426	15 921	16 426
Total IMF SDR assets	124 521	127 186	124 521	127 186

¹ The SDR asset carries interest at an effective rate of 3.09% (2024: 4.11%). SA government promissory notes have been pledged as collateral against these SDRs.

The following table presents details of collateral held:

Fair value of collateral received	61 426	62 063	61 426	62 063
Collateral cover	57%	56%	57%	56%

At the reporting date, none of the collateralised advances were past due or impaired (2024: none). During the year under review, no defaults were experienced (2024: no defaults).

7. Inventories

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
Raw materials ¹	403	291	–	–
Work in progress ²	995	479	–	–
Consumable stores	171	138	6	5
Maintenance spares	206	180	–	–
Finished goods ³	749	1 499	–	–
Total inventories net of write-downs	2 524	2 587	6	5
Write-downs (included above)	(9)	(25)	–	–

Inventories are measured at the lower of cost and net realisable value. The costs to produce banknotes and coin are expensed as incurred and disclosed in note 23.2 under cost of currency.

¹ Raw materials consist mainly of substrate ink metals and chemicals.

² Work in progress consists mainly of banknotes and coin partially completed.

³ Finished goods consists mainly of banknotes and coin ready for delivery.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

8. Foreign exchange contract assets and liabilities

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
SARB Act				
Unrealised gains on FECs	78	118	78	118
Unrealised losses on FECs	(6)	(24)	(6)	(24)
Net unrealised gains transferred to GFECRA¹	72	94	72	94

¹ These amounts represent unrealised gains and losses on FECs which will be for the account of the SA government as and when they are realised. The FECs are utilised in the operations of the SARB to manage monetary policy operations.

The notional amount of the FECs amounts to R10 billion (2024: R10 billion).

The SARB is subject to enforceable master netting arrangements with its derivative counterparties. Under the terms of these agreements, offsetting of derivatives is permitted only in the event of bankruptcy or default of either party to the agreement. There is no intention to settle on a net basis or realise the asset and settle the liability simultaneously. The following table presents details of this:

	Related amounts not set off in the statement of financial position					
	Gross amounts presented R mil	Offset R mil	Net amounts presented R mil	Instruments which offset on default R mil	Collateral amount received R mil	Net amount R mil
Group and SARB 2025						
FEC assets	78	–	78	(74)	–	4
FEC liabilities	(6)	–	(6)	74	–	68
Group and SARB 2024						
FEC assets	118	–	118	(39)	–	79
FEC liabilities	(24)	–	(24)	39	–	15

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

9. Loans and advances

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
Amortised cost				
Interest-bearing local loans				
LGS loan	3 213	6 268	3 213	6 268
BBS loan	637	812	637	812
EBBS loan	644	–	644	–
Total loans and advances	4 494	7 080	4 494	7 080

Interest-bearing local loans

Loan guarantee scheme

The SARB entered into a LGS with participating commercial banks for the purpose of assisting qualifying small and medium-sized businesses severely impacted during the COVID-19 pandemic. Drawdowns by qualifying businesses under the LGS were available for an 11-month period commencing from the effective date (moratorium period), which was extended by a further three months to July 2021. The outstanding balance at the end of the moratorium period is repayable over 60 months. A facility of R100 billion was approved of which R90 billion was allocated to nine commercial banks.

The total outstanding balance (including interest) of R3 billion (2024: R6 billion) is guaranteed by the SARB. The guarantee is limited to the R3 billion allocated to the commercial banks. In turn, NT has guaranteed the SARB for losses incurred under the scheme. The guarantees were entered into together with the loan agreements and are therefore considered integral to the loans. The guarantees are incorporated in the related ECL assessment for the loans.

The loan accrues interest at the prevailing repo rate (2024: repo rate). Any default interest that accrues as a result of the commercial banks failing to repay the SARB at the interest repayment date will be accounted for at the default interest rate of repo rate plus 2%.

At the reporting date none of the LGS loans were past due or impaired (2024: none). During the year under review, no defaults were experienced (2024: no defaults).

Bounce back scheme

In April 2022, the BBS was established to assist eligible small businesses to recover from the impact of COVID-19, the floods and the riots that took place in the country. In terms of the scheme, the SARB advanced loans to participating commercial banks who advanced bounce-back loans to eligible businesses. The SARB approved facilities of R1 billion, of which R262 million was not utilised at the end of the availability period for drawdowns on 30 April 2023.

The loan accrues interest at the prevailing repo rate (2024: repo rate). Any default interest that accrues as a result of the commercial banks failing to repay the SARB at the interest repayment date will be accounted for at the default interest rate of repo rate plus 2%.

The SARB has issued a financial guarantee to the commercial banks under the facility, limited to 20.5% of the capital amount advanced. NT has guaranteed the SARB for losses incurred under the scheme up to an amount of R8 billion, limited to the amount advanced to the commercial banks.

The guarantees were entered into together with the loan agreements and are therefore considered integral to the loans. The guarantees are incorporated in the related ECL assessment for the loans.

At the reporting date none of the BBS loans were past due or impaired (2024: none). During the current financial year, no defaults were experienced (2024: no defaults).

Energy bounce back scheme

In May 2023, the EBBS was established to alleviate the impact of sustained load-shedding on small-and medium-sized enterprises (SMEs) and households. In terms of the scheme, the SARB will advance loans to commercial banks who advanced energy bounce-back loans to eligible businesses and households. Each participating commercial bank may drawdown on the facility for a period of 18 months from the signature date of their respective agreements. The SARB approved facilities of R12 billion, of which R669 million was drawn down in the current financial year.

Notes to the consolidated and separate financial statements continued

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9. Loans and advances continued

Interest-bearing local loans continued

Energy bounce back scheme continued

The loan accrues interest at the prevailing repo rate (2024: repo rate). Any default interest that accrues as a result of the commercial banks failing to repay the SARB at the interest repayment date will be accounted for at the default interest rate of repo rate plus 2%.

The SARB has issued a financial guarantee to the commercial banks under the facility, limited to 20.5% of the capital amount advanced. NT has guaranteed the SARB for losses incurred under the scheme up to an amount of R8 billion, limited to the amount advanced to the commercial banks. The guarantees were entered into together with the loan agreements and are therefore considered integral to the loans. The guarantees are incorporated in the related ECL assessment for the loans.

At the reporting date none of the EBBS loans were past due or impaired (2024: none). During the current financial year, no defaults were experienced (2024: no defaults).

10. South African government bonds

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
Mandatory FVPL				
Interest-bearing listed bonds	32 827	32 827	32 827	32 827
Coupon interest accrued	392	747	392	747
Fair value adjustments	1 584	(1 567)	1 584	(1 567)
Total SA government bonds	34 803	32 007	34 803	32 007
Effective interest rate	10.17%	10.21%	10.17%	10.21%

There were no purchases of SA government bonds during the current year (2024: none).

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

11. Equity investment in Bank for International Settlements

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
FVOCI				
Opening balance	6 605	5 866	6 605	5 866
Fair value adjustments	774	417	774	417
Foreign exchange movements transferred (to)/from GFECRA	(195)	322	(195)	322
Closing balance	7 184	6 605	7 184	6 605

The carrying amount that would have been recognised had the BIS shares been carried at cost was R638 million (2024: R658 million).

The shares held in the BIS are held as part of the SARB's function as a central bank and are thus long-standing in nature. Shares are only transferable with the prior consent of the BIS.

The SARB's investment in the BIS consists of 8 612 shares (2024: 8 612) which are carried at FVOCI. The net asset value was adjusted by 30%. The haircut is consistent with the methodology applied by the BIS and other central banks and is not subject to sensitivity. The adjusted net asset value of the shares is based on the XDR¹ of XDR34 184 (2024: XDR30 463).

Refer to note 31 for further detail on the fair value hierarchy disclosures. Changes in value due to foreign exchange movements are transferred to GFECRA. For the year ended 31 March 2025, a movement of R195 million (2024: R322 million) was transferred to GFECRA.

¹ The XDR is a monetary unit of international reserve assets defined and maintained by the IMF. The XDR also serves as the unit of account of the BIS among other international organisations. The unit does not represent a currency but represents a potential claim on the currencies of the IMF members for which it may be exchanged. It is based on a basket of international currencies comprising the US dollar, euro, Japanese yen, pound sterling and Chinese yuan.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

12. Property, plant and equipment

Group	2025			2024		
	Cost/ revaluation R mil	Accumulated depreciation R mil	Carrying value R mil	Cost/ revaluation R mil	Accumulated depreciation R mil	Carrying value R mil
Land	158	–	158	158	–	158
Buildings	1 205	(594)	611	1 171	(542)	629
Plant, vehicles, furniture and equipment	5 458	(3 617)	1 841	5 506	(3 644)	1 862
Valuable art	218	–	218	198	–	198
Work in progress	4 568	–	4 568	2 451	–	2 451
Total	11 607	(4 211)	7 396	9 484	(4 187)	5 297

SARB	2025			2024		
	Cost/ revaluation R mil	Accumulated depreciation R mil	Carrying value R mil	Cost/ revaluation R mil	Accumulated depreciation R mil	Carrying value R mil
Land	149	–	149	149	–	149
Buildings	864	(454)	410	832	(408)	424
Plant, vehicles, furniture and equipment	2 492	(1 785)	707	2 465	(1 770)	695
Valuable art	218	–	218	198	–	198
Work in progress	4 391	–	4 391	2 334	–	2 334
Total	8 114	(2 239)	5 875	5 978	(2 178)	3 800

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

12. Property, plant and equipment continued

Reconciliation of property, plant and equipment

	Opening balance R mil	Additions R mil	Disposals R mil	Transfers in/(out) R mil	Revaluations R mil	Reclassifications R mil	Depreciation R mil	Impairment loss R mil	Closing balance R mil
Group 2025									
Land	158	–	–	–	–	–	–	–	158
Buildings	629	2	–	32	–	–	(52)	–	611
Plant, vehicles, furniture and equipment	1 862	63	(2)	320	–	(48)	(354)	–	1 841
Valuable art	198	–	–	–	20	–	–	–	218
Work in progress	2 450	2 425	–	(352)	–	48	–	(3)	4 568
Total	5 297	2 490	(2)	–	20	–	(406)	(3)	7 396
Group 2024									
Land	158	–	–	–	–	–	–	–	158
Buildings	687	–	(21)	18	–	–	(55)	–	629
Plant, vehicles, furniture and equipment	2 010	193	(77)	228	–	–	(492)	–	1 862
Valuable art	198	–	(1)	1	–	–	–	–	198
Work in progress	822	1 993	–	(247)	–	3	–	(121)	2 450
Total	3 875	2 186	(99)	–	–	3	(547)	(121)	5 297
SARB 2025									
Land	149	–	–	–	–	–	–	–	149
Buildings	424	1	(1)	31	–	–	(45)	–	410
Plant, vehicles, furniture and equipment	695	53	–	240	–	(48)	(233)	–	707
Valuable art	198	–	–	–	20	–	–	–	218
Work in progress	2 334	2 283	–	(271)	–	48	–	(3)	4 391
Total	3 800	2 337	(1)	–	20	–	(278)	(3)	5 875
SARB 2024									
Land	149	–	–	–	–	–	–	–	149
Buildings	477	–	(22)	17	–	–	(48)	–	424
Plant, vehicles, furniture and equipment	726	181	(77)	200	–	–	(335)	–	695
Valuable art	198	–	(1)	1	–	–	–	–	198
Work in progress	786	1 887	–	(218)	–	–	–	(121)	2 334
Total	2 336	2 068	(100)	–	–	–	(383)	(121)	3 800

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

12. Property, plant and equipment continued

Leased assets

Included in PPE are right of use assets with a carrying amount of R5 million (2024: R23 million) relating to the lease of office buildings by the SARB. The lease term is for three years, ending on 30 June 2025. There is no lease liability in respect of this lease as the total rentals amounting to R55 million were paid upfront in the 2022/23 financial year, before the commencement of the lease. In the prior financial year, additional parking space was included in the lease, which will also be used until 30 June 2025 and the total rentals for the parking space, amounting to R2 million, were also paid upfront. There are no variable lease payments applicable to this lease. The right of use asset is depreciated on a straight-line basis over the lease term and depreciation of R19 million (2024: R15 million) was recognised for this lease in the current financial year.

Revaluations

The Group's valuable art is stated at revalued amounts, being the fair value at the date of revaluation, less any subsequent accumulated depreciation and accumulated impairment losses. Revaluations are performed by independent, reliable valuers every three years. In the absence of an official fair value assessment by an independent valuator, the insured value will be used as an indicator of fair value.

The next valuation is scheduled for 31 December 2025.

Refer to note 31 for specific details regarding the valuation of the art.

The carrying value of the revalued assets under the cost model would have been:

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
Valuable art	37	37	37	37

13. Intangible assets

GROUP	2025			2024		
	Cost R mil	Accumulated amortisation R mil	Carrying value R mil	Cost R mil	Accumulated amortisation R mil	Carrying value R mil
Internally generated computer software	1 688	(1 335)	353	1 137	(412)	725
Purchased computer software	1 107	(909)	198	1 658	(1 197)	461
Work in progress	771	–	771	211	–	211
Total	3 566	(2 244)	1 322	3 006	(1 609)	1 397

SARB	2025			2024		
	Cost R mil	Accumulated amortisation R mil	Carrying value R mil	Cost R mil	Accumulated amortisation R mil	Carrying value R mil
Internally generated computer software	1 688	(1 334)	354	1 137	(412)	725
Purchased computer software	995	(826)	169	1 526	(1 082)	444
Work in progress	769	–	769	198	–	198
Total	3 452	(2 160)	1 292	2 861	(1 494)	1 367

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

13. Intangible assets continued

Reconciliation of intangible assets

	Opening balance R mil	Additions R mil	Disposals R mil	Transfers in/(out) R mil	Reclassifications R mil	Amortisation R mil	Impairment loss R mil	Total R mil
Group 2025								
Internally generated computer software	725	17	(45)	39	207	(590)	–	353
Purchased computer software	461	2	(1)	74	(230)	(108)	–	198
Work in progress	211	650	–	(113)	23	–	–	771
Total	1 397	669	(46)	–	–	(698)	–	1 322
Group 2024								
Internally generated computer software	112	204	(1)	630	–	(220)	–	725
Purchased computer software	387	–	(131)	282	–	(77)	–	461
Work in progress	1 193	134	–	(912)	–	–	(204)	211
Total	1 692	338	(132)	–	–	(297)	(204)	1 397
SARB 2025								
Internally generated computer software	725	18	(45)	39	207	(590)	–	354
Purchased computer software	444	2	(1)	56	(230)	(102)	–	169
Work in progress	198	643	–	(95)	23	–	–	769
Total	1 367	663	(46)	–	–	(692)	–	1 292
SARB 2024								
Internally generated computer software	112	204	(1)	630	–	(220)	–	725
Purchased computer software	364	–	(131)	282	–	(71)	–	444
Work in progress	1 189	125	–	(912)	–	–	(204)	198
Total	1 665	329	(132)	–	–	(291)	(204)	1 367

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

14. Deferred tax

	Note(s)	GROUP		SARB	
		2025 R mil	2024 R mil	2025 R mil	2024 R mil
Balance at the beginning of the year		(753)	259	(598)	450
Movements during the year:					
Current year timing differences	24	142	232	157	192
Prior year adjustments	24	5	(3)	–	–
Utilisation of tax losses		–	(1 113)	–	(1 113)
Other comprehensive income		(190)	(128)	(190)	(127)
Balance at the end of the year		(795)	(753)	(631)	(598)
Comprising:					
Deferred taxation liabilities		(795)	(753)	(631)	(598)
Net deferred taxation liability		(795)	(753)	(631)	(598)

Deferred taxation liabilities are attributed as set out below:

	2023 R mil	Amounts charged to profit or loss R mil	Amounts charged to OCI R mil	2024 R mil	Amounts charged to profit or loss R mil	Amounts charged to OCI R mil	2025 R mil
Group							
Post-employment benefits	717	46	(38)	725	47	(18)	754
Prepaid expenditure and other items	11	–	–	11	(18)	–	(7)
Revaluation adjustments	(35)	–	–	(35)	–	(4)	(39)
Property, plant and equipment	(605)	(8)	–	(613)	34	–	(579)
Intangible assets	(243)	93	–	(150)	116	–	(34)
Employee benefits accrual	154	42	–	196	(9)	–	187
Revenue received in advance	–	30	–	30	(1)	–	29
Fair value adjustments on BIS shares	(854)	–	(90)	(944)	–	(168)	(1 111)
Taxation losses	1 113	(1 087)	–	26	(16)	–	10
Lease payments	–	–	–	–	(5)	–	(5)
Total deferred taxation	258	(884)	(128)	(753)	148	(190)	(795)
SARB							
Post-employment benefits	662	42	(37)	667	45	(19)	693
Prepaid expenditure and other items	(3)	(1)	–	(4)	(2)	–	(6)
Revaluation adjustments	(35)	–	–	(35)	–	(4)	(39)
Property, plant and equipment	(323)	(14)	–	(337)	26	–	(311)
Intangible assets	(241)	93	–	(148)	117	–	(31)
Employee benefits accrual	132	41	–	173	(23)	–	150
Revenue received in advance	–	30	–	30	(1)	–	29
Fair value adjustments on BIS shares	(854)	–	(90)	(944)	–	(167)	(1 111)
Taxation losses	1 113	(1 113)	–	–	–	–	–
Lease payments	–	–	–	–	(5)	–	(5)
Total deferred taxation	451	(921)	(127)	(598)	157	(190)	(631)

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

15. Notes and coin in circulation

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
Amortised cost				
Notes	159 880	161 827	159 880	161 827
Coin	7 891	7 677	7 891	7 677
Total notes and coin in circulation	167 771	169 504	167 771	169 504

The liability for notes and coin issued is the net liability after offsetting notes and coin held by the SARB and not yet issued into circulation as cash held by the central bank does not represent currency in circulation.

16. Deposits

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
Amortised cost				
Non-interest-bearing	293 276	283 925	293 203	283 852
Banks' reserve accounts	165 113	151 508	165 113	151 508
Other current accounts	4 474	3 872	4 474	3 872
SA government accounts	123 689	128 545	123 616	128 472
Interest-bearing	286 362	190 347	168 799	80 095
Banks' current accounts	168 799	80 095	168 799	80 095
Call deposits	117 563	110 252	–	–
Total deposits	579 638	474 272	462 002	363 947
Maturity structure of deposits				
On demand	414 525	322 764	296 889	212 439
Within 1 month	165 113	151 508	165 113	151 508
Total deposits	579 638	474 272	462 002	363 947

Banks' reserve accounts

Commercial banks are required to maintain a minimum cash reserve balance with the SARB into which they are able to deposit at least such amounts as may be necessary to comply with the SARB Act. The banks' reserve accounts do not accrue interest. In addition, the commercial banks can utilise the cash reserve accounts to either fund short positions or deposit surplus funds. As at year-end, the balance was below the required minimum reserve balance by an amount of R200 million (2024: R1 billion). The commercial banks concerned are afforded an opportunity, subject to conditions as the Governor may determine, to comply with the relevant provision within a specified period.

SA government accounts

The IMF allocates SDRs to member countries based on the member's IMF quota shares. SA government accounts is the allocation received on behalf of and payable to the SA government.

Call deposits

In terms of the current interest rate policies approved by the CPD Board, call deposits earn interest at the repo rate (2024: repo rate). The prevailing rate at year-end for call deposits was 7.5% (2024: 8.25%). Margin call deposits are held on behalf of participants of the Johannesburg Stock Exchange Bond Electronic Trading Platform. The SARB does not trade on the platform, but holds the deposits for participants of the platform. The margin call deposits earn interest at the repo rate (2024: repo rate). The prevailing rate at year-end for margin call deposits was 7.5% (2024: 8.25%).

Notes to the consolidated and separate financial statements continued

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17. Foreign deposits

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
Designated FVPL				
Foreign deposits	88 338	101 224	88 338	101 224

Foreign deposits relate to cash placed with the SARB by subscribers of foreign currency bonds issued by the SA government. The deposits are managed by the SARB as part of the foreign exchange reserves portfolio until such time when these deposits are withdrawn by NT. Refer to note 29 for further detail on the analyses of the currency composition and maturity structure of these foreign deposits.

18. Other liabilities

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
Amortised cost				
Financial liabilities				
Accounts payable	1 177	1 477	135	140
Accruals	770	820	597	720
RCLF fees received in advance	109	113	109	113
LGS provision for loss claims	31	554	31	554
Margin call	122	170	–	–
Other financial liabilities	545	220	542	217
Non-financial liabilities				
Treasury SDR account	759	–	759	–
Other non-financial liabilities	22	378	8	3
Total other liabilities	3 535	3 732	2 181	1 747
Maturity structure of financial liabilities				
Within 1 month	1 807	2 800	1 383	1 190
Between 1 and 12 months	947	–	31	–
More than 1 year	–	554	–	554
Total financial liabilities	2 754	3 354	1 414	1 744

LGS provision for loss claims

LGS provision for loss claims represents the provision raised on the total of the margin entitlement and credit premium accounts that the SARB will be able to utilise to settle any losses incurred by commercial banks on the LGS (for further information refer to notes 5 and 9).

Treasury SDR account

The net payable relates to interest earned on the IMF SDR holdings as well as interest charged on the IMF SDR allocations recognised by the SARB on behalf of the SA government. The net amount in the current financial year consists of a receivable of R68 billion and payable of R69 billion. Refer to note 6.5 for more details.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

19. Liquidity tier liability

	GROUP		SARB	
	2025 R mil	2024 R mi	2025 R mil	2024 R mi
Liquidity tier liability	18 660	–	–	–
Interest payable on liquidity tier liability	119	–	–	–
Total liquidity tier liability	18 779	–	–	–
Maturity structure of liquidity tier liability:				
Within 1 month	119	–	–	–
More than 5 years	18 660	–	–	–
Total liquidity tier liability	18 779	–	–	–

The purpose of the liquidity fund contribution is to enable CODI to initially build up its fund base.

Member banks are required to maintain a minimum amount in the account of the DIF, based on their level of covered deposits for as long as they are licensed.

The contribution amount is based on a percentage of total covered deposits, published by CODI on an annual basis. The liquidity fund contribution is rolled and adjusted monthly with changes in the member banks' total covered deposits. During the current financial year, the prescribed liquidity fund contribution was 3% of covered deposits.

The liquidity fund contribution is interest-bearing and the capital will be repaid to the member banks as CODI builds up sufficient funds in the DIF. This year, R269 million of the liability was repaid due to the deregistration of a member bank.

Interest on the liquidity tier liability is payable monthly to member banks at the repo rate. As at 31 March 2025, the repo rate was 7.5%.

The SARB issued a guarantee to the member banks for the loan amounts provided to CODI in the form of the liquidity tier contributions. This guarantee was entered into at the same time as the liquidity tier contributions and is thus considered to be integral to these loans. Refer to note 33.

20. Post-employment benefits

The SARB and SABN provide the following post-employment benefits to its employees:

	Note(s)	GROUP		SARB	
		2025 R mil	2024 R mil	2025 R mil	2024 R mil
Amounts recognised in the statement of financial position					
Post-employment medical benefits	20.1	2 715	2 610	2 497	2 403
Post-employment group life benefits	20.2	78	75	69	67
Total post-employment benefits		2 793	2 685	2 566	2 470
Maturity structure of post-employment benefits					
Within 12 months		425	424	410	410
More than 12 months		2 368	2 261	2 156	2 060
Total post-employment benefits		2 793	2 685	2 566	2 470

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

20. Post-employment benefits continued

20.1 Post-employment medical benefits

Post-employment medical benefits are provided to retired staff in the form of subsidised medical aid premiums. This benefit has been closed to all new employees at the SARB since 1 September 2011 and the SABN since 2003. The liability reflected the accumulated post-employment medical benefit liability at 31 March 2025.

	Note(s)	GROUP		SARB	
		2025 R mil	2024 R mil	2025 R mil	2024 R mil
Balance at the beginning of the year		2 610	2 583	2 403	2 386
Movement during the year:					
Amount recognised in profit or loss	23.2	327	317	304	293
Interest cost		301	290	280	268
Service cost		26	27	24	25
Cash movements					
Benefits paid		(158)	(151)	(145)	(139)
Amount recognised in OCI		(64)	(139)	(65)	(137)
Financial assumption gains		15	(76)	14	(68)
Experience gains on liabilities		(79)	(63)	(79)	(69)
Balance at the end of the year		2 715	2 610	2 497	2 403

Post-employment group life benefits are provided to retired staff in the form of subsidised group life premiums. This benefit has been closed to all new employees at the SARB since 1 September 2017 and SABN since 1 October 2017. The liability reflected below represents the accumulated post-employment group life benefit liability at 31 March 2025.

20.2 Post-employment group life benefits

	Note(s)	GROUP		SARB	
		2025 R mil	2024 R mil	2025 R mil	2024 R mil
Balance at the beginning of the year		75	72	67	64
Movement during the year:					
Amount recognised in profit or loss	23.2	10	10	8	9
Interest cost		8	8	7	7
Service cost		2	2	1	2
Cash movements					
Benefits paid		(6)	(5)	(5)	(5)
Amount recognised in OCI		(1)	(2)	(1)	(1)
Financial assumption gains		1	(4)	1	(3)
Experience (gains)/losses on liabilities		(2)	2	(2)	2
Balance at the end of the year		78	75	69	67

20.3 Post-employment retirement fund benefits

The Group has made provision for pension and provident plans covering substantially all employees. All employees are members of the retirement fund administered by the Group or are members of funds within the various industries in which they are employed. The assets of these plans are held in administered trust funds separate from the Group's assets and the funds are governed by the Pension Funds Act 24 of 1956.

Statutory actuarial valuations are performed triennially, with the 31 March 2024 valuation having found the fund to be in a sound financial position. Interim actuarial valuations are concluded annually (except in years where a statutory valuation is performed).

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

20. Post-employment benefits continued

20.3 Post-employment retirement fund benefits continued

Where a surplus in the fund is calculated, it is for the benefit of the members, and accordingly no asset is recognised in the financial statements of the SARB. The retirement fund is regulated by the FSCA and is a single scheme which caters for active members, pensioners on a living annuity, pensioners on a life annuity, and pensioners from the former defined benefit fund.

Active members participate on a defined contribution basis. The market risk lies fully with the active members until retirement. On retirement, former employees can commute up to one-third of their share of funds. They may use the remaining funds to buy either a living annuity or a life annuity (or a combination of both) from the fund. They may also choose to transfer their share of funds to another registered retirement annuity.

Living annuity pensioners bear the entire market risk on their funds; however, they also fully benefit from positive market returns.

The life pension quoted by the retirement fund is based on the amount of capital available to the employee, as well as marital status, gender and age. There are currently 1 280 life pensioners (2024: 1 253 life pensioners). Once quoted a life pension, the rules of the fund stipulate that it will not be reduced, and thus, although the pensioner bears the market risk with regard to the annual increase granted, the employer will contribute if there is a shortage in the pension account which supports maintaining pensions at their existing level. This is in effect the only uncovered 'defined benefit' element in the fund. The risk for the retirement fund, and ultimately the SARB, in meeting this defined benefit, is market risk and life expectancy. As the SARB is the sponsor of the fund, the full defined benefit liability resides within the SARB. An IAS 19: Employee Benefits (IAS 19) valuation of this defined benefit at 31 March 2025 was performed by an independent actuary, the result of which can be summarised as follows:

	Note(s)	Present value of obligation R mil	Fair value of plan assets R mil	Unrecognised due to paragraph 65 limit R mil	Total R mil
Group and SARB 2025					
Balance at the beginning of the year		3 090	(3 342)	252	–
Movement during the year:					
Amount recognised in profit or loss	23.2	360	(386)	30	4
Service cost		1	2	–	3
Interest cost/(income)		359	(388)	30	1
Cash movements		(49)	49	–	–
Benefits paid/(received)		(49)	49	–	–
Employer contributions received		–	–	–	–
Amount recognised in OCI		(51)	(154)	201	(4)
Financial assumption gains		(27)	(154)	201	20
Experience losses on liabilities		(24)	–	–	(24)
Balance at the end of the year		3 350	(3 833)	483	–
Group and SARB 2024					
Balance at the beginning of the year		2 758	(2 994)	236	–
Movement during the year:					
Amount recognised in profit or loss	23.2	313	(339)	26	–
Service cost		1	–	–	1
Interest cost/(income)		312	(339)	26	(1)
Cash movements		3	(5)	–	(2)
Benefits (received)/paid		3	(3)	–	–
Employer contributions received		–	(2)	–	(2)
Amount recognised in OCI		16	(4)	(10)	2
Financial assumption gains		(43)	(4)	(10)	(57)
Experience gains on liabilities		59	–	–	59
Balance at the end of the year		3 090	(3 342)	252	–

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

20. Post-employment benefits continued

20.3 Post-employment retirement fund benefits continued

The assets and liabilities of the defined benefit fund, which has been closed to new members since 1 July 1995, were transferred to the retirement fund on 31 March 2011. At present, 119 pensioners (2024: 127 pensioners) qualify for the defined benefits. The benefits provided are based on the individual's years of membership and salary levels. These benefits were provided from contributions made by employees and the employer, and income derived from assets of the plan. The actuarial risk in respect of current pension commitments has mainly been transferred to Sanlam, which has a credit rating of AA (Standard and Poor's). No further financial disclosures are deemed necessary in respect of the defined benefit, as required by IAS 19. The actuarial liability as at 31 March 2025 amounted to R88 million (2024: R98 million), while the plan assets towards this liability amounted to R88 million (2024: R98 million).

Since inception in 1995, there has not been a shortage in the pension account for any given year. The most recent statutory valuation at 31 March 2024 found the fund to be fully funded, with the actuarial liability of pensions to be R3 billion (2021: R3 billion) with plan assets of R3 billion (2021: R3 billion). The trustees of the retirement fund and the management of the SARB do not foresee a statutory liability for the SARB in terms of these pensioners.

The plan assets were invested in the following different asset classes as at 31 March 2025 per the interim valuation:

Local equities	24%
Local property	2%
Local fixed interest	34%
Cash	6%
Foreign investments	26%
Other	8%
	100%

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

20. Post-employment benefits continued

20.4 Key assumptions

	Post-employment benefits	
	2025	2024
Discount rate (Post-employment group life and medical benefits)	12.00%	12.05%
Discount rate (Post-employment retirement fund benefits)	11.70%	11.70%
Medical inflation (Post-employment medical benefits)	7.50%	7.50%
Medical inflation (Post-employment group life benefits)	7.00%	7.00%
Net discount rate (Post-employment medical benefits)	4.19%	4.23%
Net discount rate (Post-employment group life benefits)	4.67%	4.72%
Salary inflation (Post-employment retirement fund benefits)	6.90%	6.90%
Salary inflation (Post-employment group life benefits)	7.00%	7.00%
Premium rate	0.50%	0.50%
Inflation rate	6.00%	6.00%
Early retirement rates		
55	2.50%	2.50%
56	2.50%	2.50%
57	2.50%	2.50%
58	2.50%	2.50%
59	2.50%	2.50%
60	100%	2.50%
Normal retirement age	63	63
Pensioner mortality rates		
Active members	SA 85-90 Light	SA 85-90 Light
Pensioners	PA (90)	PA (90)
	rated down by	rated down by
	2 years with	2 years with
	0.75% p.a.	0.75% p.a.
	improvement	improvement
Pension increase rate (Post-employment retirement fund benefits)		
Category 1 and ex-pension	5.00%	5.90%
Category 2	3.75%	4.43%
Category 3	2.25%	2.66%
Valuation date	31 March 2025	31 March 2024

The key assumptions of the Group and the SARB are the same.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

20. Post-employment benefits continued

20.5 Sensitivity analysis

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
The effect of a 1% increase and decrease in the discount rate is as follows:				
Employers' accrued liability				
1% decrease	3 322	3 492	3 070	3 252
Valuation basis	2 793	2 685	2 566	2 470
1% increase	1 762	1 907	1 556	1 714
Employers' service and interest cost				
1% decrease	779	783	750	755
Valuation basis ¹	703	689	670	662
1% increase	680	672	652	646
The effect of a 1% increase and decrease in the medical inflation rate is as follows:				
Employers' accrued liability				
1% decrease	1 771	1 905	1 566	1 711
Valuation basis	2 793	2 685	2 566	2 470
1% increase	3 280	3 067	3 028	2 827
Employers' service and interest cost				
1% decrease	637	623	612	598
Valuation basis ¹	703	689	675	662
1% increase	843	770	811	740
The effect of a one year increase and decrease in the post-employment mortality rate is as follows:				
Employers' accrued liability				
1 year downward	3 049	3 212	2 817	2 992
Valuation basis	2 793	2 685	2 566	2 470
1 year upward	1 974	2 125	1 753	1 915
Employers' service and interest cost				
1 year downward	725	706	695	678
Valuation basis ¹	703	689	675	662
1 year upward	687	674	659	647
The effect of a 1% increase and decrease in the salary inflation rate is as follows:				
Employers' accrued liability				
1% decrease	2 052	2 183	1 825	1 969
Valuation basis	2 793	2 685	2 566	2 470
1% increase	2 943	2 730	2 716	2 514
Employers' service and interest cost				
1% decrease	703	688	674	661
Valuation basis ¹	703	689	675	662
1% increase	704	690	675	663
The effect of a one year increase and decrease in the base pension increase rate is as follows:				
Employers' accrued liability				
1 year downward	2 979	3 148	2 752	2 933
Valuation basis	2 793	2 685	2 566	2 470
1 year upward	2 045	2 189	1 818	1 974
Employers' service and interest cost				
1 year downward	673	659	644	632
Valuation basis ¹	703	689	675	662
1 year upward	808	799	779	772

¹ Forecast service and interest costs for the year ending 2026.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

21. Gold and Foreign Exchange Contingency Reserve Account

	Note(s)	GROUP		SARB	
		2025 R mil	2024 R mil	2025 R mil	2024 R mil
SARB Act					
Opening balance		531 989	458 714	531 989	458 714
Profit on gold price adjustment account ¹		61 617	27 606	61 617	27 606
Profit/(loss) on FEC adjustment account		6 225	(14 291)	6 225	(14 291)
(Loss)/profit on foreign exchange adjustment account		(35 937)	59 915	(35 937)	59 915
Movement in unrealised gains/(losses) on FECs		72	(7)	72	(7)
		563 966	531 937	563 966	531 937
Payments (to)/from the SA government		(200 065)	52	(200 065)	52
Total GFECRA liability		363 901	531 989	363 901	531 989
Balance composition					
Balance currently due to the SA government		363 829	531 895	363 829	531 895
Net unrealised gains on FECs	8	72	94	72	94
		363 901	531 989	363 901	531 989

¹ The gold price adjustment account includes the changes in gold statutory price as well as income and expenses relating to gold transactions.

The GFECRA, which is operated in terms of section 28 of the SARB Act, represents net gains and losses incurred on gold, foreign exchange transactions and forward exchange contracts which are for the account of the SA government. Settlement of this account is subject to agreement, from time to time, between the SARB and the SA government and consists mainly of the exchange margin.

In June 2024, the SARB concluded a settlement framework agreement with the National Treasury for the settlement of the GFECRA liability. In terms of the agreement, the SARB will settle R250 billion of the GFECRA liability in instalments over the next 3 financial years. In the current financial year, R200 billion of this amount was settled and R50 billion will be settled over the next two financial years. Further settlement of the GFECRA liability may only occur if the SARB has an adequate contingency reserve level as well as an adequate estimated GFECRA balance level to absorb potential future currency reversals.

22. Share capital

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
Issued				
2 000 000 shares (2024: 2 000 000 shares) of R1 each	2	2	2	2

These shares qualify for a maximum dividend of 10 cents per share per annum.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

23. Profit before taxation

23.1 Operating and other income

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
Administration and management fees	–	–	113	26
Bank charges	260	291	260	291
Commission on banking services	2 263	716	925	716
Rental income	8	65	6	6
Sales of bank notes and coin to third parties	2 337	2 193	–	–
Sundry income	129	105	22	88
Total operating income	4 997	3 370	1 326	1 127
Other income ¹	100 000	–	100 000	–
Total operating and other income	104 997	3 370	101 326	1 127

¹ To promote the policy solvency of the SARB, NT transferred R100 billion to the SARB in the current financial year. This was considered to be a separate transaction to the settlement of the GFECRA liability, with the amount being recognised as income.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

23. Profit before taxation (continued)

23.2 Operating costs

	Note(s)	GROUP		SARB	
		2025 R mil	2024 R mil	2025 R mil	2024 R mil
Depreciation and amortisation					
Buildings		52	55	45	48
Computer software		698	297	692	291
Plant, vehicles, furniture and equipment		354	492	233	335
Total depreciation and amortisation	12 & 13	1 104	844	970	674
Net loss/(profit) on disposal:					
Property, plant and equipment and intangible assets	12 & 13	34	(4)	46	(4)
Impairment loss on:					
Property, plant and equipment and intangible assets	12 & 13	3	325	3	325
Write-down of inventories					
Write-down of inventories	7	9	25	–	–
Auditor's remuneration – external					
Audit fees		35	37	25	28
Consulting fees					
Consulting fees ¹		431	387	404	363
Employee costs					
Directors' remuneration	34.6	41	37	40	37
Remuneration and recurring staff costs		3 789	3 627	3 092	2 971
Contribution to funds – Normal		345	310	332	294
Contributions to funds – Additional		–	3	–	3
Movement in provision for post-employment medical benefits	20.1	327	317	304	293
Movement in provision for post-employment group life benefits	20.2	10	10	8	9
Movement in provision for post-employment retirement fund benefits	20.3	4	–	4	–
Premiums paid – Medical aid		155	144	140	129
Premiums paid – Group life		9	9	5	5
Total employee costs		4 680	4 457	3 925	3 741
Other					
Cost of new currency		21	19	2 491	1 791
Manufacturing costs		2 742	2 468	–	–
IT infrastructure		791	579	734	547
Other operating costs ²		2 041	1 424	1 060	983
Total operating expenses		11 891	10 561	9 658	8 448

¹ Consulting fees include non-audit services by the external auditors of R592 058.

² Other operating costs comprise mainly business systems and technology costs, repairs and maintenance, building maintenance costs, travel and accommodation, and training expenses.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

24. Taxation

		GROUP		SARB	
	Note(s)	2025 R mil	2024 R mil	2025 R mil	2024 R mil
South African normal taxation					
Current					
Local income taxation – current period		6 861	4 488	6 810	4 380
Deferred					
Current year timing differences	14	(142)	(232)	(157)	(192)
Adjustment in respect of prior years	14	(5)	3	–	–
Tax loss utilised		–	1 113	–	1 113
Total taxation		6 714	5 372	6 653	5 301
		%	%	%	%
Reconciliation of taxation rate					
South African normal taxation rate		27.00	27.00	27.00	27.00
Adjusted for:					
Disallowable expenses		(0.36)	1.68	0.06	2.08
Donations		0.01	0.05	0.01	0.06
Dilution loss on investment in associate		0.07	–	0.07	–
Impairment on investment in associate		–	1.35	–	1.45
Expenses of a capital nature		(0.44)	0.28	(0.02)	0.57
Exempt income and special deductions		(21.45)	(1.30)	(21.71)	(0.10)
Capital gains tax		–	(0.02)	(0.02)	(0.10)
Other income ¹		(21.28)	–	(21.69)	–
Special allowances ²		(0.17)	(1.28)	–	–
Prior years		–	0.01	–	–
Effective taxation rate		5.19	27.39	5.35	28.98
Taxation paid					
Opening balance – taxation (payable)/receivable		(22)	721	(58)	754
Current taxation for the year recognised in profit or loss		(6 861)	(4 488)	(6 810)	(4 380)
Interest accrued		–	45	–	45
Closing balance – taxation payable		1 427	22	1 432	58
Taxation paid		(5 456)	(3 700)	(5 436)	(3 523)

¹ Other exempt income relates to the R100 billion received from NT in the current financial year. Refer to Note 23.1.

² Special allowances in Group mainly relate to the CPD and CODI, which are exempt from taxation.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

25. Dividends paid

The SARB shares qualify for a maximum dividend of 10 cents per share per annum in terms of the SARB Act. A total dividend of 10 cents per share, amounting to R200 000, was paid for the current financial year (2024: 200 000). The dividend was paid in two instalments of 5 cents per share, being the interim and final dividend, amounting to R100 000 each.

26. Net cash generated from operations

		GROUP		SARB	
	Note(s)	2025 R mil	2024 R mil	2025 R mil	2024 R mil
Reconciliation of profit before taxation to cash generated from operating activities					
Profit before taxation for the year		126 953	19 626	124 475	18 293
Adjustments for:					
Interest revenue		(8 708)	(10 697)	(1 074)	(1 298)
Interest expense		23 253	18 339	15 216	9 372
Fair value adjustments on investments	32	(110)	(223)	–	–
Dividends received	32 & 34.3	(145)	(112)	(145)	(112)
Depreciation, amortisation and impairment	12 & 13	1 107	1 169	973	999
Net profit/(loss) on disposal of fixed assets	23.2	34	(4)	46	(4)
Profit from associate	34.3	(71)	(154)	–	–
Dilution loss on investment in associate	34.3	311	–	311	–
Impairment loss on investment in associate	34.3	–	982	–	982
Credit impairment reversal	29.2	(342)	(337)	–	(8)
Unrealised foreign exchange gains		–	1	–	–
Post-employment benefits	20	173	171	162	159
Interest accrued on taxation	24	–	(45)	–	(45)
Net cash generated from operating activities		142 455	28 716	139 964	28 338
Changes in operating assets and liabilities:					
Amounts due by Group companies	34.4	–	–	583	(770)
Accommodation to banks	3	98	1 947	98	1 947
Investments	4	23 324	17 892	–	–
Other assets	5	465	5 388	648	5 378
Gold and foreign exchange reserves	6	(56 676)	(85 706)	(56 676)	(85 706)
Inventories	7	63	(801)	(1)	(4)
FEC assets	8	40	65	40	65
Loans and advances	9	2 586	2 989	2 586	2 989
South African government bonds	10	(2 796)	1 822	(2 796)	1 822
Equity investment in BIS	11	195	(322)	195	(322)
Notes and coin in circulation	15	(1 733)	(2 061)	(1 733)	(2 061)
Deposits	16	105 371	21 845	98 055	18 332
Amounts due to Group companies	34.4	–	–	22 025	2 890
Foreign deposits	17	(12 886)	(26 265)	(12 886)	(26 265)
Other liabilities	18	146	(5 891)	436	(6 202)
Liquidity tier liability	19	119	–	–	–
FEC liabilities	8	(18)	(57)	(18)	(57)
GFECRA	21	(168 088)	73 274	(168 088)	73 274
Net cash generated from/(utilised by) changes in working capital		(109 790)	4 119	(117 532)	(14 690)
Net cash generated from operations		32 665	32 835	22 432	13 648

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

27. Capital commitments

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
Already contracted for but not yet incurred				
Buildings	869	1 443	761	1 440
Plant, vehicles, furniture and equipment	377	231	161	199
Intangible assets	792	1 093	792	1 084
Total capital expenditure contracted for, but not yet incurred	2 038	2 767	1 714	2 723
Already approved for but not yet contracted for				
Buildings	698	999	506	887
Plant, vehicles, furniture and equipment	1 812	778	1 331	302
Intangible assets	374	333	355	325
Total capital expenditure approved, but not yet contracted for	2 884	2 110	2 192	1 514

These capital commitments will be funded from internal resources.

28. Events after the reporting period

On 9 May 2025, the SARB signed a subscription agreement and a shareholders agreement to subscribe for 50% of the shares in BankservAfrica. The transaction is still subject to conditions precedent, including Competition Commission approval.

29. Risk management in respect of financial instruments

Introduction

The SARB is a risk-averse institution. Owing to the unique role and functions of the SARB, risk management is not solely based on risk and return considerations but also takes into account public interest in line with the statutory and constitutional responsibility of the SARB.

The SARB holds and manages the official reserves of South Africa in accordance with its role as a central bank and the SARB Act. The SARB is also responsible for achieving and maintaining price stability in the interest of sustainable and balanced economic development and growth through monetary policy.

The FMD of the SARB is responsible for the implementation of monetary policy and the management of the reserves.

Reserves management

Reserves play a key role in ensuring that the country will be able to:

- cover its external operational needs;
- service the country's foreign exchange liabilities;
- cover any foreign currency net imbalances in the balance of payments; and
- maintain confidence in the country's monetary and exchange rate policies.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

29. Risk management in respect of financial instruments continued

Reserves management continued

Framework

The risk tolerance of the SARB, as far as reserves management operations are concerned, is specified and implemented through the Investment Policy (IP), the Strategic Asset Allocation (SAA), the active risk budget and the investment guidelines. The IP provides a strategic framework that guides FMD and the Reserves Management Committee (Resmanco) in their respective roles in the reserves management process. The IP specifies, among other things, the aggregate tolerance parameters of the SARB and the eligible asset classes, which are implemented through the SAA.

The SAA determines the optimal asset allocation, while recognising the risk tolerance and liquidity constraints of the SARB. It sets the tranche sizes, currency composition, appropriate asset classes and calculates the expected risk and return over the relevant time horizon. These parameters are specified at tranche level. Hence, each tranche has its own asset mix aimed at achieving the investment objectives of the tranche. The investment objectives in order of priority are:

- capital preservation;
- liquidity; and
- achieving reasonable returns.

Governance

The SARB has a three-tier governance structure where the responsibilities for executive authority, strategic management and the actual portfolio management are clearly segregated. This comprises of the GEC, Resmanco and FMD. The GEC is responsible for decision-making around the overall risk tolerance of the organisation, the IP and the SAA of reserves. The Resmanco is the investment committee which functions within the parameters defined by the GEC, and is responsible for decision-making around investment guidelines, the allocation of the active risk budget to individual portfolios and the appointment or removal of external fund managers and custodians.

Risk reporting is a formalised and clearly defined process within the SARB. A monthly risk report is compiled and distributed to senior management of the SARB, including the DGs, CIA and Group CFO. A quarterly risk management report, which focuses on the management of risks relating to foreign exchange reserves, is distributed to the Resmanco and the GEC. Moreover, a quarterly financial risk report is compiled and distributed to members of the SARB's RMC and the BREC. The objective of these risk reports is to inform management of financial risk to which the SARB may be exposed, the possible impact on the key functions of the SARB, and how such risks are managed. The reports, furthermore, highlight future risks that might adversely impact the activities of the SARB. In line with international best practice, key risk types discussed in these reports are market, credit and operational risk in relation to market, monetary policy implementation and reserves management operations.

Risk governance policies and procedures are performed by heads of departments, managing directors of the subsidiaries, and the RMCD, with oversight by the RMC and BREC. Certain aspects of risk management specific to financial instruments are described below.

Daily operations

Reserves management activities are performed by FMD. These activities are in line with principles of sound internal governance which include that of portfolio management, performance measurement, risk control and compliance, accounting and settlement.

Statement of financial position impact

Key statement of financial position balances related to reserves management include:

Note 11 – Equity investment in BIS;

Note 6 – Gold and foreign exchange reserves; and

Note 21 – GFECRA.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

29. Risk management in respect of financial instruments continued

Reserves management continued

Monetary policy

The task of implementing monetary policy decisions is undertaken through a range of refinancing operations conducted with the commercial banks as counterparties and which are executed at or with a spread to the repo (policy) rate. In addition to the refinancing operations, FMD also conducts a range of open market operations to influence the liquidity in the money market. Market operations are undertaken in both the domestic and foreign exchange markets. The open market operations include issuing SARB debentures, conducting reverse repos, transferring public sector funds between the market and the SARB and performing money market swaps in the foreign exchange market.

In addition to the main repo facility, the SARB offers a range of end-of-day facilities for the commercial banks to square off their daily positions on their settlement accounts. These include access to their cash reserve balances held with the SARB, supplementary repos/reverse repos conducted at the repo rate and an automated standing facility that automatically settles end-of-day balances on the banks' settlement accounts at a rate of 1% below or above the policy rate.

Framework

The framework for domestic market operations is specified in the Operational Notice.

Governance

The SARB has full operational autonomy. Monetary policy is set by the SARB's MPC, which conducts monetary policy within a flexible inflation-targeting framework. This committee consists of seven members of the SARB: the Governor, three DGs and three senior officials of the SARB.

Daily operations

The Domestic Market Operations Section (within FMD) is responsible for conducting all domestic market operations associated with the SARB's responsibility for monetary policy implementation. These operations include all activities related to providing and draining liquidity conducted with banking counterparties.

Statement of financial position impact

Key statement of financial position balances related to monetary policy implementation include:

Note 3 – Accommodation to banks and standing facilities;

Note 8 – FEC assets and liabilities;

Note 15 – Notes and coin in circulation;

Note 16 – Banks' reserve and current accounts;

Note 16 – SA government special deposit;

Note 17 – Foreign deposits; and

Note 19 – Liquidity tier liability.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

29. Risk management in respect of financial instruments continued

29.1 Market risk

Market risk monitoring is conducted at all levels, such as the Portfolio and Tranche level, with continual with constant tracking of the risk metrics, including duration, 'Value at Risk' and 'Tracking Error'. Portfolio holdings data is consolidated and stress testing and scenario analyses are conducted in the portfolios to ensure that risk exposures remain within the approved risk tolerance levels should extreme market movements occur. In the event that the risk metrics deviate significantly from the approved levels, recommendations to review or amend the necessary allocations may be escalated to Resmanco. Market risk is reported on a daily, monthly and quarterly basis.

29.1.1 Interest rate risk

With the exception of SA government bonds and amounts due by/to related parties, the rand-denominated financial assets and liabilities of the SARB respectively earn and bear interest at rates linked to South African money market rates. The level of these rates is closely linked to the SARB's repo rate, which is set by the MPC. The repricing of these assets and liabilities therefore occurs at approximately the same time as changes to the repo rate are announced by the MPC.

The SARB is exposed to interest rate risk in respect of its foreign investments. The risk tolerance and return expectations in respect of these financial instruments are embodied in the SAA, which is approved by the GEC. The risk budget is approved by the GEC.

29.1.2 Price risk

Assets used as collateral (refer to note 3) are subject to a daily mark-to-market valuation. To protect the SARB against credit and market risk, participants in the repo agreement transactions have to provide securities representing market values in excess of the exposures ('haircut valuations'). The 'haircut' is the extent to which the collateral must exceed the value of the underlying loan (e.g. 102%). The excess collateral value is to protect against the risk embedded in the assets used as collateral. Treasury bills are valued at the most recent auction's discount rates.

29.1.3 Currency risk

Foreign exchange operations

The framework of control regarding market operations in foreign exchange, (i.e. in spot and forward foreign exchange transactions) is rigorous. Trading limits exist for these instruments and compliance is monitored and reported daily. Foreign exchange risk is managed by approving certain currencies for the foreign exchange reserve portfolios to diversify this risk. The gains and losses resulting from active risk positions are recorded in the SARB's statement of profit or loss and other comprehensive income. Gains and losses arising from movements in the exchange rate of the rand are recorded in GFECRA in the SARB's statement of financial position. The SARB's exposure to currency risk from holding reserves is thus limited by the fact that, in terms of the SARB Act, all profits or losses on gold, foreign exchange adjustments on assets and liabilities, and on any current or future FEC shall be for the account of the SA government.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

29. Risk management in respect of financial instruments continued

29.1 Market risk continued

29.1.3 Currency risk continued

Concentration risk

Concentration risk is the risk of significant exposure to a single counterparty or geographic region. Concentration risk is calculated on the basis of a percentage of the exposure to the counterparty of the SARB as a percentage of total exposures to all counterparties. This is actively monitored by the Risk Management Unit (within FMD). The concentration risk can be analysed as follows:

	South African rand			Gold			United States dollar			Euro			Pound sterling			Chinese yuan			Other			Total		
	R mil	%		R mil	%		R mil	%		R mil	%		R mil	%		R mil	%		R mil	%		R mil	%	
Group 2025																								
Financial assets																								
Amortised cost																								
Cash and cash equivalents	90 021	100		-	-		18	-		14	-		-	-		-	-		-	-		90 053	100	
Accommodation to banks	353	100		-	-		-	-		-	-		-	-		-	-		-	-		353	100	
Investments	82	100		-	-		-	-		-	-		-	-		-	-		-	-		82	100	
Other financial assets	1 565	98.5		-	-		19	1.2		5	0.3		-	-		-	-		-	-		1 589	100	
Loans and advances	4 494	100		-	-		-	-		-	-		-	-		-	-		-	-		4 494	100	
Investments	343	100		-	-		-	-		-	-		-	-		-	-		-	-		343	100	
FVPL																								
SA government bonds	34 803	100		-	-		-	-		-	-		-	-		-	-		-	-		34 803	100	
FVOCI																								
Equity investment in BIS	-	-		-	-		-	-		-	-		-	-		7 184	100		-	-		7 184	100	
SARB Act																								
FEC assets	-	-		-	-		78	100		-	-		-	-		-	-		-	-		-	-	
Gold and foreign exchange ¹	-	-		231 195	18.7		678 135	54.9		41 522	3.4		34 307	2.8		74 843	6.0		175 699	14.2		1 235 701	100	
Total financial assets	131 661	9.6		231 195	16.9		678 250	49.3		41 541	3.0		34 307	2.5		74 843	5.4		182 883	13.3		1 374 680	100	
Unrecognised financial assets																								
Guarantees	3 398	100		-	-		-	-		-	-		-	-		-	-		-	-		3 398	100	
Total unrecognised financial assets	3 398	100		-	-		-	-		-	-		-	-		-	-		-	-		3 398	100	

¹ Included in the 'Other' category is R124 522 million for amounts denominated in XDR.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

29. Risk management in respect of financial instruments continued

29.1 Market risk continued

29.1.3 Currency risk continued

Concentration risk continued

	South African rand		Gold		United States dollar		Euro		Pound sterling		Chinese yuan		Other		Total	
	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%
Group 2025																
Financial liabilities																
Amortised cost																
Notes and coin in circulation	167 771	100	-	-	-	-	-	-	-	-	-	-	-	-	167 771	100
Deposits	579 638	100	-	-	-	-	-	-	-	-	-	-	-	-	579 638	100
Other financial liabilities	2 651	96.3	-	-	48	1.7	55	2.0	-	-	-	-	-	-	2 754	100
Liquidity tier liabilities	18 779	100	-	-	-	-	-	-	-	-	-	-	-	-	18 779	100
FVPL																
Foreign deposits	-	-	-	-	69 711	78.9	9 666	10.9	4 684	5.3	2 090	2.4	2 187	2.5	88 338	100
SARB Act																
FEC liabilities	-	-	-	-	6	100	-	-	-	-	-	-	-	-	6	100
GFECA	363 901	100	-	-	-	-	-	-	-	-	-	-	-	-	363 901	100
Total financial liabilities	1 132 740	92.8	-	-	69 765	5.7	9 721	0.8	4 684	0.4	2 090	0.2	2 187	0.2	1 221 187	100
Unrecognised financial liabilities																
Guarantees	3 398	100	-	-	-	-	-	-	-	-	-	-	-	-	3 398	100
Loan commitments	119 421	100	-	-	-	-	-	-	-	-	-	-	-	-	119 421	100
Total unrecognised financial liabilities	122 819	100	-	-	-	-	-	-	-	-	-	-	-	-	122 819	100

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

29. Risk management in respect of financial instruments continued

29.1 Market risk continued

29.1.3 Currency risk continued

Concentration risk continued

	South African rand		Gold		United States dollar		Euro		Pound sterling		Chinese yuan		Other		Total	
	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%
Group 2024																
Financial assets																
Amortised cost																
Cash and cash equivalents	61 574	99.7	-	-	142	0.2	27	-	-	-	-	-	-	-	61 743	100
Accommodation to banks	451	100	-	-	-	-	-	-	-	-	-	-	-	-	451	100
Investments	23 285	100	-	-	-	-	-	-	-	-	-	-	-	-	23 285	100
Other financial assets	1 662	98.6	-	-	19	1.1	5	0.3	-	-	-	-	-	-	1 686	100
Loans and advances	7 080	100	-	-	-	-	-	-	-	-	-	-	-	-	7 080	100
FVPL																
Investments	351	100	-	-	-	-	-	-	-	-	-	-	-	-	351	100
SA government bonds	32 007	100	-	-	-	-	-	-	-	-	-	-	-	-	32 007	100
FVOCI																
Equity investment in BIS	-	-	-	-	-	-	-	-	-	-	-	-	6 605	100	6 605	100
SARB Act																
FEC assets	-	-	-	-	118	100	-	-	-	-	-	-	-	-	118	100
Gold and foreign exchange	-	-	169 535	14.4	684 092	58.0	38 380	3.3	33 171	2.8	73 207	6.2	180 640	15.3	1 179 025	100
Total financial assets	126 411	9.6	169 535	12.9	684 371	52.1	38 412	2.9	33 171	2.5	73 207	5.6	187 245	14.3	1 312 351	100
Unrecognised financial assets																
Guarantees	6 382	100	-	-	-	-	-	-	-	-	-	-	-	-	6 382	100
Total unrecognised financial assets	6 382	100	-	-	-	-	-	-	-	-	-	-	-	-	6 382	100

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

29. Risk management in respect of financial instruments continued

29.1 Market risk continued

29.1.3 Currency risk continued

Concentration risk continued

	South African rand		Gold		United States dollar		Euro		Pound sterling		Chinese yuan		Other		Total	
	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%
Group 2024																
Financial liabilities																
Amortised cost																
Notes and coin in circulation	169 504	100	-	-	-	-	-	-	-	-	-	-	-	-	169 504	100
Deposits	474 272	100	-	-	-	-	-	-	-	-	-	-	-	-	474 272	100
Other financial liabilities	2 400	71.5	-	-	945	28.2	9	0.3	-	-	-	-	-	-	3 354	100
FVPL																
Foreign deposits	-	-	-	-	82 632	81.6	9 676	9.6	4 534	4.5	2 113	2.1	2 269	2.2	101 224	100
SARB Act																
FEC liabilities	-	-	-	-	24	100	-	-	-	-	-	-	-	-	24	100
GFEORA	531 989	100	-	-	-	-	-	-	-	-	-	-	-	-	531 989	100
Total financial liabilities	1 178 165	90.8	-	-	83 601	6.5	9 685	0.8	4 534	0.4	2 113	0.2	2 269	0.2	1 280 367	100
Unrecognised financial liabilities																
Guarantees	6 382	100	-	-	-	-	-	-	-	-	-	-	-	-	6 382	100
Loan commitments	117 739	100	-	-	-	-	-	-	-	-	-	-	-	-	117 739	100
Total unrecognised financial liabilities	124 121	100	-	-	-	-	-	-	-	-	-	-	-	-	124 121	100

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

29. Risk management in respect of financial instruments continued

29.1 Market risk continued

29.1.3 Currency risk continued

Concentration risk continued

	South African rand		Gold		United States dollar		Euro		Pound sterling		Chinese yuan		Other		Total	
	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%
SARB 2025																
Financial assets																
Amortised cost																
Amounts due by group companies	194	100	-	-	-	-	-	-	-	-	-	-	-	-	194	100
Accommodation to banks	353	100	-	-	-	-	-	-	-	-	-	-	-	-	353	100
Other financial assets	1 252	100	-	-	-	-	-	-	-	-	-	-	-	-	1 252	100
Loans and advances	4 494	100	-	-	-	-	-	-	-	-	-	-	-	-	4 494	100
FVPL																
SA government bonds	34 803	100	-	-	-	-	-	-	-	-	-	-	-	-	34 803	100
FVOCI																
Equity investment in BIS	-	-	-	-	-	-	-	-	-	-	-	-	7 184	100	7 184	100
SARB Act																
FEC assets	-	-	-	-	78	100	-	-	-	-	-	-	-	-	78	100
Gold and foreign exchange ¹	-	-	231 195	18.7	678 135	54.9	41 522	3.4	34 307	2.8	74 843	6.1	175 699	14.1	1 235 701	100
Total financial assets	41 096	3.2	231 195	18.0	678 213	52.9	41 522	3.3	34 307	2.7	74 843	5.7	182 883	14.2	1 284 059	100
Unrecognised financial assets																
Guarantees	3 398	100	-	-	-	-	-	-	-	-	-	-	-	-	3 398	100
Total unrecognised financial assets	3 398	100	-	-	-	-	-	-	-	-	-	-	-	-	3 398	100

¹ Included in the 'Other' category is R124 522 million for amounts denominated in XDR.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

29. Risk management in respect of financial instruments continued

29.1 Market risk continued

29.1.3 Currency risk continued

Concentration risk continued

	South African rand		Gold		United States dollar		Euro		Pound sterling		Chinese yuan		Other		Total	
	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%
SARB 2025																
Financial liabilities																
Amortised cost																
Notes and coin in circulation	167 771	100	-	-	-	-	-	-	-	-	-	-	-	-	167 771	100
Deposits	462 002	100	-	-	-	-	-	-	-	-	-	-	-	-	462 002	100
Amounts due to Group companies	50 328	100	-	-	-	-	-	-	-	-	-	-	-	-	50 328	100
Other financial liabilities	1 414	100	-	-	-	-	-	-	-	-	-	-	-	-	1 414	100
FVPL																
Foreign deposits	-	-	-	-	69 711	79	9 666	11	4 684	5.3	2 090	2.4	2 187	2.5	88 338	100
SARB Act																
FEC liabilities	-	-	-	-	6	100	-	-	-	-	-	-	-	-	6	100
GFECRA	363 901	100	-	-	-	-	-	-	-	-	-	-	-	-	363 901	100
Total financial liabilities	1 045 416	92	-	-	69 717	6.1	9 666	0.9	4 684	0.4	2 090	0.2	2 187	0.2	1 133 760	100
Unrecognised financial liabilities																
Guarantees	22 177	100	-	-	-	-	-	-	-	-	-	-	-	-	22 177	100
Loan commitments	21 295	100	-	-	-	-	-	-	-	-	-	-	-	-	21 295	100
Total unrecognised financial liabilities	43 472	100	-	-	-	-	-	-	-	-	-	-	-	-	43 472	100

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

29. Risk management in respect of financial instruments continued

29.1 Market risk continued

29.1.3 Currency risk continued

Concentration risk continued

	South African rand		Gold		United States dollar		Euro		Pound sterling		Chinese yuan		Other		Total	
	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%
SARB 2024																
Financial assets																
Amortised cost																
Amounts due by Group companies	777	100	-	-	-	-	-	-	-	-	-	-	-	-	777	100
Accommodation to banks	451	100	-	-	-	-	-	-	-	-	-	-	-	-	451	100
Other financial assets	1 579	100	-	-	-	-	-	-	-	-	-	-	-	-	1 579	100
Loans and advances	7 080	100	-	-	-	-	-	-	-	-	-	-	-	-	7 080	100
FVPL																
SA government bonds	32 007	100	-	-	-	-	-	-	-	-	-	-	-	-	32 007	100
FVOCI																
Equity investment in BIS	-	-	-	-	-	-	-	-	-	-	-	-	6 605	100	6 605	100
SARB Act																
FEC assets	-	-	-	-	118	100	-	-	-	-	-	-	-	-	118	100
Gold and foreign exchange ¹	-	-	169 535	13.0	684 092	58.4	38 380	3.9	33 171	2.7	73 207	6.4	180 640	15.6	1 179 025	100
Total financial assets	41 894	3.4	169 535	12.4	684 210	55.7	38 380	3.1	33 171	2.7	73 207	6.0	187 245	15.3	1 227 642	100
Unrecognised financial assets																
Guarantees	6 382	100	-	-	-	-	-	-	-	-	-	-	-	-	6 382	100
Total unrecognised financial assets	6 382	100	-	-	-	-	-	-	-	-	-	-	-	-	6 382	100

¹ Included in the 'Other' category is R127 186 million for amounts denominated in XDR.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

29. Risk management in respect of financial instruments continued

29.1 Market risk continued

29.1.3 Currency risk continued

Concentration risk continued

	South African rand		Gold		United States dollar		Euro		Pound sterling		Chinese yuan		Other		Total	
	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%	R mil	%
SARB 2024																
Financial liabilities																
Amortised cost																
Notes and coin in circulation	169 504	100	-	-	-	-	-	-	-	-	-	-	-	-	169 504	100
Deposits	363 947	100	-	-	-	-	-	-	-	-	-	-	-	-	363 947	100
Amounts due to Group companies	28 303	100	-	-	-	-	-	-	-	-	-	-	-	-	28 303	100
Other financial liabilities	1 744	100	-	-	-	-	-	-	-	-	-	-	-	-	1 744	100
FVPL																
Foreign deposits	-	-	-	-	82 632	81.6	9 676	9.6	4 534	4.5	2 113	2.1	2 269	2.2	101 224	100
SARB Act																
FEC liabilities	-	-	-	-	24	100	-	-	-	-	-	-	-	-	24	100
GFCRA	531 989	100	-	-	-	-	-	-	-	-	-	-	-	-	531 989	100
Total financial liabilities	1 095 487	89	-	-	82 656	7	9 676	0.8	4 534	0.4	2 113	0.2	2 269	0.2	1 196 735	100
Unrecognised financial liabilities																
Guarantees	6 382	100	-	-	-	-	-	-	-	-	-	-	-	-	6 382	100
Loan commitments	26 600	100	-	-	-	-	-	-	-	-	-	-	-	-	26 600	100
Total unrecognised financial liabilities	32 982	100	-	-	-	-	-	-	-	-	-	-	-	-	32 982	100

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

29. Risk management in respect of financial instruments continued

29.2 Credit risk

Credit risk is the risk of loss due to the inability or unwillingness of a counterparty to meet its contractual obligations. Credit risk arises from activities of the Group such as cash and cash equivalents, accommodation to banks, loans and advances, loan commitments arising from such lending activities, and other financial assets such as trade receivables, but can also arise from credit enhancement provided, such as financial guarantees. The Group is also exposed to other credit risks arising from investments in debt securities and other exposures arising from its trading activities, including non-equity trading portfolio assets and derivatives as well as settlement balances with market counterparties and reverse repo agreements.

A prudent approach to credit risk management is adopted through limiting investment activities to high credit quality assets and counterparties by setting minimum credit rating requirements and requesting appropriate collateral. Credit risk is largely managed by specifying concentration and holding limits per asset class, counterparty or issuer type and credit rating category in the investment guidelines. The SARB mitigates concentration risk through diversification and investing in accordance with the prescriptions of the investment guidelines. This excludes government-owned entities and guaranteed securities of highly rated countries. Exposure to these entities are usually unlimited as credit risk is perceived to be minimal. Furthermore, minimum collateral requirements and netting-off arrangements with certain counterparties and securities lending agents are in place, usually through the Master International Swaps and Derivatives Association agreements. In addition, the use of exchange traded derivatives, legally segregated custodial and securities lending accounts and indemnity arrangements further mitigate counterparty pre-settlement, settlement and replacement risks. Credit risk is reported on a daily, monthly and quarterly basis.

Credit risk exposure monitoring is conducted at all levels, such as the Portfolio and Issuer level. Portfolio holdings data is consolidated and exposure concentration is monitored at counterparty, asset class, issuer type and credit rating category levels. Through constant monitoring of market information, together with in-depth financial statement analysis of counterparties, where necessary, the appropriate recommendations to review or amend credit and concentration limits are escalated to Resmanco and the GEC.

29.2.1 Credit risk measurement

The estimation of credit exposure for risk management purposes is complex and requires the use of models, as the exposure varies with changes in market conditions, expected cash flows and the passage of time. The assessment of credit risk of a portfolio of assets entails further estimations as to the likelihood of defaults occurring, of the associated loss ratios and of default correlations. The Group measures credit risk using PD, EAD and LGD for financial assets classified as at amortised cost. This is similar to the approach used for the purposes of measuring ECL under IFRS 9. Refer to note 29.2.2 for more details.

The Group uses external credit risk gradings that reflect its assessment of the PD of individual counterparties. The Group uses rating models tailored to the various categories of counterparties. Borrower and loan specific information collected at the time of application (such as level of collateral) is fed into this rating model. This is supplemented with external data such as credit bureau scoring information on individual borrowers. In addition, the models enable judgement to be fed into the final internal credit rating for each exposure. This allows for considerations which may not be captured as part of the other data inputs into the model. The credit grades are calibrated such that the risk of default increases exponentially at each higher risk grade. For example, this means that the difference in the PD between an A and A- rating grade is lower than the difference in the PD between a B and B- rating grade.

The following are additional considerations for each type of portfolio held by the Group:

- For debt securities in accommodation to banks, short-term deposits and loans and advances, external rating agency credit grades are used. These published grades are continuously monitored and updated. The PDs associated with each grade are determined based on realised default rates over the prior 12 months, as published by the rating agency.
- The Group's rating method comprises 25 rating levels for instruments not in default (1 to 25) and five default classes (26 to 30). The master scale assigns each rating category a specified range of probabilities of default, which is stable over time. The rating methods are subject to an annual validation and recalibration so that they reflect the latest projections in the light of all actually observed defaults.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

29. Risk management in respect of financial instruments continued

29.2 Credit risk continued

The instruments relating to the foreign exchange reserves and equity investment in BIS are summarised below:

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
AAA	86 282	124 829	86 282	124 829
AA	263 242	275 742	263 242	275 742
A	75 282	72 962	75 282	72 962
A-1	586 884	542 562	586 884	542 562
Total foreign financial assets	1 011 690	1 016 095	1 011 690	1 016 095

29.2.2 ECL measurement

The key judgements and assumptions adopted by the Group for the measurement of ECL are discussed below:

29.2.2.1 Significant increase in credit risk

The Group considers a financial instrument to have experienced a SICR when one or more of the following quantitative, qualitative or backstop criteria have been met:

Quantitative criteria:

The SARB uses credit ratings to determine the SICR. The movement of an asset's credit rating to the next lower rating of the credit rating scale is defined as a one-notch rating movement (i.e. moving from A+ to A). The SICR for the SARB is defined as a rating change of more than two notches as this change is guaranteed to move the asset to the next rating category or risk profile. Therefore a three-notch rating movement will always guarantee a movement of a financial asset to the next rating category (i.e. (i) upper medium grade to lower medium grade; (ii) non-investment grade to highly speculative grade; and (iii) substantial risks to extremely speculative), which according to the rating scale is of lower credit worthiness and this is applicable in all grades of the credit rating scale.

The short-term nature of exposure makes it unlikely that credit risk will move significantly. This, however, is reviewed frequently.

SICR is considered before contractual payments are more than 30 days past due, and thus the rebuttable presumption that the credit risk on a financial asset has increased significantly since initial recognition when contractual payments are more than 30 days past due does not apply. When the borrower is more than 30 days past due on its contractual payments, it is considered credit-impaired.

If the borrower is on the watch list and/or the instrument meets one or more of the following criteria:

- Negative outlook by two or more rating agencies in the past six months.
- Significant adverse changes in business, financial and/or economic conditions in which the borrower operates.
- Actual or expected forbearance or restructuring.
- Actual or expected significant adverse change in operating results of the borrower.
- Significant change in collateral value (secured facilities only) which is expected to increase risk of default.
- Early signs of cash flow/liquidity problems such as delay in servicing of trade creditors/loans.

The Group has not used the low credit risk exemption for any financial instruments in the year ended 31 March 2025 (2024: none).

The CPD did not use the low credit risk exemption for any financial instruments in the year ended 31 March 2025 (2024: none).

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

29. Risk management in respect of financial instruments continued

29.2 Credit risk continued

29.2.2 ECL measurement continued

29.2.2.2 Definition of default and credit-impaired assets

The Group defines a financial instrument as in default, which is fully aligned with the definition of credit-impaired, when it meets one or more of the following criteria:

Quantitative criteria:

The borrower is more than 30 days past due on its contractual payments.

Qualitative criteria:

The borrower meets unlikelihood to pay criteria, which indicates the borrower is in significant financial difficulty. These are instances where:

- The borrower is in long-term forbearance.
- The borrower is in breach of financial covenant(s) if applicable.
- It is becoming probable that the borrower will enter bankruptcy.
- Financial assets are purchased or originated at a deep discount that reflects the incurred credit losses.
- An active market for that financial asset has disappeared.

The criteria above have been applied to all financial instruments held by the Group and are consistent with the definition of default used for internal credit risk management purposes. The default definition has been applied consistently to model the PD, EAD and LGD throughout the Group's expected loss calculations.

An instrument is considered to no longer be in default (i.e. to have cured) when it no longer meets any of the default criteria for a consecutive period of three months. This period of three months has been determined based on an analysis which considers the likelihood of a financial instrument returning to default status after cure using different possible cure definitions.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

29. Risk management in respect of financial instruments continued

29.2 Credit risk continued

29.2.2 ECL measurement continued

29.2.2.3 Measuring ECL – Explanation of inputs, assumptions and estimation techniques

The ECL is measured on either a 12-month (12M) or Lifetime basis depending on whether a SICR has occurred since initial recognition or whether an asset is considered to be credit-impaired. The general formulation of the ECL determination under the components-based approach (i.e. a model based on PD, EAD and LGD) requires the derivation of term-structured PD, EAD and LGD parameters as well as original effective interest rate for discounting. ECL calculations using this approach are based on the following components:

- **PD** – This is an estimate of the likelihood of default over a given time horizon.
- **EAD** – This is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, and expected drawdowns on committed facilities.
- **LGD** – This is an estimate of the loss arising on default. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from any collateral. It is usually expressed as a percentage of the EAD.
- **Period of exposure** – This is the expected period of exposure to credit risk not mitigated by risk management actions for instruments which include both drawn and undrawn parts.
- **Discount rate** – This is used to discount the expected loss to a present value at the reporting date using the effective interest rate (EIR) at initial recognition. The EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial asset or financial liability to the gross carrying amount of a financial asset or to the amortised cost of a financial liability.

The 12M and Lifetime EADs are determined based on the expected payment profile, which varies by instrument.

- For amortising products and bullet repayment loans, this is based on the contractual repayments owed by the borrower over a 12M or Lifetime basis. The 12M and Lifetime LGDs are determined based on the factors which impact the recoveries made post default. These vary by product type.
- For secured products, this is primarily based on collateral type and projected collateral values, historical discounts to market/book values due to forced sales, time to repossession and recovery costs observed.
- For unsecured products, LGDs are typically set at product level due to the limited differentiation in recoveries achieved across different borrowers.

Forward-looking economic information is also included in determining the 12M and Lifetime PD, EAD and LGD. Refer to note 29.2.2.4 for an explanation of forward-looking information and its inclusion in ECL calculations.

The assumptions underlying the ECL calculation, such as how the maturity profile of the PDs and how collateral values change, are monitored and reviewed periodically.

There have been no significant changes in estimation techniques or assumptions used during the reporting period (2024: none).

29.2.2.4 Forward-looking information incorporated in the ECL models

Forward-looking information is incorporated into each of the model's scenarios, (i.e. the base, upside and downside scenarios).

Periodically, stress testing is carried out of more extreme shocks to calibrate its determination of the upside and downside representative scenarios. A comprehensive review is performed at least annually on the design of the scenarios by a panel of experts that advises senior management.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

29. Risk management in respect of financial instruments continued

29.2 Credit risk continued

29.2.3 Credit risk exposure

29.2.3.1 Financial instruments subject to impairment

The closing balance of the expected credit loss allowance as at 31 March is reconciled as follows:

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
Opening loss allowance as at 31 March	(354)	(691)	–	(8)
Loss allowance recognised during the year	(12)	–	–	–
Loss allowance reversed during the year	354	337	–	8
Loss allowance as at 31 March	(12)	(354)	–	–

	Stage 1 12-months ECL R mil	Stage 2 Lifetime ECL R mil	Stage 3 Lifetime ECL R mil	Purchased credit impaired R mil	Total R mil
GROUP 2025					
ECL opening balance	–	(354)	–	–	(354)
Loss allowance	(12)	–	–	–	(12)
Loss allowance reversed	–	354	–	–	354
ECL closing balance	(12)	–	–	–	(12)
GROUP 2024					
ECL opening balance	–	(691)	–	–	(691)
Loss allowance reversed	–	337	–	–	337
ECL closing balance	–	(354)	–	–	(354)
SARB 2025					
ECL opening balance	–	–	–	–	–
ECL closing balance	–	–	–	–	–
SARB 2024					
ECL opening balance	–	(8)	–	–	(8)
Loss allowance reversed	–	8	–	–	8
ECL closing balance	–	–	–	–	–

The Group writes off financial assets when it has exhausted all practical recovery efforts and has concluded that there is no reasonable expectation of recovery. Indicators thereof include ceasing enforcement activity or where the collateral value indicates that there is no reasonable expectation of recovery.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

29. Risk management in respect of financial instruments continued

29.2 Credit risk continued

29.2.3 Credit risk exposure continued

29.2.3.2 Collateral and other credit enhancements

The Group employs a range of policies and practices to mitigate credit risk. The most common of these is accepting collateral for funds advanced. The Group has internal policies on the acceptability of specific classes of collateral or credit risk mitigation.

Credit risk with respect to monetary policy operations is sufficiently mitigated, since all repo transactions are fully collateralised. In terms of the SARB Act, no unsecured lending is allowed with the exception of loans made to the SA government, subsidiaries of the SARB and certain staff loans. The list of eligible securities is specified in the Operational Notice published on the SARB's website. Furthermore, operations in the foreign exchange market can only be conducted with Authorised Dealers.

The minimum counterparty credit rating for placing deposits and investing in SA government bonds is 'A' by Standard & Poor's or its Moody's or Fitch rating equivalents, while the minimum rating for investments in corporate bonds is 'AA-'.

There were no investment securities with a credit rating below the SARB's investment guidelines as at 31 March 2025 (2024: none).

The Group's policies regarding obtaining collateral have not significantly changed during the reporting period, excluding certain counterparty bills that the SARB has taken a decision to temporarily suspend as eligible collateral in its repo operations. There has been no significant change in the overall quality of the collateral held by the Group since the prior period.

29.2.4 Loss allowance

The loss allowance recognised in the period is impacted by a variety of factors, as described below:

- Impact on the measurement of ECL due to changes in PDs, EADs and LGDs in the period, arising from regular review of inputs.
- Impacts on the measurement of ECL due to changes made to models and assumptions such as the estimated term of the facility.
- Impact of updated legal agreements on the Inter-Governmental Cash Co-ordination (IGCC) facility—refer to note 9.

As at 31 March 2025 the Group recognised a loss allowance reversal of R354 million (2024: R337 million loss allowance); SARB loss allowance reversal of Rnil (2024: R8 million).

29.3 Liquidity risk

Liquidity risk is the risk that an entity may not be able to accommodate decreases in liabilities or fund increases in assets in full at the time that a commitment or transaction is due for settlement. In the case of the SARB, this risk is not relevant to domestic assets and liabilities because of the SARB's ability to create rand when required. However, the SARB does face liquidity risk in respect of foreign assets and liabilities. The SARB manages its foreign liquidity risks through appropriate structuring of its foreign investment portfolios to ensure that the maturity profiles of foreign assets adequately match those of foreign commitments. This is monitored and managed on a daily basis by the FMD. In addition, liquidity risk is managed by setting requirements that ensure minimum standards of liquidity, which may include minimum issue size thresholds and securities must be liquid enough to ensure that they are sellable within a reasonably short period. Moreover, the SARB's reserve portfolios are constructed in such a way as to ensure that the 'Liquidity Tranche' is invested in relatively short-term securities to ensure that sufficient funds are available to meet obligations.

There are no other assets that are specifically used to manage liquidity risk.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

29. Risk management in respect of financial instruments continued

29.3 Liquidity risk continued

The table below analyses the financial liabilities into relevant maturity groupings based on the undiscounted contractual cash flows for the remaining period at the reporting date to contractual maturity date.

	On demand or agreement R mil	Up to 1 month R mil	1–3 months R mil	4–6 months R mil	7–12 months R mil	1–5 years R mil	More than 5 years R mil	Total R mil
GROUP 2025								
Financial liabilities								
Notes and coin in circulation	167 771	–	–	–	–	–	–	167 771
Deposits	414 525	165 113	–	–	–	–	–	579 638
Foreign deposits	48	88 290	–	–	–	–	–	88 338
Other financial liabilities	–	–	2 584	90	80	–	–	2 754
Liquidity tier liability	–	119	–	–	–	–	35 776	35 895
FEC liabilities	–	–	6	–	–	–	–	6
GFECA ¹	313 901	–	–	–	–	50 000	–	363 901
Total financial liabilities	896 245	253 522	2 590	90	80	50 000	35 776	1 238 303
Unrecognised financial liabilities								
Guarantees	3 398	–	–	–	–	–	–	3 398
Loan commitments	119 421	–	–	–	–	–	–	119 421
Total unrecognised financial liabilities	122 819	–	–	–	–	–	–	122 819
GROUP 2024								
Financial liabilities								
Notes and coin in circulation	169 504	–	–	–	–	–	–	169 504
Deposits	322 764	151 508	–	–	–	–	–	474 272
Foreign deposits	45	101 179	–	–	–	–	–	101 224
Other financial liabilities	–	1 627	1 003	90	80	554	–	3 354
FEC liabilities	–	14	2	8	–	–	–	24
GFECA	531 989	–	–	–	–	–	–	531 989
Total financial liabilities	1 024 302	254 328	1 005	98	80	554	–	1 280 367
Unrecognised financial liabilities								
Guarantees	6 382	–	–	–	–	–	–	6 382
Loan commitments	117 739	–	–	–	–	–	–	117 739
Total unrecognised financial liabilities	124 121	–	–	–	–	–	–	124 121

¹ The repayment of the GFECA liability is subject to certain conditions being met and agreement by the SARB and the SA government. Refer to Note 21.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

29. Risk management in respect of financial instruments continued

29.3 Liquidity risk continued

	On demand or agreement R mil	Up to 1 month R mil	1–3 months R mil	4–12 months R mil	1–5 years R mil	More than 5 years R mil	Total R mill
SARB 2025							
Financial liabilities							
Notes and coin in circulation	167 771	–	–	–	–	–	167 771
Deposits	296 889	165 113	–	–	–	–	462 002
Amounts due to Group companies	50 328	–	–	–	–	–	50 328
Foreign deposits	48	88 290	–	–	–	–	88 338
Other financial liabilities	–	1 383	–	31	–	–	1 414
FEC liabilities	–	–	6	–	–	–	6
GFE CRA ¹	313 901	–	–	–	50 000	–	363 901
Total financial liabilities	828 937	254 786	6	31	50 000	–	1 133 760
Unrecognised financial liabilities							
Guarantees	22 177	–	–	–	–	–	22 177
Loan commitments	21 295	–	–	–	–	–	21 295
Total unrecognised financial liabilities	43 472	–	–	–	–	–	43 472
SARB 2024							
Financial liabilities							
Notes and coin in circulation	169 504	–	–	–	–	–	169 504
Deposits	212 439	151 508	–	–	–	–	363 947
Amounts due to Group companies	28 303	–	–	–	–	–	28 303
Foreign deposits	45	101 179	–	–	–	–	101 224
Other financial liabilities	–	1 190	–	–	554	–	1 744
FEC liabilities	–	14	2	8	–	–	24
GFE CRA	531 989	–	–	–	–	–	531 989
Total financial liabilities	942 280	253 891	2	8	554	–	1 196 735
Unrecognised financial liabilities							
Guarantees	6 382	–	–	–	–	–	6 382
Loan commitments	26 600	–	–	–	–	–	26 600
Total unrecognised financial liabilities	32 982	–	–	–	–	–	32 982

¹ The repayment of the GFE CRA liability is subject to certain conditions being met and agreement by the SARB and the SA government. Refer to Note 21.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

29. Risk management in respect of financial instruments continued

29.4 Settlement risk

Settlement risk (the risk that the counterparty may not be able to complete a transaction) is mitigated in a number of ways. The SARB will only transfer funds after sufficient collateral has been secured.

For outright transactions in securities, settlement risk is eliminated through the use of systems that are based on delivery versus payment (i.e. the simultaneous exchange of securities and cash). In addition to restricting foreign exchange transactions to highly rated counterparties, a transaction limit is imposed on the total value of foreign currency transactions settling with a counterparty on a given day. Furthermore, the SARB is a participant in Continuous Linked Settlement, a clearing house that eliminates settlement risk in foreign exchange, allowing payment versus delivery in a number of major currencies. It eliminates 'temporal' settlement risk, making same-day settlement both possible and final.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

30. Classification of financial assets and liabilities

	Note(s)	Fair value through other comprehensive income R mil	SARB Act R mil	Fair value through profit or loss – Mandatory R mil	Fair value through profit or loss – Designated R mil	Amortised cost R mil	Total ¹ R mil
GROUP 2025							
Financial assets							
Cash and cash equivalents	2	-	-	-	-	90 053	90 053
Accommodation to banks	3	-	-	-	-	353	353
Investments	4	-	-	-	-	425	425
Other financial assets	5	-	-	-	-	1 589	1 589
Gold and foreign exchange reserves	6	-	355 716	879 985	-	-	1 235 701
FEC assets	8	-	78	-	-	-	78
Loans and advances	9	-	-	-	-	4 494	4 494
SA government bonds	10	-	-	34 803	-	-	34 803
Equity investment in BIS	11	7 184	-	-	-	-	7 184
Unrecognised financial assets							
Guarantees	33	-	-	-	-	3 398	3 398
Financial liabilities							
Notes and coin in circulation	15	-	-	-	-	167 771	167 771
Deposits	16	-	-	-	-	579 638	579 638
Foreign deposits	17	-	-	-	88 338	-	88 338
Other financial liabilities	18	-	-	-	-	2 754	2 754
Liquidity tier liability	19	-	-	-	-	18 779	18 779
FEC liabilities	8	-	6	-	-	-	6
GFCRA	21	-	363 901	-	-	-	363 901
Unrecognised financial liabilities							
Guarantees	33	-	-	-	-	3 398	3 398
Loan commitments	33	-	-	-	-	119 421	119 421

¹ The carrying values of instruments carried at amortised cost closely approximate their fair values.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

30. Classification of financial assets and liabilities continued

	Note(s)	Fair value through other comprehensive income R mil	SARB Act R mil	Fair value through profit or loss – Mandatory R mil	Fair value through profit or loss – Designated R mil	Amortised cost R mil	Total ¹ R mil
GROUP 2024							
Financial assets							
Cash and cash equivalents	2	–	–	–	–	61 743	61 743
Accommodation to banks	3	–	–	–	–	451	451
Investments	4	–	–	351	–	23 286	23 637
Other financial assets	5	–	–	–	–	1 686	1 686
Gold and foreign exchange reserves	6	–	296 721	882 304	–	–	1 179 025
FEC assets	8	–	118	–	–	–	118
Loans and advances	9	–	–	–	–	7 080	7 080
SA government bonds	10	–	–	32 007	–	–	32 007
Equity investment in BIS	11	6 283	322	–	–	–	6 605
Unrecognised financial assets							
Guarantees	33	–	–	–	–	6 382	6 382
Financial liabilities							
Notes and coin in circulation	15	–	–	–	–	169 504	169 504
Deposits	16	–	–	–	–	474 272	474 272
Foreign deposits	17	–	–	–	101 224	–	101 224
Other financial liabilities	18	–	–	–	–	3 354	3 354
FEC liabilities	8	–	24	–	–	–	24
GFECPA	21	–	531 989	–	–	–	531 989
Unrecognised financial liabilities							
Guarantees	33	–	–	–	–	6 382	6 382
Loan commitments	33	–	–	–	–	117 739	117 739

¹ The carrying values of instruments carried at amortised cost closely approximate their fair values.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

30. Classification of financial assets and liabilities continued

	Note(s)	Fair value through other comprehensive income debt instruments R mil	SARB Act R mil	Fair value through profit or loss – Mandatory R mil	Fair value through profit or loss – Designated R mil	Amortised cost R mil	Total ¹ R mil
SARB 2025							
Financial assets							
Amount due by Group companies	34	–	–	–	–	194	194
Accommodation to banks	3	–	–	–	–	353	353
Other financial assets	5	–	–	–	–	1 252	1 252
Gold and foreign exchange reserves	6	–	355 716	879 985	–	–	1 235 701
FEC assets	8	–	78	–	–	–	78
Loans and advances	9	–	–	–	–	4 494	4 494
SA government bonds	10	–	–	34 803	–	–	34 803
Equity investment in BIS	11	7 184	–	–	–	–	7 184
Unrecognised financial assets							
Guarantees	33	–	–	–	–	3 398	3 398
Financial liabilities							
Notes and coin in circulation	15	–	–	–	–	167 771	167 771
Deposits	16	–	–	–	–	462 002	462 002
Amounts due to Group companies	34	–	–	–	–	50 328	50 328
Foreign deposits	17	–	–	–	88 338	–	88 338
Other financial liabilities	18	–	–	–	–	1 414	1 414
FEC liabilities	8	–	6	–	–	–	6
GFEORA	21	–	363 901	–	–	–	363 901
Unrecognised financial liabilities							
Guarantees	33	–	–	–	–	22 177	22 177
Loan commitments	33	–	–	–	–	21 295	21 295

¹ The carrying values of instruments carried at amortised cost closely approximate their fair values.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

30. Classification of financial assets and liabilities continued

	Note(s)	Fair value through other comprehensive income debt instruments R mil	SARB Act R mil	Fair value through profit or loss – Mandatory R mil	Fair value through profit or loss – Designated R mil	Amortised cost R mil	Total ¹ R mil
SARB 2024							
Financial assets							
Amounts due by Group companies	34	–	–	–	–	777	777
Accommodation to banks	3	–	–	–	–	451	451
Other financial assets	5	–	–	–	–	1 579	1 579
Gold and foreign exchange reserves	6	–	296 721	882 304	–	–	1 179 025
FEC assets	8	–	118	–	–	–	118
Loans and advances	9	–	–	–	–	7 080	7 080
SA government bonds	10	–	–	32 007	–	–	32 007
Equity investment in BIS	11	6 283	322	–	–	–	6 605
Unrecognised financial assets							
Guarantees	33	–	–	–	–	6 382	6 382
Financial liabilities							
Notes and coin in circulation	15	–	–	–	–	169 504	169 504
Deposits	16	–	–	–	–	363 947	363 947
Amounts due to Group companies	34	–	–	–	–	28 303	28 303
Foreign deposits	17	–	–	–	101 224	–	101 224
Other financial liabilities	18	–	–	–	–	1 744	1 744
FEC liabilities	8	–	24	–	–	–	24
GFEORA	21	–	531 989	–	–	–	531 989
Unrecognised financial liabilities							
Guarantees	33	–	–	–	–	6 382	6 382
Loan commitments	33	–	–	–	–	26 600	26 600

¹ The carrying values of instruments carried at amortised cost closely approximate their fair values.

Notes to the consolidated and separate financial statements continued

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31. Fair value hierarchy disclosures

The tables below analyse the assets and liabilities of the Group carried at fair value and amortised cost by the level of fair value hierarchy. The fair value hierarchy depends on the extent to which quoted prices are used in determining the fair value of the specific instruments. The different levels are defined as follows:

Level 1: Fair value is based on quoted prices (unadjusted) in active markets for identical assets or liabilities. These are readily available in the market and are normally obtainable from multiple sources.

Level 2: Fair value is based on input other than quoted prices included within Level 1 that is observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3: Fair value is based on input for the asset or liability that is not based on observable market data (i.e. unobservable inputs).

The Group's policy is to recognise transfers into and transfers out of the fair value hierarchy levels as at the date of the event or change in circumstances that caused the transfer. During the year under review, there were no transfers between any of the levels (2024: none).

31.1 Valuation techniques used to derive Level 1 fair values

The fair value of financial instruments traded in active markets are based on quoted market prices as obtained from the custodians at the statement of financial position date. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer broker or pricing services, and those prices represent actual and regularly occurring market transactions on an arm's-length basis. The quoted market price used for financial assets held by the SARB is the current price as per the custodian's pricing hierarchy. These instruments are included in Level 1.

31.2 Valuation techniques used to derive Level 2 fair values

The fair value of financial instruments that are not traded in an active market (e.g., over-the-counter derivatives) is determined by using valuation techniques. These valuation techniques maximise the use of observable market data where it is available and rely as little as possible on entity-specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in Level 2.

Specific valuation techniques used to value financial instruments include the following:

- quoted market prices or dealer quotes for similar instruments are used for gold and foreign exchange and investments;
- the fair value of interest rate swaps is calculated as the present value of the estimated future cash flows based on observable yield curves;
- the fair value of FECs is determined using forward exchange rates at the statement of financial position date, with the resulting value discounted back to present value; and
- the fair value of all other instruments are derived with reference to yields.

31.3 Valuation techniques used to derive Level 3 fair values

The equity investment in the BIS is classified as Level 3. It is valued at the net asset value adjusted by 30%. This adjustment is not subject to sensitivity. The adjusted net asset value of the shares is based on SDRs. No active market exists for these shares. Refer to note 11 for more detail.

The revaluation of valuable art is classified as Level 3. Revaluations will be performed every three years by independent, reliable valuers. In the absence of an official fair value assessment by an independent valuator the insured value will be used as an indicator of fair value. These fair value adjustments are not subject to sensitivity. Refer to note 12 for more detail.

The equity investment in the BIS as well as the revaluation of valuable art are recurring fair value measurements.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

31. Fair value hierarchy disclosures continued

Reconciliation of assets and liabilities at recurring fair value measurements at Level 3

	Opening balance R mil	Gains recognised in other compre- hensive income R mil	Purchases R mil	Sales R mil	Transfers ((to)/from GFECRA R mil	Closing balance R mil
GROUP 2025						
Assets						
Property, plant and equipment						
Valuable art	198	20	–	–	–	218
Financial assets at FVOCI						
Equity investment in BIS	6 605	774	–	–	(195)	7 184
Total	6 803	794	–	–	(195)	7 402
GROUP 2024						
Assets						
Property, plant and equipment						
Valuable art	198	–	1	(1)	–	198
Financial assets at FVOCI						
Equity investment in BIS	5 866	417	–	–	322	6 605
Total	6 064	417	1	(1)	322	6 803
SARB 2025						
Assets						
Property, plant and equipment						
Valuable art	198	20	–	–	–	218
Financial assets at FVOCI						
Equity investment in BIS	6 605	774	–	–	(195)	7 184
Total	6 803	794	–	–	(195)	7 402
SARB 2024						
Assets						
Property, plant and equipment						
Valuable art	198	–	1	(1)	–	198
Financial assets at FVOCI						
Equity investment in BIS	5 866	417	–	–	322	6 605
Total	6 064	417	1	(1)	322	6 803

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

31. Fair value hierarchy disclosures continued

	Note(s)	Level 1 R mil	Level 2 R mil	Level 3 R mil	Total R mil
GROUP 2025					
Items measured at fair value					
Non-financial assets					
Property, plant and equipment	12	–	–	218	218
Investment in associate	34.3	–	3 189	–	3 189
Financial assets					
Gold and foreign exchange reserves	6	470 919	764 782	–	1 235 701
Gold coin and bullion		231 195	–	–	231 195
Money market instruments and deposits		–	233 688	–	233 688
Securities		239 657	406 564	–	646 221
Derivatives		67	9	–	76
IMF SDR assets		–	124 521	–	124 521
FEC assets	8	–	78	–	78
SA government bonds	10	34 803	–	–	34 803
Equity investment in BIS	11	–	–	7 184	7 184
Financial liabilities					
FEC liabilities	8	–	6	–	6
Foreign deposits	17	–	88 338	–	88 338
Items not measured at amortised cost					
Financial assets					
Cash and cash equivalents	2	–	90 053	–	90 053
Accommodation to banks	3	–	353	–	353
Investments	4	–	425	–	425
Other financial assets	5	–	1 589	–	1 589
Loans and advances	9	–	4 494	–	4 494
Financial liabilities					
Notes and coin in circulation	15	–	167 771	–	167 771
Deposits	16	–	579 638	–	579 638
Other financial liabilities	18	–	2 754	–	2 754
Liquidity tier liability	19	–	18 779	–	18 779
GFECRA	21	363 901	–	–	363 901

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

31. Fair value hierarchy disclosures continued

	Note(s)	Level 1 R mil	Level 2 R mil	Level 3 R mil	Total R mil
GROUP 2024					
Items measured at fair value					
Non-financial assets					
Property, plant and equipment	12	–	–	198	198
Investment in associate	34.3	–	3 429	–	3 429
Financial assets					
Investments	4	–	351	–	351
Gold and foreign exchange reserves	6	392 245	786 780	–	1 179 025
Gold coin and bullion		169 535	–	–	169 535
Money market instruments and deposits		–	214 896	–	214 896
Securities		222 714	444 528	–	667 242
Derivatives		(4)	170	–	166
IMF SDR assets		–	127 186	–	127 186
FEC assets	8	–	118	–	118
SA government bonds	10	32 007	–	–	32 007
Equity investment in BIS	11	–	–	6 605	6 605
Financial liabilities					
FEC liabilities	8	–	24	–	24
Foreign deposits	17	–	101 224	–	101 224
Items not measured at fair value					
Financial assets					
Cash and cash equivalents	2	–	61 743	–	61 743
Accommodation to banks	3	–	451	–	451
Investments	4	–	23 286	–	23 286
Other financial assets	5	–	1 686	–	1 686
Loans and advances	9	–	7 080	–	7 080
Financial liabilities					
Notes and coin in circulation	15	–	169 504	–	169 504
Deposits	16	–	474 272	–	474 272
Other financial liabilities	18	–	3 354	–	3 354
GFE CRA	21	531 989	–	–	531 989

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

31. Fair value hierarchy disclosures continued

	Note(s)	Level 1 R mil	Level 2 R mil	Level 3 R mil	Total R mil
SARB 2025					
Items measured at fair value					
Non-financial assets					
Property, plant and equipment	12	–	–	218	218
Investment in associate	34.3	–	2 795	–	2 795
Financial assets					
Gold and foreign exchange reserves	6	470 919	764 782	–	1 235 701
Gold coin and bullion		231 195	–	–	231 195
Money market instruments and deposits		–	233 688	–	233 688
Securities		239 657	406 564	–	646 221
Derivatives		67	9	–	76
IMF SDR assets		–	124 521	–	124 521
FEC assets	8	–	78	–	78
SA government bonds	10	34 803	–	–	34 803
Equity investment in BIS	11	–	–	7 184	7 184
Financial liabilities					
FEC liabilities	8	–	6	–	6
Foreign deposits	17	–	88 338	–	88 338
Items not measured at fair value					
Financial assets					
Amounts due from Group companies	34.4	–	194	–	194
Accommodation to banks	3	–	353	–	353
Other financial assets	5	–	1 252	–	1 252
Loans and advances	9	–	4 494	–	4 494
Financial liabilities					
Notes and coin in circulation	15	–	167 771	–	167 771
Deposits	16	–	462 002	–	462 002
Amounts due to Group companies	34.4	–	50 328	–	50 328
Other financial liabilities	18	–	1 414	–	1 414
GFECA	21	363 901	–	–	363 901

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

31. Fair value hierarchy disclosures continued

	Note(s)	Level 1 R mil	Level 2 R mil	Level 3 R mil	Total R mil
SARB 2024					
Items measured at fair value					
Non-financial assets					
Property, plant and equipment	12	–	–	198	198
Investment in associate	34.3	–	3 106	–	3 106
Financial assets					
Gold and foreign exchange reserves	6	392 245	786 780	–	1 179 025
Gold coin and bullion		169 535	–	–	169 535
Money market instruments and deposits		–	214 896	–	214 896
Securities		222 714	444 528	–	667 242
Derivatives		(4)	170	–	166
IMF SDR assets		–	127 186	–	127 186
FEC assets	8	–	118	–	118
SA government bonds	10	32 007	–	–	32 007
Equity investment in BIS	11	–	–	6 605	6 605
Financial liabilities					
FEC liabilities	8	–	24	–	24
Foreign deposits	17	–	101 224	–	101 224
Items not measured at fair value					
Financial assets					
Amounts due from Group companies	34.4	–	777	–	777
Accommodation to banks	3	–	451	–	451
Other financial assets	5	–	1 579	–	1 579
Loans and advances	9	–	7 080	–	7 080
Financial liabilities					
Notes and coin in circulation	15	–	169 504	–	169 504
Deposits	16	–	363 946	–	363 946
Amounts due to Group companies	34.4	–	28 303	–	28 303
Other financial liabilities	18	–	1 744	–	1 744
GFECA	21	531 989	–	–	531 989

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

32. Income and expenses according to classification of financial instruments

	Total R mil	FVPL (Mandatory) R mil	FVPL (Designated) R mil	Amortised cost R mil	FVOCI R mil
GROUP 2025					
Interest revenue	23 184	13 803	–	9 381	–
Interest expense	(23 253)	–	–	(23 253)	–
Fair value gains	33 669	37 317	(3 648)	–	–
Dividend income related to investments held at year-end	80	–	–	–	80
GROUP 2024					
Interest revenue	25 371	14 674	–	10 697	–
Interest expense	(18 339)	–	–	(18 339)	–
Fair value gains	20 164	26 036	(5 872)	–	–
Dividend income related to investments held at year-end	62	–	–	–	62
SARB 2025					
Interest revenue	14 868	13 774	–	1 094	–
Interest expense	(15 454)	–	–	(15 454)	–
Fair value gains	33 559	37 207	(3 648)	–	–
Dividend income related to investments held at year-end	80	–	–	–	80
SARB 2024					
Interest revenue	15 907	14 609	–	1 298	–
Interest expense	(9 372)	–	–	(9 372)	–
Fair value gains	19 941	25 813	(5 872)	–	–
Dividend income related to investments held at year-end	62	–	–	–	62

33. Commitments, guarantees and contingent liabilities

33.1 Loan guarantee scheme

In May 2020, the SARB entered into an LGS with various participating banks to provide funding to assist businesses recover from the impact of COVID-19. The SARB provided a guarantee to the commercial banks for the LGS loans, to the extent of the current exposure of R3 billion (2024: R6 billion). The participating banks may claim losses under the scheme subject to a waterfall arrangement. A claim under the SARB guarantee is only possible after the participating banks have exhausted the margin entitlement account, the credit premium account and the borrowers risk portion. In turn, the SA government issued a guarantee of R100 billion, in favour of the SARB for any losses which may be incurred by the SARB in respect of the LGS loans. The government reduced this guarantee from R100 billion to R12 billion in April 2022. At 31 March 2025, the LGS loan outstanding amounted to R3 billion.

33.2 Bounce back scheme

In April 2022, the BBS was established to assist eligible small businesses to recover from the impact of COVID-19, floods and the riots that took place in certain parts of the country. In terms of the scheme, the SARB advanced loans to commercial banks, who advanced bounce-back loans to eligible businesses. The SARB had approved facilities of R1 billion, of which R938 million was drawn down. At 31 March 2025, the balance outstanding amounted to R637 million. The availability period for drawdowns ended on 30 April 2024. The SARB also issued a guarantee to the commercial banks for losses incurred under the scheme. The SARB guarantee is limited to 20.5% of the total capital amount advanced to the commercial banks. In turn, the SA government issued a guarantee of up to R8 billion in favour of the SARB, which was subsequently reduced to R960 million.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

33. Commitments and guarantees (continued)

33.3 Energy bounce back scheme

In May 2023, the EBBS was established to alleviate the impact of sustained load-shedding on SMEs and households. In terms of the scheme, the SARB advances loans to participating commercial banks who advance energy bounce back loans to eligible businesses and households. The SARB approved facilities of R12 billion of which R11 billion remained undrawn at 31 March 2025 (2024: R12 billion undrawn). The SARB also issued a guarantee to the participating commercial banks for losses incurred under the scheme. The SARB guarantee is limited to 20.5% of the total capital amount advanced to the participating commercial banks. In turn, the SA government issued a guarantee of up to R8 billion in favour of the SARB, to compensate for losses which may be incurred by the SARB in respect of the EBBS. Each participating commercial bank may drawdown on the facility for a period of 18 months from the signature date of their respective agreements. As at 31 March 2025, the availability period for drawdowns for most of the participating commercial banks had ended, with only two remaining participants having an availability period for drawdowns expiring in April and June 2025, respectively.

33.4 CODI contingent liability

In terms of section 166AA of the FSR Act, CODI has an obligation to provide protection to qualifying depositors by ensuring that they have access to their covered deposits in the event that their bank is placed in resolution. The protection is limited to R100 000 per depositor, per bank. The estimated outflow relating to this contingent liability will only be determinable once a particular bank is in resolution. As at 31 March 2025, there were no member banks placed in resolution.

33.5 CODI commitment and guarantee

The SARB issued a guarantee to commercial banks for loan amounts provided to CODI for the liquidity tier of the DIF, effective from 1 April 2024. Member banks of CODI are required to maintain a loan amount of 3% of their covered deposits' balance with CODI for as long as they are licensed. The loan will be repaid by CODI as the entity accumulates sufficient liquidity in the DIF.

The SARB has committed to provide CODI with an emergency funding loan in the event that CODI is unable to meet its obligations, as specified in section 166AA of the FSR Act. The total amount of the emergency funding loan will be mutually agreed upon by both parties when CODI makes a request for the loan.

33.6 Restricted-use committed liquidity facility

The SARB approved a restricted-use committed liquidity facility (RCLF) of R18 billion to commercial banks effective from 1 February 2025. The facility is intended to assist commercial banks to manage compliance with the liquidity coverage ratio required by Basel III and must be used for liquidity management purposes. The facility was undrawn as at 31 March 2025.

33.7 Inter-governmental cash co-ordination

Loans are advanced by the CPD as part of the national government's IGCC arrangement, in terms of which some state-owned entities and treasuries of provincial governments deposit excess funds with the CPD to form a pool of funds from the public sector. NT and the provincial treasuries may borrow money from the IGCC pool of funds. The SA government guarantees that the deposits will be made available to depositors on demand.

The IGCC loans are unsecured, short-term in nature and callable on demand. The loans earn interest at repo plus 0.1%, which was 7.6% (2024: repo plus 0.1% which was 8.35%) at the reporting date. As at 31 March 2025, the IGCC loan balance was Rnil (2024: Rnil).

The CPD and the SARB concluded updated IGCC legal agreements with NT, provincial treasuries and state-owned entities. These agreements clarify repayment terms for the facility and outline the procedures in the event of default. The agreements further clarify that the CPD and SARB are administrative parties in the IGCC arrangement and will not be liable for any losses on the facility. As a result, the ECL allowance relating to the IGCC facility has been reversed in full. Refer to note 29.2 for movements on the ECL allowance.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

34. Related party information

The following list provides an overview of the nature of relationships relevant to the SARB Group:

Subsidiaries:

CPD, CODI, SABN, SA Mint and Prestige Bullion (a subsidiary of SA Mint)

Associates:

ABHL

Grindrod Bank (a subsidiary of ABHL)

African Bank Limited (a subsidiary of ABHL)

African Bank Insurance Group Limited (a subsidiary of ABHL)

Other key relationships:

SARB Retirement Fund

SA government (NT)

34.1 Investment in subsidiaries

	Authorised and issued share capital		GROUP		SARB	
	Number of shares '000	% held	2025 R mil	2024 R mil	2025 R mil	2024 R mil
CPD	2 000	100	–	–	2	2
SABN	61 000	100	–	–	803	803
Share capital	61 000	100	–	–	61	61
Subordinated loan	–	–	–	–	742	742
SA Mint	60 000	100	–	–	206	206
CODI	1 000	100	–	–	1	1
Total investment in subsidiaries			–	–	1 012	1 012

Contribution to group profit

The contribution to the Group profit attributable to the parent (pre-elimination of intercompany transactions) is as follows:

CPD	775	929	–	–
SABN	40	(87)	–	–
SA Mint	137	229	–	–
CODI	1 380	(1)	–	–
Total contribution to Group profit	2 332	1 070	–	–

Financial assistance to subsidiaries

The subordinated loan to the SABN of R742 million (2024: R742 million) bears no interest and has no fixed terms of repayment. The SARB may demand repayment of the loan provided the subsidiary's assets exceed its liabilities. When recalled, the subsidiary has the option to convert the loan to share capital. The loan is included as a separate category of equity by SABN and is thus included as a component of the SARB's investment in subsidiary.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

34. Related party information continued

34.1 Investment in subsidiaries continued

34.1.1 Investment in Prestige Bullion

Prestige Bullion is a subsidiary of the SA Mint. The SA Mint holds a 80% (2024: 80%) interest in Prestige Bullion. Prestige Bullion distributes and sells bullion Krugerrand coins to local and international markets. The SA Mint is responsible for the manufacturing while the marketing and distribution of the coins is done by Rand Refinery Proprietary Limited (Rand Refinery).

Main business	Manufacturing of blanks, marketing and distribution of legal tender Bullion coin
Country of incorporation	South Africa
Interest held as non-controlling	20%
Percentage voting rights held by non-controlling interest	20%

Rand Refinery holds the 20% non-controlling interest in Prestige Bullion.

Summarised financial information of Prestige Bullion

The below summarised financial information consists of extracts from Prestige Bullion's Statement of financial position and Statement of profit or loss and other comprehensive income.

	PRESTIGE BULLION	
	2025 R mil	2024 R mil
Statement of financial position		
Current assets	822	1 326
Total assets	822	1 326
Total equity	439	365
Current liabilities	383	961
Total liabilities	383	961
Total equity and liabilities	822	1 326
Statement of comprehensive income		
Revenue	1 819	1 815
Gross profit	119	315
Operating expenses	(25)	(35)
Profit before tax	100	284
Total comprehensive income	73	207

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

34. Related party information continued

34.1 Investment in subsidiaries continued

34.1.2 Transactions with non-controlling interests

Rand Refinery

Rand Refinery has a 20% interest and therefore holds a non-controlling interest in Prestige Bullion.

	GROUP	
	2025 R mil	2024 R mil
Profit attributable to non-controlling interest	15	41
Accumulated non-controlling interest at year-end	81	66

No significant restrictions exist on the SARB's ability to access or use the assets to settle the liabilities of the Group.

34.2 Inventory held on behalf of the SARB by the SA Mint

At year-end, coin inventory of R773 million (2024: R671 million) was held on behalf of the SARB.

34.3 Investment in associate

ABHL is the holding company of ABL and African Insurance Group Limited (AIG). The ABHL Group's business operations consist primarily of retail banking and the provision of insurance products to banking clients. ABHL's registered office is 59 16th Road, Midrand, South Africa.

On 25 March 2025, ABHL implemented an employee share scheme, which resulted in the dilution of the SARB's shareholding from 50% to 45%, for no proceeds. The SARB incurred a loss on the dilution of R311 million, which was recognised in profit or loss. The SARB has, however, retained significant influence in ABHL.

Dividends of R65 million (2024: R50 million) were received from ABHL in the current financial year.

	Authorised and issued share capital		GROUP		SARB	
	Number of shares '000	% held	2025 R mil	2024 R mil	2025 R mil	2024 R mil
African Bank Holdings Limited						
Cost	250 000	45	5 000	5 000	5 000	5 000
Accumulated profit attributable to Group			1 437	1 366	–	–
Accumulated impairment losses			(2 937)	(2 937)	(1 894)	(1 894)
Loss in dilution of shareholding			(311)	–	(311)	–
Carrying value of investment in associate			3 189	3 429	2 795	3 106

34.3.1 Impairment assessment for investment in associate

An impairment assessment for the investment in associate is only required when there is an indicator of impairment. However, due to the purpose of this investment being linked to the mandate of the SARB, an impairment assessment is performed periodically to closely monitor the investment.

During the current financial year, no impairment loss was recognised (2024: R982 million impairment loss).

The recoverable amount, for the purposes of determining the impairment loss or reversal, was calculated by means of the 'fair value less costs to sell' method, applying the discounted cash flow technique.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

34. Related party information continued

34.3 Investment in associate continued

34.3.1 Impairment assessment for investment in associate continued

Management made the following key assumptions in its determination of fair value less costs to sell:

- ABHL is a going concern and would be able to continue operating for the foreseeable future.
- Future cash flows were based on financial budgets approved by ABHL management covering a five-year period.
- The growth rate for cash flows into perpetuity was calculated with reference to the SARB published inflation target range of 3–6%.
- A discount rate of 17.93% (2024: 18.62%) was used to calculate the present value of future cash flows. The discount rate was determined using the Capital Asset Pricing Model, based on the below key inputs for various scenarios at the time of the valuation:
 - South African risk free rate of 11.08% based on the daily average yield on government bonds with an outstanding maturity of 10 years and longer.
 - Beta of 0.75% and an equity market risk premium of 5.43% based on quoted indicators of similar listed entities.
 - Alpha risk adjustment of 2.5% to adjust for the inherent uncertainty in long-term cash flow forecasts.

34.3.2 Sensitivity analysis

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
The effect of a 1% increase and decrease in the discount rate is as follows:				
ABHL carrying value				
1% decrease	3 238	3 494	2 844	3 171
Valuation basis	3 189	3 429	2 795	3 106
1% increase	3 142	3 366	2 748	3 044
Impairment (loss)/reversal				
1% decrease	49	(917)	49	(917)
Valuation basis	–	(982)	–	(982)
1% increase	(48)	(1 044)	(48)	(1 044)
The effect of a 10% increase and decrease in the cash flow forecast is as follows:				
ABHL carrying value				
10% decrease	869	3 118	2 475	2 796
Valuation basis	3 189	3 429	2 795	3 106
10% increase	3 510	3 740	3 116	3 417
Impairment (loss)/reversal				
10% decrease	(320)	(1 293)	(320)	(1 293)
Valuation basis	–	(982)	–	(982)
10% increase	320	(671)	320	(671)

34. Related party information continued**34.4 Amounts due by/to related parties**

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
Amounts due by related parties				
Loans and advances¹				
CPD	–	–	–	763
Grindrod Bank	–	26	–	26
ABL	20	–	20	–
Other assets²				
SABN	–	–	178	5
SA Mint	–	–	14	9
CODI	–	–	2	–
Grindrod Bank	–	2	–	2
ABL	5	–	2	–
Amounts due to related parties				
Deposits³				
CPD	–	–	30 287	28 268
SA government				
Non-interest-bearing	123 689	128 544	123 616	128 472
Interest-bearing	91 139	91 139	–	–
CODI ⁴	–	–	19 927	–
ABL	–	2 463	–	2 463
Grindrod Bank	–	2 528	–	2 528
Other liabilities⁵				
SABN	–	–	–	26
SA Mint	–	–	1	9
SA government (GFECRA liability) ⁶	363 829	531 895	363 829	531 895
CODI	–	–	114	–
SARB Retirement Fund	78	71	–	–
SA government (Treasury SDR account)	759	–	759	–
ABL	474	–	–	–

¹ Loans and advances consist of intercompany overdraft balances and LGS advances. Overdraft balances are held with the SARB for daily cash management and interest on overdrawn balances is charged at the repo rate. Refer to note 9 for details on the terms of the LGS advances.

² Other assets consist of trade receivables as well as LGS margin entitlement and credit premium balances. Refer to note 5 for details.

³ Deposits consist of current accounts, call deposits and bank reserve accounts. Refer to note 16 for details.

⁴ CODI deposits held with the SARB include DIF investments of R20 billion (2024: Rnil).

⁵ Other liabilities comprise trade payables. Refer to note 18.

⁶ Refer to note 21 for details on amounts owed to the SA government.

34. Related party information continued**34.5 Transactions between the SARB and its related parties**

	GROUP		SARB	
	2025 R mil	2024 R mil	2025 R mil	2024 R mil
Interest revenue				
ABL	93	86	126	86
Grindrod Bank	50	85	50	85
CPD	–	–	5	11
SA government	254	401	–	–
	397	572	181	182
Dividends received				
ABHL	65	50	65	50
	65	50	65	50
Interest paid				
ABL	26	1	4	1
Grindrod Bank	11	4	2	4
CPD	–	–	2 363	2 218
SA government	10 113	11 074	–	–
CODI	–	–	1 434	–
SARB Retirement Fund	8	5	–	–
	10 158	11 084	3 803	2 223
Administration fees received				
CPD	–	–	4	4
SABN	–	–	–	1
SA Mint	–	–	1	3
SARB Retirement Fund	5	5	5	5
	5	5	10	13
Administration and management fees paid				
SABN	–	–	37	33
SA Mint	–	–	5	4
SARB Retirement Fund	1	5	–	–
	1	5	42	37
Rent paid				
SABN	–	–	2	1
	–	–	2	1
Other income¹				
ABL	29	1	4	1
Grindrod Bank	7	1	–	1
SA government	100 000	–	100 000	–
	100 036	2	100 004	2
Cost of new currency				
SABN	–	–	1 545	867
SA Mint	–	–	892	876
	–	–	2 437	1 743
Pension fund contributions				
SARB Retirement Fund	366	325	332	294
	366	325	332	294

¹ Other income comprises SAMOS fees, PA levies, CODI levies and premiums; and income from NT to support the policy solvency of the SARB.

Notes to the consolidated and separate financial statements continued

for the year ended 31 March 2025

34. Related party information continued

34.6 Directors' remuneration

	GROUP		SARB	
	2025 R'000	2024 R'000	2025 R'000	2024 R'000
Executive directors: Remuneration for services				
Governor E L Kganyago				
Remuneration and recurring fringe benefits	9 882	9 324	9 882	9 324
Other fringe benefits	380	396	380	396
	10 262	9 720	10 262	9 720
Deputy Governor K Naidoo¹				
Remuneration and recurring fringe benefits	1 088	6 638	1 088	6 638
Other fringe benefits	–	2	–	2
	1 088	6 640	1 088	6 640
Deputy Governor N Tshazibana				
Remuneration and recurring fringe benefits	7 033	6 638	7 033	6 638
Other fringe benefits	41	54	41	54
	7 074	6 692	7 074	6 692
Deputy Governor R Cassim				
Remuneration and recurring fringe benefits	6 994	6 613	6 994	6 613
Other fringe benefits	73	45	73	45
	7 067	6 658	7 067	6 658
Deputy Governor M Modise				
Remuneration and recurring fringe benefits	6 933	–	6 933	–
Other fringe benefits	94	–	94	–
	7 027	–	7 027	–
Total remuneration of executive directors	32 518	29 710	32 518	29 710
Non-executive directors: Remuneration for services				
C B Buitendag	574	547	574	547
J M S D Msomi	888	671	888	671
K Badimo	695	644	695	644
L H Molebatsi	713	666	713	666
N Vink	560	529	560	529
N B Mbazima	1 450	1 158	795	742
M M T Ramano	637	628	637	628
K W Mzondeki	571	253	571	253
S Gaibie	538	513	538	513
T Nombembe	107	426	–	207
Y G Muthien	666	629	666	629
Z Hoosen	801	752	801	752
Total remuneration of non-executive directors	8 200	7 416	7 438	6 781
Total remuneration of directors	40 718	37 126	39 956	36 491

¹ Resigned in December 2023.